

Welspun Enterprises (WELENT)

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"Welspun Enterprises Limited
Q1 FY '24 Earnings Conference Call"
August 02, 2023

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MODERATOR : MR. ASHISH SHAH – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 earnings conference call of Welspun Enterprises Limited, hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashish Shah from JM Financial. Thank you, and over to you, Mr. Shah.

Ashish Shah: Yes. Thank you, Michelle. On behalf of JM Financial Institutional Securities Limited, I invite everyone to the first quarter FY '21 earnings conference call of Welspun Enterprises Limited. I'll hand over the line to Mr. Salil Bawa, Head, Group Investor Relations at Welspun Group to take the call forward. Thank you, sir. Over to you.

Salil Bawa: Thank you, Ashish. Good afternoon to all of you. On behalf of Welspun Enterprise Limited, I welcome all of you to the company's Q1 FY 2024 earnings call. Along with me today, I have with us Mr. Sandeep Garg, Managing Director of Welspun Enterprise Ltd; Mr. Akhil Jindal, Group Chief Financial Officer and Head Strategy, Welspun World; and Mr. Lalit Jain, CFO, Welspun Enterprises Limited.

We hope you have had a chance to review the investor presentation that we filed with the exchanges. It is also available on the company's website. During the discussion, we may be making references to this presentation. Please do take a moment to review the safe harbor statement in our presentation. As usual, we will start the forum with the opening remarks by our leadership team, and then we'll open the floor for your questions. Once the call gets over, should you have any further queries that remain unanswered post the earnings call, please feel free to reach out to any one of us.

With that, I would now like to hand over the floor to Mr. Sandeep Garg, Managing Director, Welspun Enterprise Limited. Over to you, Mr. Garg.

Sandeep Garg: Thank you, Salil, and good afternoon, everyone. On behalf of Welspun Enterprises Limited, I welcome you all to the Q1 FY 2024 results conference call. I'm happy to share that our performance in the first quarter of fiscal 2024 reflects the positive outcomes of our efforts and investments made over the past few years.

Firstly, I want to mention a couple of achievements during the quarter by the company. Our Chikhali-Tarsod road project was awarded the Unique Highway Project of the Year by

ASSOCHAM presented by the Honorable Minister of Road and Transport and Highways, Shri. Nitin Gadkari in May 2023.

In addition, we received an award for outstanding contribution in urban infrastructure water project for our Dewas Industrial Area water supply project in Madhya Pradesh, which we operate under the BOT model. This award was also presented by Shri. Nitin Gadkari-ji in July 2023.

And one more additional milestone that I would want to share with you is about inauguration of our Mukarba Chowk Panipat project, which was inaugurated by Honorable Minister for Road

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Transport and Highways, Shri. Nitin Gadkare-ji in June 2023. This project has already received the PCOD in April 2023.

One more major development of the quarter that I would want to share, post the quarter which happened, which I would want to share with you all is that the Board of Welspun Enterprises Limited authorised us to sign the share purchase agreement on July 27, 2023, to acquire 50.1% stake in Michigan Engineers Private Ltd, or MEPL. Michigan is a technology-based EPC company involved in underground infrastructure, water infrastructure and sewage infrastructure projects. This acquisition aligns with our strategy to grow the water

infrastructure business

segment and enter the tunnelling business. This proposed acquisition complements with our existing water and road business.

This proposed acquisition would enable us to undertake projects related to micro tunnelling, segment tunnelling and sewer network rehabilitation. The equity value of 50.1% stake is approximately INR137 crores. To give you an idea about MEPL, the revenue for the company for FY 2023 stood at approximately INR319 crores with EBITDA of INR69 crores and a PAT of INR35 crores. Their unexecuted order books stood at INR1,934 crores as of March 31, 2023. We will discuss the proposed acquisition in detail post completion of the deal, which we anticipate to happen in the next 3 to 4 weeks.

Now I would want to talk about the Q1 FY 2024 results. As I said, we have performed well, especially from the margin perspective. Our operating EBITDA for this quarter stands at INR103.2 crores with an operating EBITDA margin of approximately 15.2%. Our reporting EBITDA margin stands at 18.6%. As a result, our profit after tax, PAT, has more than tripled to INR89.6 crores compared to the previous year.

During this quarter, we achieved a significant milestone, progress of 20% in the SNRP, Sattanathapuram-Nagapattinam road project, which is being executed under HAM model. In past, we have faced some challenges on this project, but our efforts to overcome has started showing results. In July, we have signed a supplementary agreement with the authorities for this project, which grants us 18-month extension for completion from the signing of that supplementary agreement and hence, the revised completion date for the project stands at January 2025, and we are on track for the revised completion schedule for the project.

The other HAM project, namely Aunta-Simaria, the road project, which involves 6 laning of 8-kilometer of NH-31, is progressing on track for early completion against the revised completion date of October 2024. I would want to mention that we still are awaiting clearance of a substantial value of change order, which is at an advanced stage of approval. Once this change of scope is approved by the authority, the project will move ahead at full speed.

Our EPC work at Varanasi to Aurangabad NH2 road project is progressing well, and we are on track to meet our completion target dates.

Coming to the Water segment. Our project in the state of UP under the State Water and Sanitation Mission is progressing well, despite certain challenges on the overhead tank construction. Regarding our largest order win in Dharavi Waste Water Treatment Facility as a

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part of Mumbai Sewage Disposal Project, it is in the final stages of design approval and local clearances. We expect it to start in full-scale operations post-monsoon.

Coming to the order book. We have a strong order book, including O&M spread across Water and Road segments at roughly around INR9,600 crores. We see promising road and water opportunities in the state of Maharashtra. We also see the opportunities of growth in NHAI, and we aim to secure additional orders worth INR6,000 crores to INR8,000 crores, both in Road and Water sector put together in the current financial year. We are optimistic about our growth strategy -- sorry, growth trajectory and confident in capitalizing on the government's ongoing focus on improving and developing the country's infrastructure sector.

Coming to the Oil and Gas. We continued during the quarter with our effort for development and production of the oil and gas field blocks housed in the joint venture called Adani Welspun Exploration Limited. However, due to large scale changes in the management in the regulatory authority, the expected approval of our Block B-9 field development plan is yet not received. The approval of FDP of B-9 is now in advanced stages. Post the approval of FDP of B-9, we shall b

e submitting our FDP for Block MB-OSN-2005/2 or what we call Mumbai block. In line with our prudent approach, we will commit future capital only upon clearance of the Field Development Plan, which gives us the visibility of the commercial validity.

Talking about Welspun New Energy. To evaluate this space, we have strengthened the team with the inclusion of Mr. Prashant Jain as CFO. As mentioned earlier, we continue to work with consultants to advise us based on various state schemes as to which state is best suited for these kinds of solutions and the business model to follow. Once that is clear in our internal approval process, we would be very happy to share the details with you. Right now, we are in the process of only committing to the extent of initial development and investments, if required, which we do not believe shall exceed anything more than more than INR50 crores at this stage.

With this, I will now hand over the call to Mr. Akhil Jindal, Head Group Strategy and Group CFO, Welspun World. Thank you again for joining us today. Over to you, Akhil.

Akhil Jindal: Yes. Thank you, Sandeep. I just want to touch upon the big numbers, the declaration that we did yesterday. I'm sure some of you have a chance to go through it, but for the sake of every other participant, we are just repeating from the number that we shared yesterday. So our total standalone revenue from operations have grown to INR680.7 crores in this quarter. And with the other income being included, it has gone up to INR709.5 crores. This has been a remarkable growth on a quarter-to-quarter comparison from the last year. We have also reported EBITDA of INR103.2 crores. With other income, it jumps to INR132 crores.

Now this INR132 crores reflects the EBITDA margin of 18.6% and operating EBITDA margin of 15.2%. This EBITDA, as a percentage of margin, is higher than our guided number of 10% to 12% due to recovery of our costs from our subcontractors. As you may recollect in our previous calls also, we have mentioned that we have practiced in our EPC business to provide for the cost on behalf of subcontractors and later adjust/recover the cost as settlement in final bill payment as a case maybe. Thus, we are able to keep the EBITDA absolutely in check.

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And also, we reiterate that our aim to achieve 10% to 12% EBITDA margin on a holistic basis is a certain standard business tactic that we are likely to adopt going forward as well. You might have noticed that our finance costs have also dropped significantly. It has been due to our repayment of our NCDs of almost INR290 crores in this quarter. And we are not likely to borrow any money at our holdco level.

So to that extent, the interest component in our financial numbers will remain a very low figure going forward also, just for small financial expenses. The corresponding PAT also has gone up remarkably to INR89.6 crores and we continue to believe that the company will show good progress on this front as well.

Now turning to our consolidated number. The earlier commentary was on the standalone. Now I'm just sharing a few numbers on the consol basis as well. The total income stands at INR750 crores with a reported EBITDA of INR156.7 crores and a consol PAT of INR92.8 crores. The difference between standalone and consol is more about the Ind AS accounting largely rather than any cash implications where in the Ind AS index, we have to also charge and provide further interest that we would have otherwise got from the investment in our subsidiaries. That is the only large impact between the standalone and consol and it is noncash in nature. So for all practical purposes, our standalone numbers are of good reflection for our entire company's performance.

I just want to share some key numbers on the balance sheet side as well. As on 30 June '23, firstly, our cash position is showing a healthy balance of INR105

8 crores. This is down by

around INR780-odd crores from the previous quarter because we have made the NCD payment of INR292 crores, we have made a buyback payment of around INR289 crores, which includes the tax component. And also, we have funded our equity in our HAM and Oil and Gas of around INR54 crores. Besides this, we have also done our trust funding, which is an employee trust, which we have created for INR30-odd crores. The remaining INR117 crores, after accounting for profit in this quarter, has been used for working capital funding during this quarter.

The working capital is stretched a little bit in this quarter because there are some marginal delays in collection as one of our clients has changed its billing system. One of the client has changed

the billing system from manual to being online and that has enabled them to process it faster in the future. But somehow in between the system got a little jam and that's the reason why there has been some delay in the payment collected by us. However, we understand that the same is now streamlined, and we believe all this money is likely to flow through the system very quickly. We also want to share the further commitment that we are left with in our various businesses, which stands at INR450-odd crores. This includes our investment in the HAM projects. It includes our investment in Oil and Gas. It includes our stake buyout in Michigan Engineering what Sandeep just mentioned in the beginning and also towards our New Energy business of INR50 crores. And after accounting for that also, we would be left with a healthy cash balance of around INR600 crores for pursuing the future growth opportunities. We continue to be on the asset-light model. And we want to improve our return on equity and return on capital employed as we go forward.

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You may recollect that our margins are into 2 buckets. One is the EPC margin that we report between 10% to 12%, as I mentioned earlier. And also the margin or the capital gains that we get on our asset sale as and when those assets are ready. So we will keep on exploring the monetization possibilities of various assets, including the HAM asset that as and when they get complete. Our Oil and Gas portfolio is, of course, Sandeep mentioned that we're talking with the discovery of commercial gas. And with the things that we're doing with DGH, we are in a very advanced stage. And also in various means and manner, the monetization will remain a top priority for the company.

I think with this, we can open the floor for question-and-answers. Thank you very much for joining us on this call.

Moderator: We have the first question from the line of Riddhesh Gandhi from Discovery Capital.

Riddhesh Gandhi: Congratulations on super execution. I just wanted to understand with regards to our water projects which we are doing. How is the competitive intensity which was in the tenders out there? Who do we typically go up against? And I just wanted to understand in terms of our competitive advantage too, I mean, be able to attract a rate of return in these projects?

Sandeep Garg: So coming to the Dharavi project, which is the largest project in the water, there were -- the competitive intensity was pretty low because of the complexities. There were only 2 other bidders other than us on the project. In terms of UPJJM project, there were multiple bidders because the canvas was very large and it was not supposed to be awarded to the lowest bidder, but all bidders who had envisaged interest in a particular territory were supposed to be awarded based on their preferences and the closeness to the L1 bid. If provided they match the L1 bid. So we haven't seen a very intense competitive environment on the project that we have won till date.

In terms of your question that -- what is the competitive intensity? In the Water segment, the competitive intensity changes w

ith respect to the value of the contracts. And anything above

INR2,000 crores is not a very intensely competitive space. The bidders are more like 3 to 5 bidders for a particular project and that is the target area for us -- preferred target area for us.

Riddhesh Gandhi: That's helpful. And with regards to this acquisition, we see we've got 50.1% stake and then we have, I think, Patel Engineering in one of our public market holders, which we can see is also there. Just wanted to understand how did we think about the partnership? And is it ultimately going to be a part to 100% control or is it just a technology we're looking at or how should we look at that?

Sandeep Garg: So it is -- it becomes a subsidiary with the acquisition of 50.1%. Future, there are routes available for everything right up to 100% acquisition to alternate means of exits to the other partners. So we will talk of this when we come across it. However, the current intent is to create them as a technology leading solution provider and help them grow to an extent, which with our muscle power we can grow, which is why this proposed acquisition creates immense value for both tenants.

Riddhesh Gandhi: And so the technology aspect of it is in terms of what exactly is the technology that's --

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Sandeep Garg: So we -- as you may be aware, we are not in tunnelling. They are into tunnelling both micro and segmental funding, which allows us to getting our foot into the tunnelling market, which is going to be the -- we believe, a very good growth driver in the urban India. And there is a lot of -- and it's a very value accretive business. And they have been a leaders in multiple first within the

country, including the laying of the HDPE sewer lines in Mumbai of 500mm first company to use slurry micro tunnelling in India. So they have always been on the cutting edge, and that's what we want to enlarge their ability to reach within the country. They are primarily more focus on very limited geographies within India itself, so we believe that with this association, both companies can grow.

Riddhesh Gandhi: Got it, sir. That's good to hear. And sir the last question is with regards to our renewable piece, is the aspiration to get into actually EPC on the renewable side or actually own renewable assets?

Because I know we earlier did own some renewable assets. How are we thinking about the area and the total of renewables we're looking to be in?

Sandeep Garg: So we are looking at the whole value chain as we speak. We are not sure which of the portions of the value chain are we going to play. We have consultants and the team in place now for them to advise what's right for us to do. And once we know what's right for us to do we will try to do the right things and be happy to share with you our thoughts on that particular area.

Moderator: We'll take the next question from the line of Ankit from JHP Securities.

Ankit: Actually, I'm tracking this only for the first time. So my question would be what is the vision for the next 2 or 3 years in terms of revenue, revenue mix, profitability?

Sandeep Garg: So the guidance for this financial year is that we should be having an average run rate of about INR300 crores per month, which means facts to an annualized revenue of about INR3,600 crores. Our EBITDA margins, as Akhil mentioned, clearly, our guidance remains with anything between 10% to 12%. Our guidance going forward there beyond, which is a forward-looking statement, I would not say it is a guidance. I would say it is our target would be to have a growth of anything between 15% to 20% there.

Ankit: Okay. Second question, you just spoke about the asset-light model few minutes back. So can you just elaborate on that?

Sandeep Garg: So the asset-light model for us means 2 things. We do not do our own construction. So we are not invested very heavily into construction equipment

and hence, have very low depreciation.

So our EBITDA converts to PBT practically with very low loss because there is very little depreciation and practically very low interest cost as well. Secondly, our asset-light model, which means is that if we create assets which we are a developer as well, our intent is to churn them around as soon as we can make large enough portfolio, and we would not just hold them to the end of the maturity.

Moderator: We'll take the next question from the line of Sagar Tanna from Alchemie Ventures.

Sagar Tanna: Within the water opportunity, what all segments are we looking and how large those opportunities would be?

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Sandeep Garg: So we are currently our skill sets and our experience allows us to play 3 areas of water vertical. One is the transmission and distribution; second is the treatment section; and the third area that we can play is I would distribute the transmission separately and distribution separately, the bulk transmission area. So these are the 3 areas that we can play. And that's what our current focus line is. When we say treatment, we are currently focused more on sewage and water treatments rather than desalination, etcetera, in that area.

Sagar Tanna: But how large these opportunities would be, the 3 buckets that we have identified?

Sandeep Garg: So as we speak over next 2 years, top of the canvas, and we are limiting ourselves to certain states. We don't go into certain areas where we do not have the ability right now to control the outcomes and the ability to execute efficiently is somewhere around INR1.2 lakh crores till we cover the canvas that we have identified for the coming 2 years.

Sagar Tanna: Sir, if you can just give the breakup of this INR1.2 lakh crores between the 3 buckets? A ballpark number would also be okay.

Sandeep Garg: So both the transmission and distribution put together would be around INR70,000-odd crores, and the balance would be the treatment plants.

Sagar Tanna: So sir, when you say transmission and distribution, it would largely be working with local municipalities? Is my understanding correct?

Sandeep Garg: Not necessarily. These are irrigation projects, which could be funded by a lot many authorities. So you are right that it will be more state than center, but these are supported by centers as well.

Moderator: The next question is from the line of Jinesh Kothari from HDFC Securities Limited.

Jinesh Kothari: Am I audible now?

Moderator: Mr. Kothari, may we request you to use your handset, please?

Jinesh Kothari: Sure. Am I audible now?

Moderator: Yes, sir, please proceed.

Jinesh Kothari: So I had a couple of questions with regards to our bidding pipeline. So we haven't been received significant orders since a few quarters. So how are we looking forward to fill up our order book

keep our order book intact going forward? And what kind of opportunities are we looking at, given the fact that the awarding has been very slow from the Ministry for roads and HAM projects.

Sandeep Garg: So the recent awards from the Ministry and the associated authorities have been low. So we are looking at certain states where we have some past experiences. We have identified some INR50,000 crores worth of projects in the state of Maharashtra. We have applied for prequalification and we believe we will be prequalified. So we are likely to bid for those projects, the result of which should be out by Q3 of this year. Similarly, on the water side, we have

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identified projects, as I said for next 2 years of about INR1.2 lakh crores. So we believe we have enough pipeline of orders, and most of these orders will get fructified in Q3 or Q4.

Jinesh Kothari: And so what is the conversion ratio we are looking at from our bid pipeline that we have bidden for?

Sandeep Garg: So we have our own appetite of tak

ing the orders. As I said, we are targeting anything between

INR6,000 crores and INR8,000 crores for this financial year. Conversion -- because we are a very aim and shoot kind of bidders. So our conversions are practically anything between 3 bids that we put in, we expect to get 1.

Jinesh Kothari: Right, sir. And on the margin front, I've been looking that margins have been improved in the last quarter. So last time when we have interacted, so we discussed that we had our contracts with the subcontractors and we subcontract most of our construction projects. So we don't -- we just source out the raw material. So is it the thing that we are negotiating the pricing levels with our subcontractors or such like that, which have improved our margins significantly.

Sandeep Garg: We don't renegotiate our contracts. However, as a prudent company and a prudent accounting, we incur all the costs fallen on behalf of the project or projects to be completed and there can be scenarios wherein certain costs are recoverable from the contractor and if we are able to come to an amicable settlement, we recognized those recoveries in the later period. But the costs are accounted for in the same period as they are incurred. So there can be slight variation in our average or quarter-on-quarter reporting of the EBITDA.

Jinesh Kothari: Fine, sir. So the quarter-on-quarter EBITDA may differ, but on the yearly basis, the number would like you guided like 11% to 12%?

Sandeep Garg: Yes, that is what it could be.

Moderator: We'll take the next question from the line of Subhankar Ojha from SKS Capital & Research Private Limited.

Subhankar Ojha: Quick questions. One, with respect to the 15% to 20% growth, is there a guidance for this FY '24 or are you saying that, that can happen on a sustainable basis over the next few years?

Sandeep Garg: So for the guidance, I would not say guidance, I would say the target for the financial year FY '24. We are targeting a run rate of INR300 crores per month, which converts into a target about INR3,600 crores for FY 2024. That's our target. And our target growth there beyond will be anything between 15% to 20% after FY '24, and that's the -- our internal target for FY '25 and beyond.

Subhankar Ojha: Great. Great. And sir, secondly, with respect to this acquisition that they have announced a 50% stake of Michigan Engineers. So if I got the numbers correct, you said INR65 crores of EBITDA and INR35 crores of PAT for FY '23. Is that correct?

Sandeep Garg: That is correct.

Subhankar Ojha: So sir means it has higher --

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Akhil Jindal: INR69 crores of EBITDA and INR35 crores of PAT I think, that's right.

Subhankar Ojha: Sir, which means it has got a higher margin compared to what we're doing in terms of our average margin.

Akhil Jindal: That's right. It's a very specialized engineering company as Sandeep mentioned very, very technically oriented. And naturally, their margins are higher than the industry averages.

Subhankar Ojha: Great. And if I have it correctly, so you have a INR1,900 crores of order book in that business.

Can you talk more about the opportunity in terms of what sort of target you have in your mind in terms of, obviously, your assessment, how big the opportunity could be for this? And what are your thoughts on acquiring 100% stake in that entity?

Sandeep Garg: So let me take this. We would want to talk about it once we are in the driving seat. Right now, it is a proposed acquisition. Once we have done the complete interaction with the existing team

and seen a complete strength and the way we can build the organization, will we want to share the details going forward. I would request you to wait till the deal is finally closed, and we are in the driving seat for us to appraise you more about Michigan.

Moderator: We'll take the next question from the line of Vaibhav Shah from JM Financial Limited.

ited.

Vaibhav Shah: Sir, so out of our water backlog of around INR6,000 crores, what would be the share of JJM?

Sandeep Garg: About INR2,000-odd crores. So the UPJJM is around INR2,000 crores.

Vaibhav Shah: Okay. And sir, in this JJM projects, do we have price variation clause? And are we taking any challenges in terms of sourcing the materials?

Sandeep Garg: Can you repeat the question, please?

Vaibhav Shah: So do we have price variation clause in these water projects? And are we facing any challenges in sourcing of materials?

Sandeep Garg: So coming to UPJJM, we do have a price variation clause with respect to the main element that is the HDP pipe, which is substantive cost there. In terms of the Dharavi, we do have a price variation clause based on the WPI and CPI, there's a formula given in the contract, which allows us for the escalation. We haven't seen any challenge as of now in sourcing any materials for the projects.

Vaibhav Shah: Okay. And sir, in the water space, particularly in JJM, where are we seeing the upcoming opportunities in terms of states?

Sandeep Garg: See, all states are coming up with similar projects, but because of our size expectation, we have very limited places where we want to participate. So we do not follow this market so much until it cross a particular threshold. So I would want to pass this question. This is only of interest for us beyond a particular value, which is a very limited play.

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Vaibhav Shah: Okay. And sir, in terms of highways. So we have seen that there is a huge pipeline from the NHAI side, but the awarding has been quite weak in the first quarter -- in the first 4 months of this year. So any view on that side why is the delay in awarding from NHAI side?

Sandeep Garg: So I'm sure that they have awarded a lot of contracts between the February to March period of the FY '23. So it's a normal thing that the H1 is a bit slower than H2. I expect the awarding to pick up in H2 at NHAI level. However, the states are pretty aggressive in the awards of roll. I think more work will come this year from the states, than it will come possibly from the NHAI.

Moderator: We'll take the next question from the line of Sarvesh Gupta from Maximal Capital. Mr. Gupta, we have unmuted your line.

Salil Bawa: Maybe you can take the next question, please.

Moderator: We will move on to the next question, which is Darshan Chandra from Om Investment. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Ashish Shah for closing comments. Over to you, Mr. Shah.

Ashish Shah: Yes. Thanks, Michelle. So on behalf of JM Financial, I would like to thank all the participants for being on the call. A special thank you to the management also for letting us host this call.

And over to you, management, if there is any closing questions -- closing comments that you have.

Sandeep Garg: Thank you, everyone, for joining us on this Q1 FY 2024 investment call. We are, as a team, available to anybody who have not answered the question. Please feel free to reach out to our IR team, Mr. Siddharth and Mr. Salil, the details of which are available on the website for any questions that you may have. And thank you for being associated with Welspun. We look forward to talking to you soon. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of JM Financial, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Enterprises Limited Q2 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Salil Bawa, Head, Investor Relations of Welspun Group. Thank you, and over to you, sir.

Salil Bawa : Thank you, Malcolm . Good afternoon to all of you. I will take this opportunity to also wish you happy Dhanteras and Diwali greetings. On behalf of Welspun Enterprises Limited, I welcome all of you to the company's Q2 FY 2024 earnings call.

Along with me today, I have with us Mr. Sandeep Garg , Managing Director Welspun Enterprises , Mr. Saurin Patel , Managing Director Michigan Engineers Pvt Ltd . From Welspun World, I have Mr. Akhil Jindal, Group CFO and Head Strategy. And I also have Mr. Lalit Jain, CFO of Welspun Enterprises. From Welspun Enterprises IR side, Siddharth Bharadwaj, my colleague, is also there.

We hope you have had a chance to review the investor presentation that we filed with the exchanges yesterday. It is also available on the company's website. As mentioned during the discussion, we may be making references to this presentation. Please do take a moment to review the safe harbor statement in our presentation.

As usual, we'll start the forum with opening remarks by our leadership team, and then we will open the floor for your questions. Once the call gets over, should you have any further queries that remain unanswered post the earnings call, please feel free to reach out to us.

With that, I would now like to hand over the floor to Mr. Sandeep Garg, Managing Director of Welspun Enterprises. Over to you.

Sandeep Garg : Thank you, Salil. Thank you, and good afternoon, everyone. I welcome you all to the Welspun Enterprises Q2 FY 2024 Results Conference Call. I would like to start by wishing everyone warm Diwali greetings and happy Dhanteras.

So coming to the performance, following our strong performance of Q1 FY '24, we have continued the second quarter of FY '24 with robust profit growth of 36% year -on-year. This profitability is on the back of improved execution of our key EPC projects in both Road and Water segments.

The revenue from the operations, year -on-year basis has increased from INR 509 crores to INR 542 crores , that is 6% growth year -on-year. The delayed extended monsoon and the N GT Welspun Enterprises Limite d
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restrictions on a few of our projects has impacted the quarterly results in terms of revenue. As we enter a seasonally favorable period, I expect pickup in the execution of these key projects and thus delivering a strong performance in the current financial year.

Talking about the order book. We have a very strong order book of INR 9,100 crores, which includes approximately INR 1,800 crores of O&M and asset replacement for the MCGM STP project or Dharavi project, as we call it, as on 30th of September 2023.

Further, as was informed in our Q4 FY '23 investor call, I'm pleased to confirm that as against INR 259 crores receivable from the SPVs controlled by Actis, we have received approximately INR 250 crores and Actis has confirmed release of any further payments as and when received by the SPVs f

rom the clients.

I will now want to throw some highlights on the operational issues in the concluding quarter. Our HAM Road projects at Sattanathapuram -Nagapattinam, or SNRP, has continued steady progress and is on track for the revised completion date of January 2025. We have completed approximately 1/3 of the project. I would also like to mention that despite our and NHAI's best efforts, we have not been able to receive approval for supply of pond ash from the thermal plant. We have already raised a claim against this from NHAI.

Our HAM project, Aunta -Simaria, the project has already crossed the 2/3 threshold, and we are confident of completion before the revised target of October 2024. As I have stated in my previous call, the COS, which is of substantive value, has been approved, yet the final order is yet to be released by the client.

Our EPC work at Varanasi -Aurangabad NH2 project is progressing well. And we are on track to meet our completion target. The project has passed 60% threshold mark during this quarter. Coming to the Water segment. The UP JJM project in the UP state under the Water and Sanitation Mission has crossed a significant milestone of over 50% of targeted households connected.

Coming to the Dharavi Wastewater Treatment Facility, we have received the clearance of engineering and design of SBR and are at advantage of approval for other major structures. We expect the civil work to commence in full swing now that the monsoon has ended. We expect that the limitations imposed on construction due to poor environment conditions will be withdrawn soon.

During the quarter, we continued with our efforts in the Oil & Gas space to develop the blocks that are housed in the joint venture, Adani Welspun Explorations Limited. I'm happy to share the approval of the field development plan for the Block B9, which has been received by the company. I would want to bring to your notice that , a clarification that this approval has come from MoPNG's DGH. With this development, we have now moved ahead and have submitted our interim EDP for Block MB -OSN -2005/2 or what we call Mumbai Block.

It is our endeavor to commence the gas production at the earliest possible. Towards this goal, we have awarded the contract for well design and engineering, and we are currently conducting Welspun Enterprises Limite d
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technical evaluation to appoint the field contractor. I would like to reiterate, in line with our prudent approach, we will commit future capital only upon clear visibility of commercial viability of the blocks in hand.

Coming to the Welspun New Energy. Our evaluation of the new energy space is advancing well. Our CEO, Mr. Kapil Maheshwari and his team have been working with various agencies and governmental departments to finalize our strategy. And as soon as it is in a reasonable shape, we will share our plans with you all.

On the future offering within the Road vertical, we have seen a muted H1 FY 2024. Having said this, we see promising growth opportunities from NHAI and in the state of Maharashtra. We have applied for prequalification for projects in the state of Maharashtra both for Road and Water verticals, evaluation of which is in advanced stages. We expect the results of these to be out by

the end of current quarter.

To sum up, keeping our return expectations, we aim to secure additional orders worth INR 6,000 crores to INR8,000 crores in both Road and Water verticals during the current financial year.

We are optimistic about our growth trajectory and confident in capitalizing on the government's ongoing focus on improving and developing country's infrastructure sector.

As I conclude, I'm delighted to share that Welspun Enterprises was recognized as one of the Top Challengers of 2023 by Construction World magazine. One of our road EPC projects, namely Varanasi Road project, was heralded

as the Gold 4 -Star Road Safety Award by World Safety Organization India chapter.

On our previous earnings call, post quarter results, I shared details of share purchase agreement to acquire 50.1% stake in Michigan Engineers Private Limited or MEPL. In the recently concluded quarter, we completed the acquisition for a consideration of INR137.07 crores.

I'm excited to see Michigan Engineering becoming a part of Welspun Enterprises. As a subsidiary of Welspun Enterprises, Michigan Engineering will continue to run professionally under the existing management led by Mr. Saurin Patel and operate as an independent entity. I'm happy to have Mr. Saurin Patel, MD, MEPL, sitting alongside with me to address this investor interaction.

With this, I now hand over the call to Mr. Saurin Patel, MD of MEPL. Over to you, Saurin.

Saurin Patel : Thank you, Sandeep, and a very good afternoon, everyone. Happy Dhanteras and Diwali wishes to all the participants on the call today. I'm delighted to share this forum of Mr. Garg and other members of the senior management team at Welspun Enterprises. I'm excited to see Michigan Engineers becoming a part of Welspun world. So of course, Welspun Enterprises Limited, which is one of India's fastest-growing global conglomerate.

The Board of Michigan Engineers has approved the renaming of the company to Welspun Michigan Engineers Private Limited, which is both a matter of prestige and responsibility. I, on behalf of Welspun Michigan team assure you that we will be a value-accretive partner to Welspun Enterprises Limited.

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Historically, we have been operating in Maharashtra and a couple of other states of India. These projects are spread across different verticals, our specialties such as segment tunneling, micro tunneling, marine works, deep pumping stations, rehabilitation and repair of sewerage lines and major bridge constructions. However, with the strength of Welspun world, we see expansion in both our geographies as well as scale of operations.

Perhaps it will become clearer if I shared certain details on a couple of our key projects just begun. The Mithi River water quality improvement project is a 2.6 meter -diameter tunnel, which essentially takes the corrupted affluent flows of two nullahs forming the northern boundaries of the Mithi River in Bombay and brings it to the currently under -construction Dharavi sewerage treatment plant, where this affluent will be treated. This tunnel is of length 6.6 kilometers, of which we have already completed 2.7 kilometers in the first 12 months. The slated date of completion of this project is 2026 February. We expect it to be on time and run the financials as projected.

The priority is sewerage tunnel 1, which is another large tunnel system that is planned from Dahisar to Malad pumping station, is a 5.8 -kilometer tunnel of 3.2 -meter diameter. We have already lowered the tunnel boring machine in the shaft that begins this tunneling process today. And we expect that being such a auspicious day, we will begin the act of moving the cutter head tonight before the day turns. This project is slated to be completed in 2026, August, and we expect it to be also on time and on the financial projections.

We have been an engineering solution provider for urban infrastructure needs, which is a niche area. We wish to operate in this specialized niche areas of tunneling and water rehabilitation on projects on a much larger scale nationally.

Historically, we have been a very profitable company and our EBITDA growth over the last three years has been a CAGR of 33%. The EBITDA margin in H1 FY '24 has been 24%. And with the balance sheet strength to back up, thanks to WEL's investment, we expect this to improve further.

Although small currently, our Q2 revenue is at INR82.4 crores, with an EBITDA margin at 24% and a PAT margin

at 17% which we look forward to expanding exponentially in the years to come while maintaining profitability. Our total outstanding order book currently under execution is close to INR1,610 crores with approximately INR170 crores of operations and maintenance income.

This order book is largely executable over the next 36 months. I must add here that I'm not including close to INR275 crores of orders, where Michigan is the lowest bidder and awaiting work orders.

Our order pipeline is healthy, as you can see. And we have identified new projects worth INR20,000 crores, which we will be bidding, going forward. As an engineering solution provider for urban infrastructure needs, we are always on the lookout for advanced technologies. And in this direction, we are engaging with global companies to bring in technologies, which are both cost and time effective in the segments of tunneling and water treatment.

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I shall be happy to share details once the principles of association are agreed between the parties that we are constantly in communication with.

With this, I will close my remarks and hand the call to Lalit Jain, CFO of Welspun Enterprises Limited, for an update on the financials. Thank you. Over to you, Lalit bhai.

Lalit Jain: Thank you, and good afternoon to everyone on this call today. Many thanks for being part of this call. I wish a very happy Dhanteras and happy Diwali in advance. I'm sure you would have had an opportunity to review our financial results published yesterday. As Mr. Garg said, we have continued our strong performance that we delivered in the first quarter.

At a stand-alone level, our revenue from operations for quarter 2 showed a growth of 6% year-on-year basis to INR 542 crores. And along with other income, quarterly income increased by 10% to INR 571 crores. We reported EBITDA of INR 88.2 crores, which has grown by 54% over quarter 2 FY '23. Operating EBITDA has grown 28% in Q2 at INR 59.5 crores, with margin of 11% as compared to 9.1% in quarter 2 of FY '23.

We have improved our reported operating EBITDA margin over same quarter last year. This operating EBITDA margin is within our indicated range of 10% to 12%, and we are reasonably confident of maintaining this on a full-year basis. You may recall that quarter 1 showed a one-off cost recovery, which resulted in a higher operating margin.

Our interest expenses have dropped to INR8.8 crores as we have retired the NCD on our stand-alone balance sheet. I do not anticipate an increase in the interest expenses from these levels in the near future.

Our stand-alone profit after tax has increased by 36% year-on-year basis to INR 53.8 crores against INR 39.6 crores in quarter 2 FY '23. Our H1 PAT has increased by 122% to INR 143 crores against INR 64 crores in H1 FY '23.

Now coming to our consolidated numbers. I must start by saying that we have re-casted the numbers to account for the asset sale that we undertook to Actis and the consolidation of Michigan Engineers in quarter 2. Further, I would want to address the growth of PBT in Q2 FY '24 as compared to Q2 FY '23 by 9%. This is due to the exceptional item in Q2 FY '23 on account of fair value evaluation of some of the SPV for INR66 crores.

Having said that, we delivered consolidated total income of INR692 crores, with reporting EBITDA of INR129 crores. Our consolidated PAT is at INR69 crores. As you would have noticed, PBT before exceptional items on a year-to-year basis, there is a growth of 143%, that is from INR40 crores to INR97 crores.

I would like to mention that due to consolidation of Michigan Engineers as a subsidiary, the contribution of Michigan Engineers towards EBITDA is INR16.8 crores, which is 24% of their revenue. However, 49.9% of this EBITDA has been reversed due to minority interest at PAT level.

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Now coming to our balance sheet. As on 30, September, we have net cash of INR880 crores, a reduction of INR668 crores as compared to 31, March 2023, is on account of payout of MEPL acquisitions of INR137 crores, followed by the equity investment up to INR112 crores in our ongoing projects. Further, we have buyback worth of INR289 crores, and that money is utilized for the working capital.

With this, I will hand over the call back to the operator for question-and-answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question we have is from the line of Rohit from Antique. Please go ahead.

Rohit: Congratulations on a good set of numbers. Sir, if -- my first question is on the addressable opportunity that we are talking about in terms of garnering the order inflows of INR6,000 to INR8,000 crores. Now we are given to understand that there are some policy changes mooted

by NHAI. In fact, the NHAI has shortlisted some 15 BOT Toll projects. In that backdrop, would you be keen to explore BOT Toll projects? Will that be an area of attractive opportunity for you?

Sandeep Garg : So as I've been mentioning, we are agnostic to the model of contracting. We are present across the EPC, the HAM and as well as the BOT in the Road sector. So we will, definitely, be mindful of these opportunities which are coming, where we believe the competitive intensity is going to be lower. However, as I always cautioned, we are going to be driven by the risk/reward metrics and be very mindful of this in terms of return expectations. So with those targets, for sure, this segment will be looked into.

Rohit: Sir, also, because this question came largely in the backdrop of the fact that the NHAI awarding is slow and if you have to make a choice, you either have to go for BOT Toll or maybe something in Water projects, so what are the addressable opportunity you have if not for these Road s, in the Water segment, the big -ticket projects?

Sandeep Garg : So we are very bullish about the Water projects, as I've been maintaining. As we speak right now, there is an opportunity of water treatment plant in Bhandup , a very large contract. So we are very clear that the EPC play in the Water or a development play in Water is going to be a significant portion, going forward, in the business mix that we do.

I think we will have to shortly look at the toll projects. But toll projects, we will look only and only if there's a return expectations that will compensate for the risks that we view as a developer you take of a toll project. We will definitely also look at EPC opportunities, which seem to be building up in various states, where we think there is a better risk -reward return relationship. So we will be also looking at that.

Rohit: Sure. In terms of the drinking water projects, do you think there are states that gives you further opportunities? Are there some elections -- state elections that are an impediment to awarding of the contracts?

Sandeep Garg : So coming to the projects typically in this form of UP JJM projects, I think until the elections are not concluded, this opportunity is going to be on a bit of a standby right now. But there are
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going to be larger opportunities in terms of treatment plants and interlinking of water and the irrigation projects, which should come up during this phase.

Rohit: Got it. Got it, sir. So my second question is on the margins part. We have had a good margins. I missed out on the opening remarks, if there was any mention about it, what could be the sustainable EBITDA margins going ahead?

Sandeep Garg : So as we said, the operating EBITDA margins, we are not changing the guidance of 10% to 12%. Obviously, the reported EBITDA margins would be much healthier because of the substanti

al cash that we carry on the balance sheet or the net debt is negative. So we do expect the reported EBITDA margin to be much higher.

Moderator: Thank you. The next question is from the line of Diwakar Rana from Prudent Equity. Please go ahead.

Diwakar Rana : Yes. Sir, eight months have passed by, and we haven't bagged any large order. So with the order book of around INR9,100 crores in hand, do you still believe we can grow around 15% to 20% for this financial year, I mean, in '25 -'26?

Sandeep Garg : Yes. as I said in my opening remarks, I would repeat myself. There has been a temporary slowdown, primarily in the Road space of awarding by NHAI. But we see a lot of projects of substantive nature coming up, both in Road and Water, in states. And they are at the size and scale that attracts us.

So I – as I responded to the earlier question, there's a change of the model at NHAI level rather than a change in the awarding to need to award the contract. So need to build the infrastructure still exists, and we are willing to play that model of BOT Toll. So I don't think there is any challenge in terms of sustained growth of the company or growth in the current financial year. The only thing is that, yes, this year has seen a bit of an extended monsoon and unpredictable weather and also certain NGT conditions of environment being not so clean, which is putting some restrictions on the construction. Hopefully, these will not impact much larger, but these are the imponderables that are there for industry of our nature to deal with. Otherwise, I see no risk in growth.

Diwakar Rana : Okay, sir. Sir, I have one question on monetization. So currently, we have around three Road assets. So are you planning to monetize these assets in the near term?

Sandeep Garg : So we have three projects, which I talked about, in the Road. Out of these, only two projects are from Hybrid Annuity Model, which are monetizable. The third project is on an EPC basis, so which is purely execution and completion related matter. So we don't own anything on it or we have no rights beyond that. So those two projects, once they're completed as a platform, we would definitely be looking forward to divesting at the right valuation.

Diwakar Rana : Okay , sir. Sir , one last question on the Oil and Gas. So basically, are we pursuing this as a business strategy? Or do you have plans to monetize this Oil & Gas assets in the coming future?

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Sandeep Garg : So the Oil & Gas is a historical play for us. Do we see a long -term association in the Oil & Gas space? The answer is we don't see it for a long term. However, whatever needs to be done to monetize and optimize our returns, we shall be undertaking those activities, so that we do not sell cheap.

Moderator: Thank you. The next question is from the line of Chirag Singhal from First Water Fund. Please go ahead.

Chirag Singhal : I first wanted to confirm on the order inflow guidance. So did you mention order inflows of close to INR6,000 crores, INR8,000 crores in the current fiscal?

Sandeep Garg : So our guidance for the current year's order book is anything between INR6,000 crores to INR8,000 crores across all verticals.

Chirag Singhal : Okay. So this is the closing order book that you are expecting by the end of the year?

Sandeep Garg : So assuming that it is INR6,000 crores that we add further , INR 9,000 crores approximately right now, so it should be about INR14,000 crores less the execution, which is close to INR2,000 crores, so around INR12,000 crores is what I would expect, anything between INR11,000 to INR12,000 crores.

Akhil Jindal : And just to clarify, this order book will not include the Michigan separate order book. So while Michigan is maintaining a healthy order book of INR1,600 crores -plus, what Sandeep just mentioned, is the pure Welspun Enterprise

order book.

Chirag Singhal : Got it. Okay. And how much of this order book will be from the Water segment if we talk about the expected closing order book at the end of the year? How much of that would be Water segment, ballpark?

Sandeep Garg : I would expect anything between 50% to 60% will be Water, if not more.

Chirag Singhal : Okay. Got it. Sir, my second question is regarding Michigan. So you just mentioned INR1,600 crores of order book is what you have. So what is the general execution time for order book in Michigan? And if you can also provide some estimate on the upcoming year's revenue guidance as well as the EBITDA margin? So for this quarter, you mentioned that the EBITDA margin was 24% in Michigan. Is there something that we can look out even towards the upcoming years?

Sandeep Garg : Yes. I think I would request Saurin to augment to whatever I'm saying here, but Saurin, please feel free to jump in. Historically, Michigan has been maintaining healthy EBITDA margins of around 22% to 24%, and we expect them to be a bit better rather than any adverse change to it. As Saurin put it across in his address, we are planning for a substantive growth, going forward, in the revenue, which is a work in progress at this point in time. But given the current order book, I think we can expect something like about 25% to 30% CAGR on the revenue growth, right?

Saurin Patel : Yes.

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Sandeep Garg : Yes. So based on the current forecast, there is a 25% to 30% revenue growth that we can expect on a year -on-year basis. However , the intent is to grow this much faster by geographically diversifying as well as creating larger offerings to the industries that they serve.

Chirag Singhal : Okay. So for next year, which is FY '25, you are suggesting that 25% to 30% should be the aim in terms of revenue growth for Michigan. And generally , what is the execution time period for the orders that you have in Michigan?

Sandeep Garg : So normally, average period for the tunneling and these kinds of projects is 36 months there around.

Moderator: Thank you. The next question is from the line of Ajay Gupta from Gupta Family Office. Please go ahead.

Ajay Gupta : You have been giving a guidance of roughly INR3,600 crores to be done this year on an execution basis. And post that, you have the acquisition, which was of Michigan, where last year, the revenues were in -- slightly in excess of INR300 crores. So is it fair to assume that you would be able to still achieve INR3,900 crores? Or what is your view? Because two quarters are down the line and we have two left only.

Sandeep Garg : Yes. So normally, as you know, in the industry , H1 has equivalent to about 40% and 60% than H2. So this is the kind of thumb rule that plays out. And as I said in my opening remarks that there have been some delayed or extended rains and some NGT restrictions on a few of the

projects, so which has led to a bit of an underperformance in the Q2 as we expected.

So we are likely to be slightly under the 300 per month run rate at a stand-alone level, is what we would think. But we would be definitely north of anything around INR3,100 crores at a stand-alone level, and around INR400 crores is going to be the revenue at the Michigan level. So this is what my guidance at this point in time will be.

Akhil Jindal : Yes. But the Michigan numbers will only accrue from August onwards.

Sandeep Garg : Yes. So correction, Michigan because we acquired from August onwards, so the consolidation will take place only from August onwards.

Ajay Gupta : So let's say, is it fair to assume about Rs. 3,100 crores, like you said, for Welspun and another Rs. 250-odd crores for Michigan? I mean, is that a fair number to take?

Sandeep Garg : It is a fair number to take.

Ajay Gupta : That's a fair number to take. Fine. And from when do you think

you'll be able to touch this Rs.

300 crores run rate because you have such a large order book pending, and this order book has been pending now at least from your con-call of Q3, I think, of last year. You've been giving the guidance of INR300 crores run rate, which itself has taken 2.5 years, but you've not been able to touch anywhere close to INR300 crores. So won't you have a lot of penalties coming up because of non-execution and non-performance or late execution, whatever?

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Sandeep Garg : Let me address this question. Very good question. So the reality is that the delays are not on account of the company. The Aunta-Simaria project has received somewhere around 850 days of extension without levy of penalties because it is delayed by the client. Similarly, on the Sattanathapuram-Nagapattinam, the project has been extended to January 2025 with no penalties because the delay is not because of us.

Currently, as we speak, the Varanasi-Aurangabad project as the IAS has recommended, extension for about nine months without any delay penalties because the delay is not on account of us. Similarly, talking about UP JJM, they've already recommended six months of extension without any penalty because there, the delays are not because of us.

See, in the current scenario that we are, as I said, there are two reasons that we have not able to hit the run rate that we are targeting is because there are hindrances that are coming in from the client. And although we are attempting to claim as much as we can for the delays being caused, but however, it is impacting our revenue recognition.

There are no premium provisions that are getting involved. However, there can be an opportunity for claims, going forward. And as I said, it is also compounded by the two facts which are totally beyond our control, in addition to the clients' issues, is the nature's vagaries. There have been unseasonal extended rains on the project sites.

And there is because of this pollution in these urban areas, restrictions that are coming in by NGT, the ponds are not being allowed to be excavated. The earth is not allowed to be moved. And in these longitudinal projects, these are critical elements for performance. So these things are impacting us, which are way beyond our control.

Ajay Gupta : The last one question. This quarter, roughly, what are you looking at since we are already like halfway through the quarter? Because even if you're at INR3,100 crores, that leaves about INR1,700 crores, INR1,800 crores for you to do in two quarters, which is still asking a run rate of about INR900 crores a quarter.

Sandeep Garg : Yes. So we expect Q3 to be slightly muted because October saw some rains and unseasonal rains, which has taken away almost seven days, eight days, 10 days out of that period. And if you see rains or these pollution-related restrictions, each day, in our kind of a scenario, costs us almost like INR5 crores or something of that nature.

Even if we are able to do partial work and if we are able to do nothing, then it's almost costing INR10 crores. So this is where we are. And these restrictions are way beyond our control. So I expect the Q3 to be slightly more muted than the average run rate of INR900 crores.

But Q4 should see better results because, a, one of the projects that we are doing in the urban area, we should be out of that particular project that should get completed by then. So that revenue recognition delays will not come into play. And hopefully, the SNRP project, which sees the return of monsoon, it will not be so difficult this time. So hopefully, if that happens, then Q4 will be much, much better.

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Moderator: Thank you. The next question is from the line of Akash Mehta from Capaz Investments. Please

go ahead.

Akash Mehta : Sir, my questions are mainly on the Michigan Engineers acquisition. So could you share some operational details of the same?

Sandeep Garg : Saurin, you may want to address. Yes.

Saurin Patel : Yes. In terms of our projects, you mean?

Akash Mehta : Yes. And any other operational details that you can highlight?

Saurin Patel : Sure. So our primary area of execution is in the underground space. And we excel at the creation of small -diameter tunnels in urban metros because of the congestion that would necessitate the fact that you can't do any open -cut deep excavations along the road base.

So gray water becomes a high area of our expertise, cutting gray water due to the population density increases, et cetera, necessitates the increase in the size of the sewers and the stormwater drainage issues that have to be laid to service those areas.

We are now moving from our standard under 2 meter diameters to between 2 meter to 4 meter diameters using tunnel boring machines. And we currently have three very large projects of an average ticket size of INR400 crores that we are executing in the northern suburbs of Mumbai.

The second area of our expertise in the underground space is the rehabilitation of underground conduits, which essentially means that existing old, dilapidated, stormwater drains, sewers and water pipelines are rehabilitated using modern -day cutting techniques such as fiberglass linings or thermosetting resins or wet shotcrete or in our current project of 23 kilometers, a very advanced geopolymer -based cementitious product, which is a spray on lining. This forms a substantial portion of our rehabilitation space and adds a nice edge to our turnover.

The other operational areas where we excel at are: we do a lot of work in the laying of pipelines using dredging, including drilling, blasting of rock in waterways. And typically, that is being used by the industrial clusters around the rivers and estuaries and coasts to divert the affluents that are coming out of industries, which were located geographically close to habitable areas, away from those habitable areas for diffusion into larger bodies of water, such as sea, the Arabian Sea.

And corresponding to that, we are experts at dealing with flood mitigation in cities, especially in cities like Bombay, where we are responsible to build, operate and maintain deep stormwater and pumping stations. So any area of engineering that requires dealing with the earth, we are there, and we seem to excel at it. And we have a substantial portion of our book order based on such activities.

Moderator: Thank you. And the next question is from the line of Amit Shah from Nuvama. Please go ahead.

Amit Shah : Congratulations and wish you all, Welspun team, a very happy Diwali and happy Dhanteras.

Now you guys to throw some light on the current scenario. I mean, is there a sense that --

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especially the Road thing is getting very competitive in the current scenario, and are we more and more -- I mean, of course, I know we are focusing more on Water.

But is the Road thing getting more and more competitive? And since we are more keen on better margins, I mean are we looking to participate less towards the Road? I mean are things a little unfavorable in terms of business right now?

And secondly, I mean I know that we do not focus on other geographies. But is there a possibility now that we are like that we have more muscle power, I mean, are we also looking at other geographies, say, maybe something like Saudi, where maybe our Welspun Corp. or the other group company would anyway have presence because of the pipes and supplies? Can we leverage with the help of Welspun Corp. of gaining more orders from other geographies? Are we looking into it?

Sandeep Garg : To answer your question, I will try and answer in a couple

of sections. Talking about competitive

intensity shows that the EPC space, at least at NHA end, has been very competitive this year as well. All contracts that have been awarded, to our estimate -- to our evaluation, have gone below the estimate prices.

However, the good news is the HAM projects, which are very limited awards, there are only a few of the projects awarded this year, all fortunately have gone, as per our evaluation, above the price -- above the estimate prices. So one thing which is becoming very clear that the capital allocation is becoming more prudent in the developers. The EPC space continues to remain competitive.

With the introduction -- with this focus of the government back on BOT Toll, I think the space will get open for every kind of player who wants to play in a high -intensity game versus the people who want to be more prudent than those that would be more reward -oriented companies. So I don't see that the business per se is going. However, as long as this competitive scenario prevails, we will continue to be cautious in our bids.

We will target returns, not only the order book. We see a lot of opportunities in near future, where we believe that our return expectations can be met in the Road sector. You are absolutely right that the focus will be Water because we believe that the Water story has just begun, and it is a story of future. This story will continue in the country for a very, very long time, and we have got this at a right space.

We have very good relationships in terms of our Water play. We are already tied up with one of the best names in the world. Like Xylem, we are targeting Bhandup project also with one of the very good branded names.

So the Water segment offers us a differentiation, which we can bring in because of our strength and our associations. So that will remain a focus area, going forward, for sure. Hope I've responded to your questions that were addressed.

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Coming to your question of looking at geographies beyond India, the answer is if need be, we shall be looking for it. But at this point in time, we believe India is offering enough opportunity for us to stay focused.

Moderator: Thank you. The next question is from the line of Rohit Agarwal from RN Investment. Please go ahead.

Rohit Agarwal : So there are like projects in and around Mumbai. So are we having any interest in these projects?

Sandeep Garg : Yes. We surely will look at projects near in Mumbai and Maharashtra. We have had some very good run on the projects in Maharashtra. So we will surely look at that.

Rohit Agarwal : Okay. Also, sir, on the balance sheet side, I see a meaningful change in net current assets of ours. So can you just highlight some like what has happened?

Lalit Jain: Earlier last time, we have shown as Mobilization Advanced in separate liability that this time we have merged it with the Net current assets. Because INR565 crores Mobilization Advanced, we have taken shown as a Mobilization Advanced separately. This time, we have merged it with the Net Current Assets. That is the reason.

Akhil Jindal : It is just a reclassification because last time we were reporting mobilization advances separately.

Now it is a part of the net current assets, I mean, as the case may be in all the balance sheets, so it is just a reclassification, which as has been explained in a footnote also.

Rohit Agarwal : Okay. That helps. Also, sir, one last question. Sir, we have been like filing by WCL and WLL towards investments in our renewable energy company that is under WNEL. So could you give us some sense on our commitments to this business? Would we have to step in to fund the projects?

Sandeep Garg : Look, thanks for asking this question. Yes, we created a Welspun new energy platform to participate in the new energy and the renewable space. So the business is surely going to grow.

However, at this point in time, we are not sure whether we will participate in the space right now as an EPC or a developer mode.

And once those two questions are answered by the team and the specifics of the pricing from the suppliers and the lenders' costs are estimated, we will decide whether we will want to participate as an EPC player, or as a developer or partner. Mean participate in the development of this project in terms of ownership as well.

So once these considerations are clear and put up to the Board and the clarity comes from the Board, we will come back to you and apprise you about that.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Sandeep Garg for the closing comments. Go ahead, sir.

Sandeep Garg : Thank you. I want to thank all the participants for joining us on this call today, and I hope we have been able to address all your queries. We remain committed to creating value for our

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stakeholders, and our focus is on delivering improved return on equity and return on capital employed.

I look forward to speaking to you once again in near future. Meanwhile, please feel free to reach out to our Investor Relations team, Siddharth, Salil or SGA or our IR agency for any questions or feedbacks. A very happy Dhantaras and happy Diwali in advance to all of you. Thank you.

Moderator: Thank you. On behalf of Welspun Enterprises Limited, that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

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MANAGEMENT : MR. SANDEEP GARG – MANAGING DIRECTOR –
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MR. SAURIN PATEL – MANAGING DIRECTOR –
WELSPUN MICHIGAN ENGINEERS PRIVATE LIMITED
MR. LALIT JAIN – CHIEF FINANCIAL OFFICER –
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MR. SALIL BAWA – GROUP INVESTORS RELATIONS –
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ENTERPRISE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Enterprises Limited Q3 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Salil Bawa. Thank you, and over to you, sir.

Salil Bawa: Thank you very much, and good afternoon, and greetings to all of you. On behalf of Welspun Enterprise s Limited, I welcome all of you to the company's Q3 and 9 M FY 2024 Earnings Call .

I apologize for any inconvenience caused because of rescheduling this call from yesterday to today. Along with me, I have with us today Mr. Sandeep Garg, Managing Director, Welspun Enterprise s Limited. I also have Mr. Saurin Patel MD at WMEPL; and Mr. Lali t Jain, CFO of Welspun Enterprises Limited. I have my colleague, Siddharth Bharadwaj, who Heads IR for Welspun Enterprise s Limited.

We hope you have had a chance to review the investor presentation that we filed with the exchange a few days back. It is al so available on the company's website. As mentioned, during the discussion, we may be making references to this presentation. Please do review the Safe Harbor statement in the presentation.

We'll start the forum with opening remarks by our leadership team , and then we'll open the floor for your questions. Once the call gets over, should you have any further queries that remain unanswered, post the earnings call, please feel free to reach out to any one of us.

With that, I would now like to hand over the f loor to Sandeep Garg, Managing Director, Welspun Enterprises. Over to you.

Sandeep Garg: Thank you, and good afternoon, everyone. Welcome to Welspun Enterprises Q3 and 9 MFY 2024 results conference call. I would like to wish all the participants a p rosporous 2024. First of all, let me apologize for rescheduling this call from yesterday to today due to totally uncontrollable circumstances and acknowledge your understanding and appreciate your commitment to be with us at such a sharp notice. I am both humbled and honoured .

Now coming to the quarterly highlights. Our standalone revenue from operations for Q3 FY 2024 grew by 7% to Rs.584 crores as compared to Rs.542 crores in Q2 FY '24. We continued

water verticals. While we have grown sequentially, our revenue has dropped on a year-on-year basis.

This revenue impact is largely due to a combination of unexpected weather-related stoppages in some of our key projects, work fronts not being available due to clients or other foreseen regions as well as delays in availability of some key input materials. Having said that, our team across the transportation and water verticals are continuing their hard work to ensure we improve our execution run rate. Our efforts to overcome the hindrances will set the base for increased pace of execution in FY 2025.

Our financials will be discussed in detail by our CFO, Mr. Lalit Jain, but I want to highlight that on a stand alone basis, we have reported EBITDA of Rs.122 crores, which is up by 58% year-on-year basis and 38% quarter-on-quarter basis. And our PBT is of Rs.112 crores. Due to our un

ique business model, which is the asset-light model, this allows us almost 90% of the EBITDA to be converted to PBT.

The company's profit after tax stands at Rs.78 crores. This unique model of asset light and its outcome will ensure we deliver consistent profits. I'm happy to inform that Michigan Engineers Private Limited has been renamed as Welspun Michigan Engineers Private Limited and the process of integration with Welspun World is on track. Mr. Saurin Patel, MD of Welspun Michigan Engineers Private Limited will also be giving an update on this call.

Now coming to some operational highlights on major projects for the concluded quarter, our HAM project at Aunta-Simaria has crossed 2/3 threshold, and we are confident of completion on or before time. I'm pleased to inform that we have received the long awaited Rs.124 crores COS in late December. I'm also happy to inform that we have completed about 85% of the bridge work. Most of the work balance on the project is related to road, which was held because of the COS not being available with us.

Coming to the other HAM project, which is Sattanathapuram Nagapattinam, it is on track for completion as per schedule, and we have completed approximately 1/3 of the project. As you are aware that there was an issue about Pond Ash not being available for the project, which we have now finally recognized that we will not be able to get and have accordingly made alternate arrangements to do the complete the work from reservoir. We have accounted for this cost in our profitability. However, we have raised a claim against this in NHAI, which we have not accounted for.

Coming to the only EPC work in road or transportation vertical, the Varanasi Aurangabad NH2 work. It is progressing well for its timely completion. I must mention that there is a non-availability of about 11 kilometres of work out of the 193 kilometres at this point in time, which is impacting our revenue recognition.

Coming to our water vertical. Our UPJMM project in the state of UP under the State Water and Sanitation Mission is progressing well despite challenges of multi-location distributed work. And we have crossed the significant milestone of over 50% of threshold household connections.

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Coming to Dharavi Wastewater treatment facility in the city of Mumbai, we encountered some unexpected soil conditions, which have led to do the additional work of shore piling and now the project is fully up and functional. We had to slow down the progress of this project due to the soil condition, but now we expect it to progress smoothly.

Coming to the order book. The total order book at a stand alone level as of 31 December 2023 stood at Rs.8,500 crores, which includes Rs.1,800 crores of O&M and asset replacements for MCGM STP project or Dharavi project. In addition, Welspun Michigan is also sitting on a healthy order book of about Rs.1,700 crores. Mr. Saurin Patel will detail about this during his address.

We have renamed our road vertical, and now we call it transportation vertical. On future ordering within the transport vertical, we have seen a muted period in the last quarter. Having said this, we see promising road opportunities from NHAI and in the state of Maharashtra in the current quarter. We have placed 3 bids in the recent period, 2 in the transportation vertical and 1 in water vertical.

This includes an exploratory bid for Mumbai Metro Line trial. We are also planning to bid for MSRDC projects in which we are prequalified and are due shortly. While we had expected

awarding of some of these bids to conclude in the previous quarter, we remain hopeful of the same concluding in this financial year FY '24.

To sum up, we remain committed to taking on orders and meet our return expectations. We are confident to secure additional orders worth approximately Rs.6,000

0 crores in both water and

transportation verticals put together in this current financial year.

During the quarter, we continued with efforts for development of oil and gas field blocks, housed in the joint venture, Adani Welspun Exploration Limited. Pleased to confirm that we have received the approval of the FDP for our B9 block and are currently in process of finalizing the EDP submission to the regulator for our Block MB -OSN -2005/2 or what we call Mumbai Block. We are also parallelly working on the plan of evacuation and processing modalities of the hydropower to produce from these blocks. I would like to reiterate that in line with our prudent approach, we will commit future capital only upon fair visibility of commercial viability. To strengthen the organization, we are pleased to inform that we have elevated Mr. Asim Chakraborty as CEO of Transportation Vertical. He is an old associate of Welspun World and of Welspun Enterprises. I'm confident that under his leadership, the transportation vertical will further strengthen and contribute to the growth of company.

As I conclude, I'm delighted to share that Welspun Enterprises was bestowed with award of excellence in road safety construction by Occupational Safety and Health India Awards for the year 2023 in the quarter gone by. Also as a proof of our deep commitment, Welspun Enterprises won the India CSR Leadership Award 2023 for notable accomplishments in sports through Welspun Super Sports Women Program.

With this, I now hand over the call to Mr. Saurin Patel, MD, Welspun Michigan Engineers Private Limited. Over to you, Saurin.

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Saurin Patel: Thank you, Sandeep, and good afternoon, everyone. I am excited to address this forum as the MD of Welspun Michigan Engineers Private Limited for the first time. This name change is a reflection of our joint journey, increasing upon and executing the business opportunities we see ahead of us. I, on behalf of the Welspun Michigan team, assure you that we will be a value accretive partner to Welspun Enterprises Limited.

We currently have 18 projects, which are spread across the micro tunnelling and segment tunnelling, marine, pumping station, rehabilitation of sewer lines and some bridge construction. These combined projects give us an outstanding order book of over Rs.1,710 crores and approximately Rs.170 crores of operations and maintenance. This order book is largely executable over the next 36 months. I must add here that I'm not including close to Rs.75 crores of orders where Welspun Michigan is the lowest bidder.

I would like to reiterate that we foresee vastly larger opportunities ahead. These opportunities are both from new geographies due to Welspun World's wide reach as well as new initiatives that we are evaluating such as working with newer technologies. We have been an engineering solution provider for urban infrastructure needs, which is a niche area, and we wish to operate in the specialized niche areas of tunnelling and water rehabilitation projects on a much larger scale.

Historically, we have been a very profitable company and our EBITDA growth over the last 3 years has been a strong CAGR of 33%. In Q3 FY '24, we have delivered Rs.102 crores of total income with a reporting EBITDA of Rs.24.5 crores. Our EBITDA margin in Q3 FY '24 is 24%, which continues from our H1 FY '24 performance. PAT margin for the quarter is at 15%, which we look forward to expanding in the years to come. Our order pipeline is healthy, and we have identified projects worth Rs.20,000 crores, which on a selective basis, we will be bidding going forward.

I would now like to share details on one of our key projects. This last quarter, we have begun a pioneering project journey in a rehabilitation of 100 -year-old storm water arch drains of Mumbai City. This project of 14.5 kilometres is being executed

using a state -of-the-art material called geopolymer which is a spray on structural lining.

The project size is an estimated cost of Rs.415 crores, and duration is 36 months, excluding monsoons. We're in a joint venture and have a 50% share of the project. We have introduced this technology for the first time in India, hoping to showcase the established advantages of this, such as a longer product life of 50 years, while simultaneously projecting lesser footprint of work at the heavily traffic site, causing a much lesser disruption to traffic and disrupting to business at a much faster application speed.

Truly a no dig application, one in which we specialize. As an engineering solution provider for

urban infrastructure needs, we are always on the lookout for advanced technology. And in this direction, we are engaging with global companies to bring in technologies, which are both cost and time effective in the segment of tunnelling and water in general. I shall be happy to share the details once the principles of association are agreed between the parties.

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With this, I will close my remarks and hand the line to Lalit Jain, CFO of Welspun Enterprises Limited for update on financials. Thank you, and over to you, Lalit.

Lalit Jain: Good afternoon to everyone and many thanks for being a part of this call. I'm sure you would have had an opportunity to review on our financial numbers published. As Mr. Garg shared, we have continued our profitable performance that we delivered in the first half.

At a stand alone level, our revenue from operations for Q3 FY '24 was at Rs.584 crores. And along with other income, our total income was at Rs.607 crores. The reported EBITDA of INRs.122.1 crores which worked out to a margin of 20.1%, our EBITDA has grown by 58% year-over-year, Rs.77.4 crores in Q3 FY '23. As you would have noticed, we have improved our EBITDA margin, over same quarter last year and also over Q2 FY '24.

Our profit before taxes is Rs.111.9 crores, which works out to 91% conversion of our EBITDA to PBT. This is predominantly because of our unique business model. This gives us the ability to retain a very large part of our EBITDA. I'm confident we will continue to scale our operation while being true to this successful model.

I would like to give some colour on our EBITDA margin. We have recognized a claim settlement which roughly adds 200 bps to our margin. These margins are also as a result of our conservative accounting practice. As standard practice, we hold on to contingency till substantial project progress is not achieved.

Accordingly, some increases can be seen in profit margin as the completion cost becomes clearer during project execution phase. We have already given a guidance in the past that we maintain reporting EBITDA margins in the range of 13% to 14%. Our other income has increased by 97% to Rs.23.3 crores from Rs.11.8 crores in Q3 FY 23.

This is due to our income generated on current investments. Since we have repaid our debt in the first quarter of this year, finance costs have dropped to Rs.7.48 crores from Rs.19.89 crores in Q3 FY '23. I do not anticipate an increase in interest expenses from this level in near future.

Our effective tax rate will be 25% in the normal course, but for this quarter, it is close to 30% due to additional tax assessments. Our standalone profit after tax is Rs.77.58 crores. Please note this is not comparable with Q3 FY '23 numbers. There was an asset sale transaction we undertook with Actis Highway in December 2022. This resulted in exceptional income of Rs.467.8 crores.

Our 9 months FY '24 total income is Rs.1,887 crores and PAT is Rs.221 crores.

Now coming to our consolidated numbers. This is the second quarter of consolidation of Michigan Engineers in the quarter. Thus, our revenue has increased by 2% to Rs.706.7 crores. This represents

EBITDA of Rs.173.5 crores, our PBT before exceptional income had registered growth of 131% at Rs.135.5 crores.

Our consolidated PAT is at Rs.79.9 crores. I would like to mention that due to consolidation of Michigan Engineers as a subsidiary, the contribution of Michigan Engineers towards EBITDA is Rs.25 crores, however, 49.9% of the Michigan rate has been reversed due to minority interest.

We have a strong balance sheet with net cash of Rs.906 crores as on 31 December 2023. A

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reduction of Rs.642 crores as compared to 31 March 2023 is on account of buyback worth Rs.289 crores, payout for MEPL acquisition of Rs.137 crores, followed by an equity investment of Rs.112 crores in ongoing projects and remaining amount used for the working capital.

With this, we can open the forum for question-and-answer. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rohit from Antique Stock Broking. Please go ahead.

Rohit: Sir, in the opening remarks, you made statements about some prospect orders. We are given to understand that NHAI is now turning back to BOT toll projects and there is almost like 350 billion tenders out for bidding. Welspun Enterprises as a company will it be keen to explore more BOT toll projects or will we continue to stick the cash contract model?

Sandeep Garg: As I've been maintaining, we are agnostic to the model of work that is available as long as our risk and revenue expectations are met. So short answer to your question is that we are actively

looking at the BOT to II projects. Right now, the model itself is under evolution. We have participated in the interactions with the Ministry on the development of this model and hope that the industry's feedback will be taken into consideration when finalizing the final model.

If those are taken into consideration, we will definitely explore this opportunity. Having said that, I would also want to say that for a long time, there has been very low awarding at NHA level. And hence, I see a lot of competitive intensity initially. So I will definitely wait for the time that will allow me to get my risk and reward equation balanced, which is critical for my business. I hope I've answered the question.

Rohit: Sir, if you could give us a sense of how the prospect or the pipeline looks like across each segment, something like the Maharashtra MSRDC space or maybe the water space, there were some comments about 200 billion Michigan Engineers is looking at, something on waterfront, if you could help us. Those will be really helpful, sir. The prospect number it's definitely really helpful.

Sandeep Garg: So for the MSRDC projects are the 26 packages for which the prequalification was open. We have prequalified for 17 of them. So approximately, we will qualify for about Rs.36,000 crores worth of work in the MSRDC projects. Now if we were to look at the water segment, we have already put in a bid for Bhandup, which is a large value bid in the ranges of Rs.4,000 crores to Rs.5,000 crores.

And we see similar opportunities building up in other states. In terms of the opportunity metrics that we are talking about of Rs.20,000 crores in Welspun Michigan, those are primarily in the other spaces than where we operate as Welspun Enterprises. These are primarily into the tunnelling spaces and water infrastructure improvement spaces. So those are the primary opportunities that we are looking at as well from Michigan. And I'm sure Mr. Saurin Patel can add something towards what this Rs.20,000 crores order is made up of or bid outline is made up of.

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Saurin Patel: Yes. So Sandeep, fundamentally, Rs.20,000 crores is sustained with a large contribution from the projected water and sewer

er tunnels that clients and municipalities all over India are planning to build to augment their current existing facilities as their populations see a dramatic spike in how the people are moving to the cities.

A lot of this then goes downstream to the rehabilitation of existing infrastructure that they've got, which has not been maintained well and needs to be rehabilitated to provide another 3 to 5 decades of fresh life. Coupled with that, the pumping stations that they would have to build to make sure that the grey waters that they are augmenting is treated before it's released into whatever final discharge point they have.

So all -in-all, it's the water space for us that looks to be the most exciting area of execution, and we will be maintaining a strong watch eye on where these jobs come out and bidding them quite aggressively.

Rohit: So moving to the guide part, you maintained that FY25 will be a good year. But can we have a colour of like from the existing order backlog will be 3 billion a month trajectory?

Sandeep Garg: So unfortunately, as I addressed in my opening statement, because of certain things which are the extended monsoons, the non -availability of Pond Ash and some work fronts being held by the clients because of the RoW issues. Certain work fronts that we believe we will be able to unlock during the first 9 months have not got along and the COS of Aunta Samaria has also held us back.

So as you know, these road projects unfortunately we need to prepare the low -value lower levels before you can hit the higher -value top players. We have not been able to prepare. So I do not think that this year we will be able to hit the run rate of the Rs.300 crores per month. I expect the FY '24 to somewhere close to the FY '23 numbers on the revenue side, however, happy to share that on a stand alone basis.

On a consol basis, I do expect the numbers to be close to Rs.3,000 crores. While I am happy to share that the EBITDA numbers will be possibly much higher than what was anticipated at the start of the year, and we should not only meet, but exceed the expectations of the investors in terms of EBITDA despite the lower revenue. So I hope I've answered the question.

Rohit: My question was on FY '25 front.

Sandeep Garg: FY'25 I am reasonably sure that on the base of FY '24, which is close to the numbers of the FY'23 in stand alone and about 3,000 in consol basis, we will be able to have an increment of 15% to 20% in FY '25.

Moderator: The next question is from the line of Diwakar Rana from Prudent Equity. Please go ahead.

Diwakar Rana: Sir, in your opening remarks you have alluded that we will be receiving Rs.6,000 crores order in this current financial year. So sir, how confident are you just that we will be back on bagging

order in next basically 60 days?
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Sandeep Garg: Reasonably confident. So we expect a couple of bids to which we have bided to open in next 10 to 15 days. So we are reasonably hopeful that we will still bag these others before the end of FY'24.

Diwakar Rana: So basically, sir, this includes both road and water orders, right?

Sandeep Garg: That is correct.

Diwakar Rana: Okay. And sir, one question on the oil and gas blocks, Mumbai offshore 2005. So when will we start recognizing revenue from this block?

Sandeep Garg: See, we are right now in the stage of designing the whole thing and submitting, as announced to the statutory body, our plans. If the plans as we are proposing get approved, we expect at the earliest the production to be in H2 of FY '26. That's the earliest it is possible. And depending upon when the approval comes in, it may slightly get delayed as well. So that's the earliest shortest time frame for production will be.

Diwakar Rana: Okay. Sir, one follow-up on this. So basically, as per you, what will be better for being shareholder

holders of Welspun and Welspun Enterprises to basically wait for if any revenue recognition till FY'26 or to just monetize this asset?

Sandeep Garg: So this balance is always there for an asset-light model like a company like ours. And we generally believe that we have the balance sheet strength, and we believe that if we were to create as we sell our road assets after completion. If we do the extraction of the gas and the fluids before we sell it, we will create that to be value accretive for our shareholders.

So it's our belief and our considered opinion that once we complete and de-risk the buyer from risks of acreage, the reserves and the quality of reserve, the valuations will be far better than if we simply sell on the reserve estimate of a third-party. So given that we would want to create value for our stakeholders and not sell their assets cheap, we would want to develop this asset and realize the real value that we should.

Diwakar Rana: So one question on the financial P&L. So we have reported Rs.18 crores of loss from discontinued operation. So can you please explain from this Rs.18 crore loss pertains to?

Sandeep Garg: I think I'll ask Mr. Lalit Jain to take this question, Lalit, if you can answer this.

Lalit Jain: Basically, we have sold our one project, Welspun Infracore Private Limited MCP project, in which major maintenance provision has been provided for Rs.36 crores, and we have a holding 51%. So this is basically notional loss. Once you will sold remaining equity it will be come back to us so there's no any cash loss in this.

Diwakar Rana: So this will be onetime, right?

Lalit Jain: But it is notional loss. It is not cash loss.

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Sandeep Garg: So this is because we still are holding for sale the 51% equity of MCP, the decisions of the future buyer or the current holder of 49% equity put our notional losses and gains to us, which are not really impacting our cash flows or overall profitability of the company.

Diwakar Rana: Okay, sir. Also lastly I want to just congratulate Michigan team to participate in the Uttarakashi rescue operation.

Saurin Patel: Thank you very much. I appreciate it on behalf of the team.

Sandeep Garg: And we, as Welspun are always there for the country. So I think Michigan is adding a few steps in that direction.

Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Sir, firstly, on the execution, I agree that there are project-specific reasons why we could not achieve the execution. But I don't think there is any infra company in India at this time, which have reported lower revenues in this 9 months compared to last year.

So are we making some mistakes in terms of the project selection when it seems like every project of us is facing some or the other bottlenecks when it comes to execution. And this is significantly below the guided run rate also. So as a whole, something has definitely gone wrong when it comes to our execution side.

Sandeep Garg: Very happy to take this question. It's a very honest question in which I will try and give the answer honestly as we can. Transparency is what we believe will be the best tool. So if you look at most of our peers, they have multiple projects of smaller and larger values, which are parallelly chugging along.

So what happens in their case is that even if 2, 3 projects are slightly not making progresses

because of unintended or unforeseen situations, the challenges at the revenue level are much lesser than ours. In our case, we have large value contracts and a fewer contracts because we genuinely believe that the model that we have selected is more amenable to larger contracts than to smaller contracts.

The smaller contract, there is a lot of competitive environment and we cannot get projects at the margins that we need

to maintain the profitable growth which we are absolutely committed towards our investors. So the choices that we are left with are very, very limited either to take the high-value complex projects and create value for you guys in terms of for all our investors and everybody in terms of having higher EBITDA in the industry and converting it into higher PBT by using the right model or else go into a very highly competitive environment and have multiple projects, which will allow us a more stability at the revenue level.

Now as we will grow into this business and we will have multiple offerings in water as well as transportation section, the reason we moved away from the world road to transportation is to address these vagaries that you are right now alluding to. Our intent is very clear that we will want to have orders in space which can allow us to get the returns that we are targeting with the risks not being very high.

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Now there can be some up and down on the revenue side, but our EBITDAs and our PBTs and our PAT will remain at least at the PBT and PAT level better than most of the players in the industry. So I think these are challenges that any company on our business model will have, and it will only get solved by us getting into diversified areas and into multiple geographies so that a couple of projects do have these challenges, the revenue is not so impacted going forward. I hope I've answered the question to your satisfaction.

Sarvesh Gupta: Yes, sir. I mean my only feedback is that it is one thing to fight it out and eventually get what one has bid for in a fair manner. But the time value that the organization spends and doesn't get any execution during that time is also lost in a way. So I guess maybe there are some ways in which we can improve that.

Sandeep Garg: I'm sure we are working as I addressed also in my opening remarks to the teams at Welspun are working to debottleneck and improve this execution rate. But you must appreciate a point that my CFO and myself tried to drive in. Despite the lower revenue, our EBITDAs have more than compensated for any loss of profit for our investors.

So practically, if you look at it, what it means to you is from the same contracts over the period of its execution, we are going to turn much more profit for you by doing what we are trying to do rather than go in with a faster pace of execution and erode the profit margin. So these are the difficult decisions we have got to make on a day-to-day basis.

As I said that I have taken a decision to account in the SNRP project that government is not in a position to give the pond ash, which they were obliged under the well-stated policy, I have gone ahead and took a decision that we will do to complete the project by soil rather than pond ash, absorb that cost and still maintain a very high profitability because that is the way the bid was put in.

And we have put in a claim on NHAI, which is a large value claim, but not accounted for. So we are practically doing a very conservative accounting and maintaining a reasonably high level of profitability so that our investors and stakeholders get the return on the investment that they have made on us.

Sarvesh Gupta: Understood, sir. And that brings me to my second question basically. So even last quarter, which was less than 3 months back, we were talking about 10% to 11% EBITDA margin. Now this 9 months, we have achieved 14%. This quarter, we have achieved 17% and even if I look at the internals, our gross profit has increased from 19% to 30%, employee expense has also increased from 5% to 7%.

Other expenses have gone up from 6% to 9%. So there are a lot of changes, which has come into the P&L, and it's very difficult to understand what is a normalized sort of levels for all these P&L items. So it would be helpful if you can

just walk through that. Where are we proposing to reach with all these rapid changes in just 9 months and even from last call to now from 10% to 12% EBITDA margin guidance to achieving 14% in 9M. So how should we pencil it and look at all of this?

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Sandeep Garg: So although I would encourage you to have a one-on-one conversation with our CFO and our investor team to get into the specific details, but at a macro level, I would want to answer this question in these words. Number one, that our guidance for the EBITDA margins on our medium to long term remains at about 13% to 14%.

This year is a bit exceptional because certain contracts, which were closer to completion, we could reverse certain costs because of better settlements and hence, report better profit margins. We have settled certain claims as well. The second thing that I would want to address this with is that in terms of our projects execution, we are very conservatively account for all the costs and risks and contingencies or initial things of our project.

As soon as they are -- our cost to completion becomes more apparent, and we are able to release our profitability in terms of from the contingencies and the risks that we have provided for, most of our projects, we see a gradual increase of profits. So that's the way the conservative accounting works for us. So this slight variations in profit levels of the project will be determined in what phase of execution those projects are.

In terms of the cost of manpower vis-a-vis the last quarter to this quarter, I think we have a variable pay concept. And last quarter, because the complete variable pay was not people who are not entitled to complete variable pay, there was a reduction in the cost. So there is no substantial increase in the cost. So I don't think there is any substantial increase in the manpower cost.

So we have a stabilized working on the manpower cost per se and my team would be very happy to take you through the normalized numbers that can happen that you can take for on a regular basis, if that is what you would expect on an annualized basis, quarter-on-quarter notwithstanding.

Sarvesh Gupta: Sir, and last question is on FY '25 revenue guidance. So I think my -- earlier, we were thinking that we should be able to do Rs.3,600 crores, and that was I think, excluding Michigan itself.

Now we are talking about Rs.2,700 crores odd in this year. So next year in FY '25, are we only thinking about Rs.3,200 crores, Rs.3,300 crores excluding Michigan or is it like --

Sandeep Garg: As you said, we have met with some unforeseen circumstances, and I would want to give a guidance only on 15% to 20% increase on the number of FY '24, which are closer to FY '23 numbers on a stand-alone basis. The attempt would be to improve upon them, but I don't think we will want to commit to that right now.

Moderator: The next question is from the line of Amit Shah from Nuvama. Please go ahead.

Amit Shah: So we saw at a group level that the green hydrogen business that we were earlier exploring, Welspun Enterprises not going ahead with that, considering that it is highly capital intensive, but it is still growing at a group level.

So I just wanted to understand, are there any synergies of building the plant or any orders coming in from this project at a group level, one. Also, what I wanted to know was, since we have dropped this green hydrogen project, are we still looking for --

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Sandeep Garg: I lost you in between after that we have decided as Welspun Enterprises to stay away from green hydrogen. And I lost you. Can you complete that question.

Amit Shah: Sure. So also what I wanted to understand was, apart from the green hydrogen things. Okay. So my question was, do we have any synergies at the group level where

rein the green hydrogen is

still getting built by the Welspun Group itself. So from an infrastructure side, any infrastructure opportunities, orders arising out of that, if at all, we have any expertise there in building of any such project, one? And apart from the clean hydrogen thing, are we looking at any other renewables area as well.

Sandeep Garg: So I can answer the question to the extent that I know. The right person to answer these questions will be Mr. Kapil Maheshwari, who is heading the green hydrogen or new energy business.

However, as a principle, the group does not believe in cross contracting from one vertical or one company to another, and we operate on a pure hands away kind of a business.

So anything that we will get even if it's from a group company will be on its own merit. I don't foresee anything happening. We keep our interactions within the group as a related party transactions to the least possible levels. So that's what I would want to let you know. And that's the principle on which the whole group operates.

Amit Shah: Okay. And sir, if you can highlight any other area of renewables are we still looking or that's a completely close thing now?

Sandeep Garg: At Welspun Enterprises, we are not looking at any green or otherwise renewable energy space. I am sure Mr. Kapil Maheshwari is definitely looking at the complete spectrum. And I would encourage that through the IR team, you interact with them and see where they are taking this

business and see if there's an opportunity for you to contribute to their success.

Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : So most of my questions have been answered. Just a few questions. Sir, as you said, that we face some loss that we could not complete in Q3. So could you quantify that how much would that be? And would that all come in Q4 or will it be lower to FY '25?

Sandeep Garg: So we don't believe that because the lower layers of roads, etcetera are not ready. And similarly on Dharavi, the soil did not behave the way it was expected because of the soil testing, and we have to go for shoring. So those lost times, will we be able to recover that revenue in Q4 looks highly unlikely.

And that is why I lowered down the guidance. That revenue has gone nowhere, but it will get recognized in the FY '25. However, we have become conservative in giving the guidance, and we would want to stay with the guidance that we are going to see an increase of 15% to 20% on FY'24 actual revenue in FY '25. I hope I've answered the question.

Darshil Jhaveri: That's fair enough, sir. And sir, what you are speaking in terms of FY '25 guidance was on a stand alone basis, right? So how would we guide for Michigan, would that be on the same level?

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Sandeep Garg: So in Michigan, we expect the revenues to be in the ranges for the next FY '25 to be in the ranges of about Rs.500 crores as compared to about Rs.375 crores Rs.380 crores this year.

Darshil Jhaveri: Perfect. And Michigan has similar type of margins in our current business?

Sandeep Garg: Their EBITDA margins are at the level of about 21% to 24% and their PAT is around 15%.

Darshil Jhaveri : And sir, just one last question, sir, with all that happening right now, maybe something related to election, do we see any kind of risk that like the order flow might be reducing or something or any kind of overall risk that you see in the company currently that macro or micro whatever you could see.

Sandeep Garg: -So the way I look at the business right now, that obviously, during the phase of election, which is going to be 2 months, 2.5 months, the awarding will get slow. But given that we still have at least 2 months ahead of us, I don't see that my FY '24 target of booking about Rs.6,000 crores is at risk until the client

s delay to a large extent to what their forecasts are. I see practically very low risk on that.

Having said that, during the election phase, obviously, the awarding will get stopped. However, in the FY '25, it will pick -up and it will more than cover for the backlog that has been created because the infrastructure push by the government remains unchanged even during this interim budget, if you see the allocations have gone through by almost an 11% increase.

Moderator: The next question is from the line of Yug Mehta from A P Capital. Please go ahead.

Yug Mehta : Sir, last quarter you mentioned some projects from MSRDC and water treatment projects in Bhandup. Is there any progress on those leads?

Sandeep Garg: So in terms of Bhandup, we have already bid it. The project is now close to the commercial bid opening. Hopefully, in the next 10, 15 days, that should open. So we are very hopeful about it.

In terms of the MSRDC projects, we have qualified for 17 out of the 26 projects, we stand prequalified, and we will be bidding the biggest due on March 1. Hopefully, it will get awarded before the end of FY '24, all going well.

Yug Mehta : Sir, we have about Rs.930 crores of cash available. Can you provide some detail how we are planning to deploy this cash?

Sandeep Garg: So we do have a commitment of about Rs.230 crores of the balance capital towards the equity requirements on the projects in hand. The balance capital allocation is a decision of the board, which they will decide for FY '24. And once it is known as to how where they would want us to allocate the capital, we will share with all of you in a transparent manner.

Yug Mehta : Okay. Sir lastly, sir, margins that we have booked on projects, is there any risk of reversal.

Sandeep Garg: Lalit, would you want to take it.

Lalit Jain: There is no reversal because we are doing the conservative accounting. There is no question of reversal in future.

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Sandeep Garg: So just to add to what Lalit has said, we are very conservative in accounting for our profits. We don't account until unless we are reasonably sure that there is no need for any reversal. So we don't foresee any reversal.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to Mr. Sandeep Garg for closing comments.

Sandeep Garg: Thank you. I want to thank all participants for joining us despite having to reach you on this call today, and I hope we have been able to address all your points. We remain committed to creating value for our stakeholders, and our focus is on delivering improved return on equity and return on capital in cost.

I look forward to speaking to you once again in near future. Meanwhile, please feel free to reach out to our Investor Relations team, Siddharth, Salil or SGA, our IR agency, for any questions or feedback. Thank you and prosperous 2024 for all of you.

Moderator: On behalf of Welspun Enterprises Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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"Welspun Enterprises Limited Q4 FY24 Earnings
Conference Call "

May 22, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 22nd May 2024 will prevail.

MANAGEMENT : MR. SANDEEP GARG – MANAGING DIRECTOR ,
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MR. SAURIN PATEL – MANAGING DIRECTOR , WELSPUN
MICHIGAN ENGINEERS LIMITED
MR. LALIT JAIN – CHIEF FINANCIAL OFFICER ,
WELSPUN ENTERPRISES LIMITED
MR. SIDDHARTH BHARDWAJ – HEAD (INVESTOR
RELATION S), WELSPUN ENTERPRISES LIMITED
MR. SALIL BAWA – HEAD (GROUP INVESTOR
RELATION S), WELSPUN WORLD

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Moderator : Ladies and gentlemen, good day and welcome to Welspun Enterprises Limited Q4 FY24 Earnings Conference Call.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “ * ” then “ 0 ” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Salil Bawa - Head of Group Investor Relations, Welspun World. Thank you and over to you, sir.

Salil Bawa : Good afternoon to all of you. On behalf of Welspun Enterprises Limited, I welcome all of you to the Company's Q4 and FY 24 Earnings Call.

Along with me today, I have here Mr. Sandeep Garg - Managing Director of Welspun Enterprises Limited , Mr. Saurin Patel - Managing Director ; Welspun Michigan Engineers Limited , Mr. Lalit Jain - Chief Financial Officer for Welspun Enterprises , Mr. Siddharth Bhardwaj - Head IR for Welspun Enterprises.

We hope you have had a chance to review the Investor Presentation that we filed with the exchanges. The presentation is also available on the company's website. During today's discussion, we may be making references to this presentation. Please do take a moment to review the Safe Harbor statement in our presentation.

As usual, we will start the forum with the opening remarks by our leadership team and then we will open the floor for your questions. Once the call gets over, should you have any further queries that remain unanswered post the Earnings Call kindly feel free to reach out to anyone of us.

With that, I would now like to hand over the floor to Mr. Sandeep Garg - Managing Director , Welspun Enterprises. Over to you.

Sandeep Garg : Good afternoon everyone. Welcome to the Welspun Enterprises Q4 and FY24 Results Conference Call. I would like to thank all participants for their presence. We have uploaded our

Results on the Exchanges and our Website, and I hope you have had a chance to review the same.

We start FY25 with the highest ever standalone opening order book of Rs. 12,200 crores. This order book includes close to Rs. 3,600 crores of operation and maintenance. This is a clear reflection of WEL's diversification strategy and our meticulous approach to order selection. The

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water vertical now has a share of close to 67% in the order mix with the balance being in the transportation vertical, if you are to consider only the EPC order book. Post our results we have emerged L1 in one of the MSRDC road projects where our quoted price is Rs. 1,864 crores approximately the details of which have been uploaded on Stock Exchange. We would inform you further details of the project once the LOA is issued by the client.

Our subsidiary, Welspun Michigan Engineers Limited, has an opening order book of Rs. 1,600 crores this makes our consolidated order book formidable Rs. 13,800 crores which is about four times our consolidated revenue for the FY24. Although it is not material from the listed entity point of view, but I would like to mention that Welspun Michigan has also emerged L1 for an order worth Rs. 170 crores, the details of which will be shared by Mr. Saurin Patel - Managing Director of WMEL in his address.

I am certain you will appreciate the immense visibility such an order book provides. We are certainly not pausing here and we are working to further build on our project pipeline.

e. Our future

ordering within the transportation vertical we have seen a continued muted period in the last quarter having said this, we see promising road opportunities from NHAI and in the state of Maharashtra in the next few quarters. I would like to reiterate that we at Welspun are extremely positive on opportunities that lay ahead of us. We believe the country's CAPEX spend will double over the next 5 years from the base of approximately Rs. 11 lakh crores.

Our balance sheet strength positions us extremely well to seize on this opportunity and thus deliver many years of profitable growth. At Welspun, we strive to achieve excellence in every sphere of activities that we take on. In this direction, we are pleased to share that Welspun Enterprises has been recognized and certified as a great place to work by GPW Certification agency. Welspun also saw one of the highest employee participation among the corporates, which was at 96% during the certification. I am also extremely pleased to share that trust index of 88% of Welspun Enterprise employees have rated us as a great place to work. Our ranking will be announced on June 20th, which we will share with you in our next engagement.

While we have grown sequentially on a quarterly basis, our revenue in FY24 has dropped on a year-on-year basis by 8%. Our standalone FY 24 revenue is Rs. 2,450 crores while total income is Rs. 2,553 crores. Though we are expected to do a bit better on revenue, our holds on work front on our SNRP and VARP projects and continued challenge on our ESR construction on UP JJM project led to deferment of revenues to FY25.

I want to assure you all that our teams across the transportation and water verticals are continuously solving these issues on real time basis. I would also like to mention that in FY24

we achieved EBITDA of Rs. 439 crores on standalone basis which is the highest standalone EBITDA for our company in any financial year. On consolidated basis our revenue has grown to Rs. 2,872 crores with total income of Rs. 3,063 crores this marks the highest consolidated revenue in the history of our company. Similarly, our consolidated EBITDA of Rs. 616 crores for FY24 is the highest in the history of the company.

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I would like to emphasize that the model we follow for developmental projects involves a life cycle of 5 years this includes the period of project construction, stabilization and monetization. Considering this life cycle, we have delivered an average PAT percentage of over 12% in the past 5 years. The accounting classification notwithstanding this PAT percentage is a reflection of business potential and the model that we follow.

The details of the financials will be covered by CFO, Mr. Lalit Jain in his address. I am also pleased to inform that the board has recommended dividend of 30% on face value that is Rs. 3 per share for approval by the shareholders. I want to mention that excluding the current

recommendation of the board, we have distributed over Rs. 700 crores by way of dividends and buybacks which translates to return of about Rs. 50 per share.

Now coming on some operational highlights on major projects for the concluded quarter, our HAM project Aunta-Simaria has gathered pace in execution and we anticipate this to continue as we target the completion. The bridge work is more or less complete by more than 90%. The balance works are primarily road and approach which we target to complete by Q3 FY25.

Our HAM road project of Sattanathapuram Nagapattinam SNRP is progressing, but I must share that the pace is slower than our plans. We have interacted with clients on both non availability of pond ash and earth materials and delays in approval of mines for Earth extraction. We remain confident to deliver the project on targeted timelines. Our EPC work of Varanasi Aurangabad NH-2 is progressing well and we are on track to meet our completion target date. It is an honor to share that our section of the National Highway was selected to be inaugurated by the Honorable Prime Minister, which is a testimony to the quality of execution that we deliver for our clients.

Coming on our water vertical, our UP JJM project in the state of UP under the State Water and Sanitation Mission is progressing well and despite challenges of multi locational distributed work, this project has crossed a significant milestone of 50% of targeted household connections. Skilled manpower shortage, especially for ESR, has affected pace of progress. We are deploying various strategies to overcome this shortage, including the precast option and also steel which we have proposed to the client. Dharavi Wastewater Treatment Facility, our project to deliver the Clean Mithi River has progressed well after a period of delays in earlier quarters, we have moved ahead with the improved execution. We have planned our execution in a manner to minimize the impact of the impending monsoon months.

We have added another significant order in the last quarter and I am pleased to inform that the Design, Build and Operate DBO for the development of the new 2,000 MLD water treatment plant at the Bhandup Complex, including civil, mechanical and electrical instrumentation work has been awarded to the company. The project is to be designed and constructed within a period of 48 months from the notice of to proceed, which is still awaited and thereafter operated for a period of 15 years. The total contract value excluding GST is Rs. 4,123 crores the split of which is that the design build is Rs. 2,243 crores while O&M is Rs. 1,880 crores.

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During the quarter, we continued with the efforts for development of Oil and Gas field blocks housed in the joint venture Adani Welspun Exploration Limited. We submitted our EDP to the regulator for our Block MB-OS N-2005/2 or what we call Mumbai Block in this quarter. Subject to the approval of EDP by Government, our endeavor is to commence gas production by FY26 - 27.

We have awarded the contract for well Design and Engineering and also finalized the peak contractor. We have the approval to invest Rs. 100 crores into this venture in the current financial year. I would like to reiterate that in line with our prudent approach, we will commit future capital only upon clear visibility of commercial viability.

As a conclude, I am delighted to share that Welspun Enterprise was bestowed with 2 national accolades at the 15th CIDC Vishwakarma Awards, Construction HSE Award and Artisans and Supervision Award for UP JJM Mission and our EPC work at Varanasi Aurangabad Road Project.

With this, I now hand over the call to Mr. Saurin Patel - MD of WME L.

Saurin Patel : Thank you, Sandeep and good afternoon everyone.

I am happy to share that we have clocked a highest quarterly revenue in Q4 FY 24 at Rs. 141 crores. Our revenue for full FY24 is Rs. 411.8 crores this marks a growth of approximately 30%. Having completed the process of integration with Welspun Enterprises, I am extremely optimistic of increasing our growth momentum in FY25 and beyond. This performance has been consistent from a margin perspective wherein we have achieved an EBITDA margin of 23% for the full year, which translate to a whopping Rs. 99 crores. Both our current projects as well as potential new wins give me immense confidence of sustaining these margin levels.

We have currently 18 projects which are spread across micro tunneling, segment tunneling, marine works, pumping stations, rehabilitation of underground sewer lines and bridge construction. These combined projects give us an outstanding order book of approximately Rs. 1,627 crores with Rs. 170 crores of operations and maintenance. This order book is largely executable

over the next 36 months. I must add here that I am not including an order of Rs. 170 crores from MCGM to rehabilitate underground sewers using glass reinforced polymer liners where Welspun Michigan has been declared L1. I would like to reiterate that we foresee vastly larger opportunities ahead. These opportunities are both from new geographies due to Welspun World's wide reach as well as new initiatives that we are evaluating such as working with new technologies.

We have been an engineering solution provider for urban and infrastructure needs, which is a niche area and we wish to operate in the specialized niche areas of tunneling and water rehabilitation projects on a large scale. Historically, we have been a very profitable company and our EBITDA growth over the last 3 years has been a CAGR of 33%.

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I would now like to share a brief on an exciting new technology partnership that we will be introducing to India. Smart Ops is a cutting -edge technology to convert grey water into an asset. It is modular, scalable, cost efficient and easy to deploy technology in a water body or drain point to rejuvenate or recycle the water, rivers, sewers, ponds and lakes. This involves biological treatment of wastewater with minimum wastage and provides tertiary treated water potable water for commercial and domestic use. Besides Smart Ops, we at W elspun Michigan Engineers are pioneering hyper tunnel which will replace or substitute in part the existing methods of box pushing for road under bridges and the widely used NATM method for hand mined tunnel ing, a unique combination of proven technologies using artificial intelligence, 3D printing and swarm robotics from diverse industries to build a tunnel and enhance any underground scheme. This is a new approach, a radically new approach which is safer and more sustainable than current techniques, and is claimed to be 5 times faster than the current ways .

Our order pipeline is healthy. And with the rollout of the new technologies for the future that I mentioned earlier, we retain our sites on projects worth Rs. 20,000 crores. We will be bidding for these on a selective basis.

With this I will close my remarks and hand the call to Lalit Jain – CFO of Welspun Enterprise Limited for updates on the financials. Over to you , Lalit.

Lalit Jain : Good afternoon to everyone and many thanks for being a part of this call. I am sure you would have had an opportunity to review our financial numbers published.

Our standalone for FY24 total income is Rs. 2,553 crores and PAT is Rs. 285 crore s for FY24. I am happy to inform that we have delivered the highest reported EBITDA of Rs. 439 crores which work out to a margin of 17.2% .

For Quarter 4 FY24 our revenue from operations stood at Rs. 644 crores and along with other income, our total income was at Rs. 665 crore s. We reported an EBITDA of Rs. 97 crores which works out to a margin of 14.5%. Our profit before tax for Q4 FY24 is Rs. 87 crores which work out to 90% conversion of our EBITDA to PBT. This is predominantly because of our unique business model , which give us the ability to retain a very large part of our EBIT DA.

I am confident we will continue to scale our operation while being true to the successful model. You may recall that we have given a guidance of reported EBIT DA margin in the range of 13% to 14% we will maintain this. Our other income has dropped by 64% to Rs. 22 crores from Rs. 60 crores in Q4 FY23. This is due to the high base from Q4 FY23 where we had the large part of our proceeds from the asset sale to Actis on our balance sheet.

Likewise o ur finance cost has dropped 67% year -over -year to Rs. 8 crores in this quarter since we retired, NCD that were outstanding in Q4 FY23. I do not anticipate an increase in interest expenses from this level in near future .

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Our effective tax rate will be 25% in the normal course , but for this quarter, it is close to 28% due to additional tax provisions taken for earlier periods. Our standalone profit after tax is Rs. 64 crores please note this is not comparable with Q4 FY23 number. There was an asset sale transaction we undertook with Actis Highway in December 2022 which resulted in exceptional income of Rs. 37 crores .

Now coming to our consolidated numbers :

Our consolidated FY24 total income is Rs . 3,063 crores and PAT is Rs. 319 crore s for FY24. I am happy to inform that we have delivered the highest consolidated reported EBITDA of Rs. 616 crore s which work out to be a margin of 20.1%. For Q4 FY24, our revenue from operation stood at Rs. 821 crore s and along with other income, our total income was at Rs. 867 crore s. We reported an EBITDA of Rs. 157 crore s, which works out to a margin of 18.1% . Our PBT Rs. 120 crores and PAT stand at Rs . 78 crores .

I would like to mention that due to consolidation of Michigan Engineers as a subsidiary :

The contribution of Michigan E ngineers towards EBITDA is Rs. 31 crores however, 49.9% of Michigan PAT has been reversed due to minority interest.

We have a strong balance sheet with the net cash of Rs. 923 crores as on 31st March 2024 at standalone level. The reduction of Rs. 625 crores as compared to 31st March 2023 is on account of buyback worth Rs. 289 crore s payout for M EPL acquisition of Rs. 137 crore s, followed by the equity investment of Rs. 156 crore s in ongoing project and the re maining amount used for the working capital.

Now I transfer this call to Mr. Garg . Thank you.
Before we open the forum for Q&A.

I would like to correct myself that currently while talking about the new win for which we have been declared L1. I said the name of the client wrongly & I would want to correct myself to say that post our results we have emerged L1 in one of the MSRDC road projects that is in the Maharashtra where our quoted price is approximately Rs. 1,864 crores. I would request to bring this correction on record.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Siddhant Singh from Green Portfolio, please go ahead.

Siddhant Singh: So my first question is in the semiconductor industry there is a need of ultrapure water, so as we are into the water infrastructure segment, so do we are targeting that technology also or what are our take on that ultrapure water?

Sandeep Garg : So let me respond to this question by saying that we are not into technology per se ourselves for development. We use the existing technologies to deliver project. In terms of the technology
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associations that we enjoy at this point in time, we enjoy our relationship with Xylem which is world's one of the largest water treatment and product supplier. We also enjoy our relationship with Veolia, which is the largest water treatment technology supplier. So technology is something which we have an access to anything that we should require for a particular project. Welspun Michigan, on its part, is associating with new technologies and new ways of achieving desired results, but that technology is not targeting ultrapure water, so I hope I have answered the question.

Siddhant Singh: Can you give the detail of current bid pipeline, how much order you have bid for in water and transportation verticals and also the historical conversion rate?

Sandeep Garg : Normally in the water, our conversion rate is extremely high because we have bid very selectively. Now talking about the opportunity on water business, there is a huge opportunity as we all know the short term opportunity of pipeline that we see at the top of the canvas is about a lakh crores in the areas that we are

interested in. So this is a short term, which means that we expect these to fructify in FY25. As we speak at this point in time, there are no open bids on water. There is an open bid on a transportation section, but there are no open bids on the water segment.

Moderator : The next question is from the line of Dhananjai Bagrodia from ASK. Please go ahead.

Dhananjai Bagrodia: Congratulations on good set of numbers. I wanted to ask you mentioned that there is a Rs. 3 lakh crores project for water available which are there how much would be addressable to us and what segments are you seeing this Rs. 3 lakh crores?

Sandeep Garg : Approximately, see that is a larger canvas, which is a short term and a medium term by water segment. The segments that we have targeted are primarily distributed in 3 heads that is the transmission, treatment and distribution. So treatment per se includes the water and sewage or a wastewater treatment, desalinization and river rejuvenation, so in treatment we cover 3 aspects while transmission includes the pipeline and the river linking works. So if I were to look at this total canvas, we see opportunities in the Maharashtra of about Rs. 1,25,000 crores, in the Madhya Pradesh about more than Rs. 50,000 crores, in Uttar Pradesh approximately Rs. 17,000 crores and the list goes on.

Dhananjai Bagrodia: So in this Rs. 3 lakh crores, how much would be addressable to us or say would it be only the lag of treatment cause the pipes would come in corps? So that won't come in the transmission part won't come to us, so only the treatment part be to us, right?

Sandeep Garg : When I am talking about these are the project values which we can target in terms of construction contracts on EPC basis. Now if the pipes have to be bought from a company whether it is Welspun Corp or any other company that will be a supply for the company which wins it rather than anything else, so it is not an excluded there.

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Dhananjai Bagrodia: So regarding this right now in the water opportunity, so we just come back to the same thing, so Rs. 3 lakh crores, is there any idea in terms of like when this could be executed by, how would it go and how are we seeing in this Jal Se Nal, on their official website they are above 80% in terms of their targeted households, is that something which you think we are ending the cycle? How are we looking at that?

Sandeep Garg : Sorry, could you repeat the last part of your question please?

Dhananjai Bagrodia: So on the official Jal Jeevan Mission on their website, they say there is a significant portion of their water taps, which they want to reach are done, but there nothing has been explained on how much is now for the river linking, so how do we see that segment grow, because I believe that tap the last leg has been done in most of the households?

Sandeep Garg : So household connections and the government is pretty much focused on delivering it and the official website I haven't browsed it, so I will take it on a face value as to what we have done , but as far as the orders that we have, we have crossed the house hold connections of more than 50% on the 31st of March and the pace at which is growing I am sure we would be somewhere close to 65 %-70% at this point in time. However, the government is on terms of river interlinking, the projects are just about to take off they will be bided going forward after the elections are over that is what our anticipation is so that work will start unfolding from FY25 and go for a few years going forward.

Dhananjai Bagrodia: So for us now since we are not in the last leg of distribution since we are in transmission treatment for us the opportunities will be much bigger going ahead vis-à-vis some of the P VC players who are in the distribution part is that the right way to answer this?

Sandeep Garg :

I would want to correct that we are already in distribution. If you look at it, Dewas water project is distributing water to the industries in MP and in UP JJM , we are already doing distribution to the villages, about 1 ,070 odd schemes, about 2 ,500 villages , so we are already in distribution. So it is not a arena which is outside our capability to deliver projects.

Dhananjai Bagrodia: And, sir lastly in the order book, we have roughly around Rs. 14,000 crores. How do we see that executable over time and how should one look at those numbers?

Sandeep Garg : So as we look at this time I would want to say that the FY25 looks healthy. We anticipate from the orders that we already have in hand somewhere around Rs. 3,000 plus crores of revenue should mature on a stand alone basis for the Wels pun Enterprises and the orders that are in the offering we expect that we would be able to add another about R s. 300 crores to this number. And in terms of the consolidated level, we do believe that we will be somewhere around Rs. 4,000 crores on a consolidated basis.

Dhananjai Bagrodia: So it is fair enough to assume that 1/3 of the order book gets executed over every year.

Sandeep Garg : Yes.

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Dhananjai Bagrodia: And lastly, just coming around, are we looking at any CAPEX number for year? How should one look at that ?

Sandeep Garg : The pre-committed CAPEX at this point in time into the business is approximately for the HAM projects is approximately about Rs. 200 crores and about Rs. 100 crores towards the Oil and Gas. The balance cash reserve is available for any further growth of the business.

Moderator : Thank you. The next question is from the line of Srikrishna Agarwal from Agarwal Consultancy. Please go ahead.

Srikrishna Agarwal : Just wanted to know, sir, you have the existing order book of around Rs. 15,661 crores including your subsidiary and your normal time limit is 3 years for completion of the project , so can we assume that the annual turnover will be increasing to Rs. 5,000 crores per year?

Sandeep Garg : As I just said that we expect the turnover for FY25 on a consolidated basis to be around Rs. 4,000 crores.

Moderator : Thank you. The next question is from the line of Nirav Shah from GeeCee Holdings. Please go ahead.

Nirav Shah : So firstly from our press release, you have mentioned that we have 5 road projects bids where the results are awaited , but I believe this would be the yesterday and does it include the recent MSRDC order where we are L1?

Sandeep Garg : So out of the 5 open bids at that point in time when we went to the press release 4 have opened and one of them we have emerged L1. There is 1 bid which is still not open which is the NHAI , so we are awaiting that result whenever it opens.

Nirav Shah : Second question we have mentioned that we have derived the Michigan top line at around Rs. 141 crores for the quarter. What is the corresponding EBITDA and PAT for the quarter from Michigan?

Saurin Patel : The corresponding EBITDA is Rs. 99 crores for the full year. For the quarter Michigan EBITDA is Rs. 32 crores.

Nirav Shah : And last quarter we gave a guidance of Rs. 500 crores for Michigan , but if I just derive the console minus standalone standard, you have given a guidance of Rs. 3,000 crores on existing book plus another Rs. 200 to Rs. 300 crores on the new wins , so our Michigan guidance would be approximately Rs. 600 crores to Rs. 700 crores for the current year?

Sandeep Garg : That is correct. It will be about Rs. 600 plus crores .

Nirav Shah : And another last question is , sir from when will we start the execution of Bhandup project?

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Sandeep Garg : As I stated in my opening statement, we are awaiting the notice to proceed, I think post the

election process is complete we should go

to the notice to proceed and thereafter we will start the

work. If it is very close to the monsoon period we will not hit the ground we will hit the ground post the monsoon period.

Nirav Shah : And on Michigan just lastly, the Rs. 600 crore s top line would be at stable margins of existing 23%-24% , am I correct in assuming that?

Sandeep Garg : That is correct .

Nirav Shah : Thanks sir for an encouraging guidance. Looking forward we meeting our own expectations, sir. Great thanks a lot and all the best sir.

Moderator : Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : Congratulations on a great set of results. So a lot of my questions have already been answered. I just wanted to just pick you up in a bit in terms of the margin side , so on a consolidated basis our margins can hit 15%, because Rs. 600 crores will be at a higher and then our norm is 13%-14% margin in the standalone , so is that a fair assumption sir?

Lalit Jain : For Michigan you are talking?

Sandeep Garg : No, for consolidated basis for guidance of the margin if I get you correctly the question is what is our guidance on the margin for the FY25 on a consolidated basis ?

Darshil Jhaveri : Yes, sir .

Salil Bawa : Sorry, we don't have guidance on a consolidated basis on margins. As the CFO has mentioned we will retain our guidance on margins going forward at 13% to 14% on a reporting basis on standalone . On a consolidated basis as Michigan evolves, we maybe look forward to giving guidance on the same in the near future.

Darshil Jhaveri : And just wanted to ask sir with regards to currently out of elections or something , can our order book be impacted with a change in regime or how do we just see that risk in terms of how we are going forward, sir ?

Sandeep Garg : So the order book that we have under our belt remains unchanged for sure, irrespective change if any governmental regime change and I believe that the forecast also remains unchanged because no matter which government comes in I think the impetus on development of infrastructure shall stay.

Moderator : Thank you. The next question is from the line of Sriharsha K J, who is an Individual Investor. Please go ahead.

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Sriharsha K J: The EBITDA margins which are reported of 20.1% for financial year 24, is it sustainable going forward or will it remain at 13 % to 14% ?

Sandeep Garg : As we have always maintained, our guidance is 13 % to 14% on the EBITDA . This term is an aberration to that normal, but we will strive to improve, but that is our guidance for you to consider.

Sriharsha K J: Another question, sir, regarding your order prospects of the big pipeline. You told on this water project it is around Rs. 3 lakh crore s, what is the order prospects for the transport sector and then for the other subsidiary on Michigan ?

Sandeep Garg : So the order pipeline as well as the NHAI has announced that they will be awarding about Rs. 5,200 crores of projects on toll . We see substantive order being announced in the FY25, it could be somewhere in the ranges of about Rs. 2 lakh crores that are likely to come through in the coming months or coming quarters and as was stated by MD Welspun Michigan that their order pipeline is to the extent of about Rs. 20,000 crores. However, in terms of what we believe that will fructify, I think the order wins for us on a standalone basis, maybe somewhere in the ranges of Rs. 6,000 crores and about Rs. 700 odd crores for Michigan, so that is what we would believe that we would be happy guiding about.

Moderator : Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta : Most of the questions have been answered and congratulations on a good set of number. So just one clarification is 13 % to 14% guidance

for EBITDA margin is excluding other income or including other income?

Sandeep Garg : It is at the reported EBITDA level which includes the other income .

Sarvesh Gupta : Secondly on the Oil and Gas side, as I understand, so there is Rs. 100 crore s sort of an investment that we are planning in this year and in F Y 25-26, you have said revenue from the first block to be expected, but I also heard something on FY 27, so is it F Y26 that we expect the revenues to flow in?

Sandeep Garg : No, we don't expect the Oil and Gas revenues to flow in F Y26 if there is any past information that you are referring to, I would guide that at the earliest that we can expect the revenue is 26 -

27 and that to subject to the approval of the E DP which we have submitted to the government , so we don't know how much time it will take to approve once it is approved, we will give you a better guidance on that. On the earlier question, I want to clarify that the guidance of 13 %-14% of the reported EBITDA level is for the stand alone and not for consolidated.

Sarvesh Gupta : So it is reported EBITDA including other income for standalone ?

Sandeep Garg : That is correct.

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Moderator : Thank you. The next question is from the line of Shyam Garg from Ladder up Finance Limited.

Please go ahead.

Shyam Garg: I just want to know about the working capital cycle for the coming years FY24 we see an increase in working capital days and how it is going to go in future ?

Sandeep Garg : We do not expect any increase in the working capital days going forward. We will be in the same ballpark numbers going forward as well.

Shyam Garg: Are there any payments from the government which are due and are under arbitration?

Sandeep Garg : We have no arbitration at this point in time with any of our clients .

Moderator : Thank you. The next question is from the line of Divakar Rana from Prudent Equity. Please go ahead.

Divakar Rana : My question is basically you are giving Rs. 4,000 crore s revenue guidance for FY25, so if I remember correctly in last concall you said that we will be doing Rs. 3,000 crore s this year basically in FY 24 and the revenue growth for FY 25 will 15% to 20%. But right now you are saying that the revenue will be Rs. 4,000 crores , so it is kind of a 39% growth in FY 25. So I was asking basically what made you change the guidance from 25 % to 39% for FY25?

Sandeep Garg : So there are 2 reasons of change number 1, there is a clear visibility of orders that we have in hand and since they are starting at the start of the financial year, it helps us forecast a bit better and the Rs. 4,000 crores which you are referring to is on a consolidated basis, the guidance for the standalone remains at a level of Rs. 3,000 crores from the orders in hand and a Rs. 300 crores upside on priority orders that we anticipate to get . So the guidance is anything between Rs. 3,000 crores and Rs. 3,300 crores.

Moderator : Thank you. The next question is from the line of Saket Kapoor from KAPOOR and Company.

Please go ahead.

Saket Kapoor : My question pertains to our Jal Jeevan Mission in the state of Uttar Pradesh . Sir herein you have alluded to the fact that there were some issues pertaining to execution which I missed in your opening remarks if you can clarify it once again ?

Sandeep Garg : See the project involves construction of the ESRs or what we call Elevated Storage Reservoirs . These are just the tanks that you see around in a lot of places. The number of tanks to be built is substantially high and that much of skill set manpower is not available at this point in time , so to do it in a conventional method that is 1 area where we were lagging , so we have opted for doing it as a precast solution , so as to expedite the project and we have also made a suggestion for steel tanks which is going to expedite it further.

So we expect the project to overcome its construction difficulties in the FY25 as we move along.

Saket Kapoor : This was the only reason that led to lower execution of the completion part ?

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Sandeep Garg : In UP JJM section , so as I said, there were certain holds on the major projects which we are undertaking right now which is the VARP and SNRP because of certain client holds and the local holds work fronts we got stuck which we have got released to large extent now. So that resulted in loss of some revenue which got transferred to FY25 from FY24.

Saket Kapoor : When we look at the size of this opportunity since Uttar Pradesh in itself is equivalent to having population equivalent to other countries in the world, so can you allude to the size of this SJM mission ? And also the other players who are awarded these packages ? And what is the total size and going ahead what are the further opportunities post the execution which you are anticipating like you have given a number of Rs. 2 ,900 crores for current year post that also does it involve other scope of work ? And total how many players are working over this project , sir? How big is the total size ?

Sandeep Garg : So you have asked lot of questions in one question. I will try and answer to the best of my ability. So currently if my information is right UP alone has about 70,000 villages currently being connected through the UP JJM mission. So now this mission will not get completed with this, we still will have a lot of states like Rajasthan is coming up , MP is coming up, so there are lot many states which will have a lot many villages still to be connected. UP JJM in UP alone has 4 phases . We have participated in phase-2 of the project , so I think in terms of the continuation

of the opportunity, this will continue for my assessment for next 3 years -4 years. But the larger opportunity in water will unlock once these connections are made because reuse of water will become important. The cycle of water will begin once the water is available and hence I see the opportunity as well as the water is concerned for next 20 years to be there around all these fresh water supply, processing of used water and reuse of the water and making the non-revenue water into asset as well as making the wastewater into an asset, this life cycle for the country I see for at least next 20 years.

Saket Kapoor : So just to dwell further and conclude also the scope of work for Welspun would be greater than just the supply of water this is what your understanding ?

Sandeep Garg : That is correct.

Saket Kapoor : Sir on the number of players who are involved in this project, could you name a few of them other than we have also heard, NCP is speaking about the Jal Jeevan Mission for Uttar Pradesh valued at Rs. 16,000 crore s. Then there is another player Vindhya Telelinks at Rs. 6,000 crores, so just to take the size and the key players, if you could allude a few names?

Sandeep Garg : The people involved include right from the top of the line, Larsen & Toubro to smaller players who have taken about 400 villages, 500 villages, so the spectrum is pretty large. I would think at this point in time UP JJM related projects that are about at least 20 entities if not more involved. Top of the scale will be the likes of L&T and the NCCs and the bottom of the scale would be people which are new entrants like Jackson, etc., so they have taken small steps, ginger steps towards this opportunity. So the spectrum is pretty large, but the opportunity is much larger.

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Saket Kapoor : And it will gather momentum for this financial year this is what the understanding is ?

Sandeep Garg : So what I am saying is UP JJM subsurface schemes, surface schemes, linking schemes all is a very large opportunity, but

the larger opportunity after this that will unfold is once the water has been used what do we do about it, so that is the larger opportunity that shall unfold.

Saket Kapoor : For this financial year, we will be executing Rs. 2,900 crore s worth of the project under this ?

Sandeep Garg : No, the Rs. 2,500 crores, Rs. 2,600 crores, Rs. 2,700 crores is my total UP JJM project for this distribution out of which I think we have delivered about 50% out of this 50%, I think majority of it will be delivered in FY 25, some of it may spill onto FY 26 as well.

Saket Kapoor : Then the Rs. 2,900 value which you provide in your presentation Page no. #38-39 that alludes to which part of the query sir?

Sandeep Garg : So just to clarify the presentation, it is the scope of the project which is about Rs. 2,900 crores in totality, so out of which 50% is executed at this point in time approximately.

Saket Kapoor : I am just missing these two numbers 2,544 and 2,900, so if you could tell what was the size of the order awarded to us, how much has been executed last year or what will we do in the current year?

Sandeep Garg : So Rs. 2,900 crores is the awarded contract value and the number of villages that we are connecting is 2,544.

Saket Kapoor : And how much have we executed for FY 24? And how much will be in FY 25?

Sandeep Garg : Up to FY24, we have executed approximately 50% and the majority will be done in FY25, some of the work will spill on to FY26 as well.

Saket Kapoor : Sir, on the Oil and Gas front I missed the initial part, so I will just go through it if I have some follow up, I will contact the Investor Relation. I missed your opening remarks.

Sandeep Garg : Please feel free to contact our IR.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sandeep Garg for closing comments.

Sandeep Garg : I want to thank all the participants for joining us on this call today and I hope we have been able to address all your queries. We remain committed to creating value for our stakeholders and our focus is on delivering improved return on equity and return on capital employed. I look forward to speaking to you once again in near future meanwhile please feel free to reach out to our Investor Relation team Siddharth, Salil or SGA our IR agency for any questions or feedbacks. Thank you and good day.

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Moderator : Thank you. On behalf of Welspun Enterprises Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Conference Call"

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ANAGEMENT : MR. SANDEEP GARG – MANAGING DIRECTOR ,
WELSPUN ENTERPRISES LIMITED
MR. SAURIN PATEL – MANAGING DIRECTOR ,
WELSPUN MICHIGAN ENGINEERS LIMITED
MR. LALIT JAIN – CHIEF FINANCIAL OFFICER ,
WELSPUN ENTERPRISES LIMITED
MR. SIDDHARTH BHARDWAJ – HEAD (INVESTOR
RELATIONS), WELSPUN ENTERPRISES LIMITED
MR. SALIL BAWA – HEAD (GROUP INVESTOR
RELATIONS), WELSPUN WORLD
MODERATOR : MR. VAIBHAV SHAH - JM FINANCIAL .

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Moderator: Ladies and gentlemen, good day and welcome to Welspun Enterprises Limited Q 1 FY25 Earnings Conference Call hosted by JM Financials .

As a reminder, all participant lines will be in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistant during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Shah from JM Financial. Thank you and over to you Mr. Shah.

Vaibhav Shah: Thank you Manav . On behalf of JM Financial , I welcome everybody to Q 1 FY25 Earnings Conference Call of Welspun Enterprises Limited. I will now hand over the call to Mr. Salil Bawa - Group Head Investor Relations of Welspun World. Over to you sir.

Salil Bawa: Thank you Vaibhav. Good afternoon to all of you. On behalf of Welspun Enterprises Limited, I welcome all of you to the Company 's Q1 FY2025 Earnings Call.

Along with me, I have with us today Mr. Sandeep Garg - Managing Director , Welspun Enterprises Limited ; Mr. Saurin Patel - Managing Director , Welspun Michigan Engineers Limited ; I also have the CFO – Mr. Lalit Jain ; and Mr. Siddharth Bhardwaj who Head s Investor Relations for Welspun Enterprises.

We hope you have had a chance to review the Investor Presentation that we filed with the exchanges yesterday . The same is also available on the Company 's website. During today's discussion, we may be making references to this presentation.

I request you all to do take a moment to review the Safe Harbor statement in our presentation. As usual, we will start the forum with the Opening Remarks by our leadership team and then later on we will open the floor for your questions. Once the call gets over, should you have any further queries that remain unanswered post the earnings call please feel free to reach out to anyone of us. With that, I would now like to hand over the floor to Mr. Sandeep Garg.

Sandeep Garg: Thank you Salil . And good afternoon, everyone. I welcome you all to the Welspun Enterprises Q1 FY25 Results Conference Call. I thank you all for being present today. I am happy to share that we have made steady progress in the execution across all our projects and our subsidiary Welspun Michigan in the concluding 1st Quarter of Fiscal 2025.

This progress has led to growth of 28% on year -on-year basis in our consolidated income to Rs.960 crore against Rs. 750 crore in Q 1 of last year. That's the momentum achieved in the 1st Quarter gives me reasonable confidence that we will remain on track to our guided performance for the Full Year 2025 of Rs. 4000 crores on consolidated basis. We expect that

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EBITDA for the consolidated basis for the year FY 25 will be in the ranges of 700 to 750 crores.

Our subsidiary Welspun Michigan Enterprise Limited , WMEL has commenced FY 25 on a strong note , with revenue of Rs. 144 crores which is a jump of approximately 64% year-on-year. Saurin will share further details in his opening comments.

Our standalone order book right now stands at Rs. 11,600 crores which includes Rs. 3700 crores of O&M, this healthy order book gives us the visibility for the future revenue . Our subsidiary Welspun Michigan has an opening order book of approximately Rs.1500 crores thus making our consolidated order book to about Rs.13,000 crores . Please note that the order book of 13,000 crores excludes EPC bids of approx. of about 2000 crores across Welspun Enterprises and Welspun Michigan where we have been shortlisted as L1 bidders. These L1 bids have not been included in the order book . We are hopeful that these will get awarded in the current quarter.

To sum up, we have a healthy

order book which you all will appreciate, offers clear revenue visibility over medium term. We are working to add around 4000 to 5000 crores of new orders in the current financial year over and above converting the L1 bids into order. These potential new orders will be across all verticals.

We have created water vertical approximately six years back and as on June 30th, 2024 close to 70% of our EPC order book is from water projects. This achievement is a testament to the vision of the Company . The size and scale of our water portfolio as well as the global collaborations and partnerships we are working with give me immense confidence of what the future entails for this vertical. My confidence in the water sector is further enhanced by the honorable Finance Minister's announcement that the central government along with the state and multilateral development banks will jointly promote water supply , sewage treatment plant and solid waste management projects in 100 large cities through bankable projects .

Within our transport vertical, in the road segment, we remain positive on potential opportunities through the new BOT toll structure. I am happy to note that the government is currently considering eight road projects of Rs. 50,000 crores on BOOT basis. We will explore these bids, but at an overall level this augurs well for strong balance sheet developers like us . On EPC and HAM, we will continue to be very selective with the projects that we bid for both at NHAI and state government levels.

It is close to one year of our acquisition of majority stakes in WMEL . We have worked out joint strategies to target opportunities in tunneling that combine WEL and WMEL's capabilities to grow in this niche area.

I feel immense pride in sharing that not only Welspun Enterprises has been recognized and certified as a great place to work by GPTW but we have been recognized as the best in Welspun Enterprises Limited

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industry for construction and infrastructure. And also we have been ranked at number # 37 amongst India's top 100 great mid-sized workplaces .

All the projects namely Dharavi STP, UP JJM under Har Ghar Nal Se Jal scheme, in water vertical , and Aunta -Simari , Sattanathapuram Nagapattinam and Varanasi Aurangabad road projects are running as per currently agreed schedules with the client.

I would like to take a moment to brief that we have recently started Bhandup water treatment project. The project is to be designed and constructed within a period of 48 months from the notice to commence, which took place on 22nd July 2024. I would like to share that this project is unique in many ways. It is one of the largest water treatment plant currently being built around the world with a capacity of 2,000 MLD. This project is spread over footprint of 16 acres approximately which is the most efficient use of land area. I would also like to say that this project is critical for freshwater reliability for Mumbai region. We are happy to be associated with the project of this importance and also to be associated with world's most prominent water treatment Company that is Veolia as technology provider. Happy to share that our preconstruction activities are progressing at a good pace.

During the quarter, we continued with our efforts for development of oil and gas field blocks housed in the joint venture Adani Welspun Exploration Limited and we had few meetings with

the regulator for approval of our field development plan. Subject to the approval of the field development plan by government, our endeavor is to commence gas production by FY26-27. With this, I now hand over the call to Mr. Saurin Patel – MD of Welspun Michigan Enterprise Limited.

Saurin Patel: Thank you, Sandeep and good afternoon, everyone.

I am happy to share that we started FY 25 with revenue of Rs.144 crores a year -over -year growth of 64%.

This is the highest quarterly revenue ever beating the Rs. 141 crores of Q 4

FY24. I am confident we will continue the momentum into the financial year. This

performance has been consistent from a margin perspective. We have achieved a reporting EBITDA of 35 crores, translating to margin of 25%. Both our current projects as well as the potential new wins give me immense confidence of sustaining these margin levels. We have 17 projects, which are spread across micro and segment tunneling, marine, pumping stations, rehabilitation of sewer lines and bridge construction. These combined projects give us an outstanding order book of approximately Indian Rs. 1500 crores with another Rs. 170 crores of operations and maintenance. This order book is largely executable over the next 36 months. I must add here that I am not including an order of Rs. 160 crores from MCGM to rehabilitate underground sewers using glass reinforced polymer liners where Welspun Michigan is L1. We have been an engineering solution provider for urban infrastructure needs, which is a niche area and we wish to operate in the specialized niche areas of tunneling and water rehabilitation projects on a larger scale. Our year old association with Welspun Enterprises Limited has

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resulted in the opening of new avenues of EPC projects, and thus, we see vastly larger opportunities ahead. These opportunities are both from new geographies due to Welspun Enterprises wide reach as well as new initiatives that we are evaluating such as working with new technologies. I would like to share that our discussions with Smart Ops on introduction of a new technology partnership in the water space is proceeding well. We will brief you as the relationships mature.

Our order pipeline is healthy and with the rollout of the new technologies that I mentioned we retain our sights on projects worth Indian Rs. 50,000 crores in the medium term. These projects will be bid on a selective basis either directly by WMEL or through WEL.

With this, I will close my remarks and hand the call to Lalit Jain – CFO of Welspun Enterprises Limited for updates on the Financial. Thank you, over to you.

Lalit Jain: Good afternoon to everyone and many thanks for being part of this call.

As our MD shared on the consolidated basis we have delivered Rs. 960 crores of total income against Rs.750 crores in Q 1 FY24, which is a growth of 28% year -over -year. This marked the highest revenue for any fiscal 1st Quarter. Our consolidated EBITDA is Rs.193 crore against Rs.157 crore in Q1 FY24. Thus making 23% growth year -over -year, this EBITDA works to margin of 20.1%. Our consolidated profit after tax for the quarter is Rs. 110 crore, against Rs.93 crores in Q1 FY24 which is a growth of 18% year -over -year. On a standalone basis for Q1 FY25 total income is Rs. 776 crore and EBITDA is Rs. 129 crore. We have a strong balance sheet as demonstrated by our net worth of Rs. 2600 crore. Also we have a cash reserve of Rs.763 crores which will allow us to grow the business to the next level.

With this, we can open the forum for question-and -answer. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Parth Thakkar from JM Financial. Please go ahead.

Parth Thakkar: So, yes my first question is regarding the CAPEX investment in the oil and gas segment and also when can we start to see the revenue coming from it?

Management: So, Parth thank you. As I mentioned in my opening statement, currently the field development plan is under consideration at the regulators end and the CAPEX involved in the development will be decided once the field development plan is approved and which we will share with you, post the approval of by the regulator. Also hoping that the regulator approves this field development plan

and within a quarter, we expect the gas production to start in FY 26-27. Exact periods will be known depending upon when the field development plan is approved.

Parth Thakkar: Okay, thank you. And also one more question, previous year and in FY 24, we saw almost 48% spike in working capital days in debtor days. So, can you guide us, throw some light on that as well?

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Management: Can you repeat the question once again please?

Parth Thakkar: So, can you guide us on the working capital number of days, is it going to be same in that same range or is it going to fluctuate?

Management: Yes, our working capital requirements should not change, they will be in the same range.

Moderator: Thank you. We have our next question from the line of Amit Shah from Nuvama. Please go ahead.

Amit Shah: So, in extension, I also wanted to get some light on the oil and gas section. So, I was just going through the investors presentation where we have mentioned, we are looking for an early monetization. So, I just wanted to know early means, how far early, do we wait properly for the gas to be commercially produced, run it for a reasonable amount of time till the size grows and then look for the monetization or at what stage are we one looking at monetization of the oil and gas thing one. Also, I wanted to know, what are the already investments made from the share of Welspun Exploration, only the Welspun's part and not the Adani part, what is the kind of investment that we have already made?

Management: Okay. So, to answer your first question, if I understand correctly your question is whether we are going to monetize it by way of producing the gas or before that, the answer to that question is that we will be in a position to assimilate this information or decide about it once the FDP is approved, so that their reserves are stamped by the regulator and those are not in question and then at that point in time we will see whether any strategic investor would be interested in this, participating with along with us, failing which we will produce the gas and the gas is likely to be produced somewhere in the FY 26-27 range. So, we will be open to both the ways of dealing with the business opportunity. However, the actual situation will emerge, only post the FDP approval and the interested strategic players may have in that capacity. Coming to the question of what is our current investment, it is approximately on the books in the range of 450 odd crores.

Amit Shah: That is only the Welspun part right and not the total AWEL?

Management: That is correct, it is the Welspun Enterprises investment into Adani Welspun.

Amit Shah: I get that. And just sir one more question, the Bhandup and the Dharavi projects that we have one from the BMC. Do we see any threat to the upcoming BMC elections, could there be any shake up there possibly, if at all there is any change in the BMC thing?

Management: See, I can't predict the election outcomes and their impacts. However, I can only assure you that these projects are well underway right now. And they are critical for the wellbeing of the Mumbai as a city. The sewage treatment plant is being monitored at the Supreme Court level. So, there I don't see any challenges taking place and as I said in my opening statement, the Bhandup plant is critical for a fresh water supply reliability for the Mumbai as an overall city. So, I do not expect any changes to impact any of these projects.

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Moderator: Thank you. We have our next question from the line of Pawan Katariya from Bullseye Investment. Please go ahead.

Pawan Katariya: My question was, in the opening note you guided a revenue of 4000 crores for FY 25. And the EBITDA guidance of Rs.750 crores, that puts up to the operating margin of 18.5

%. Is this right?

Management: So, let me reiterate. First of all, you are right on the numbers, but those are on a consolidated basis is all that I will clarify. And this is the reported EBITDA margin at a console level.

Moderator: Thank you. We have our next question from the line of Neerav Shah from GCH Holdings. Please go ahead.

Neerav Shah: So, just one question in early June. So, there was a media article regarding we settled our claim with IOC of close to 23 crores to 24 crores. So, some reversals which we already provided for so, any update on that event, whether the booking has been done or the cash flow impact of that, if you can just share on that please?

Management: So, yes, that has been accounted for as of now and the revenue has also come in and the cash flow has also come in, the money has been paid by IOC already to the Company.

Neerav Shah: Okay. So, the 747 crore of top line includes this amount or this 24 crore is part of the 30 crore other income?

Management: So, part of it is the other income and the original value is part of the revenue. Let Lalit explain it.

Lalit Jain: So, 15 crore is in the operating revenue and Rs.8 crore is the other income. So, total we have received Rs.23.67 crore from IOC.

Neerav Shah: I just missed that number, so you said how much in the revenue?

Lalit Jain: Revenue is 15.95 crore in revenue and 7.72 crore in the other income. Put together is 23.67 crore.

Neerav Shah: Got it, great sir. And on Michigan front we maintain revenue growth guidance of in excess of

30%?

Management: Yes, indeed. We can confirm that.

Moderator: Thank you. We have our next question from line of Vishal Periwal from Antique Stock Broking . Please go ahead.

Vishal Periwal: So, MSRDC orders wherein we are L1, can you share some status on it in terms of when exactly the LOA could be received ?

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Management: So, we expect to convert this L 1 status to our order within this quarter . We will keep you posted as soon as this gets converted into an order.

Vishal Periwal: Okay. So, probably like just before the election, we are expecting the firm order will be there in our kitty, that what the guidance or probably then what you are hearing from even the ministry that fair to understand?

Management: That is what we are sharing on the present update , but the intention is to award it within this quarter.

Vishal Periwal: Okay. And second on the oil and gas investment, is there any internal policy or threshold that we have that this is what we are looking at a maximum investment in this particular field and sector for us?

Management: The guidance that we have for capital allocation is at least at a project level mid-teen returns. And this is what any capital allocation guideline is, and which will equally apply to the oil and gas, possibly a bit harsher than that. So, this is what is the guideline. In terms of capital allocation, it's a board's prerogative so at this point in time, till the time we can finalize the numbers per se as to what the investments will be. Can't be specified right now .

Vishal Periwal: Okay . And maybe just continuation, earlier the last quarter slide mentioned revenue recognition from 25-26 for oil and gas. In the slide we are seeing there's a slight change. So, will it be possible to share what exactly has moved this revenue recognition in the next year?

Management: So, the critical step in monetizing this is the approval of the field development plan. Since it has not been done till now, it is prudent for us to move it. As I said specific numbers , specific timelines can be specified once the field development plan has been approved. And we know exactly what we will need to do to produce it.

Moderator: Thank you. We have our next question from the line of Pratik Bhandari from Art Ventures . Please go ahead.

Pratik

Pratik Bhandari: Just a couple of questions from my end. What would be the order inflow for FY 25?

Management: So, as I stated in my opening statement, we expect to convert these orders of 2000 crores, where we are declared L1 between Welspun Enterprises and WMEL . Within this quarter, in addition to this, we expect that the orders to be booked across all verticals between 4000 to 5000 crores .

Pratik Bhandari: Alright. And, as we have been inching higher margins in the Michigan . So, where do we see the sustainable margins to be because we are already quite progressive in Michigan in terms of margins . And what would be the top line by year end in Michigan and the margins?

Management: Thanks. So, we have given guidance where there will be a 30% top line growth already on an earlier question and answer. So, considering that we expect our top line to end up anywhere

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between 550 and 650. And the EBITDA margins will be retained at a healthy level of between 21% and 23%.

Pratik Bhandari: Alright. And one more question. So, I wanted to understand as to what is the project size of this Bhandup project ?

Management: In terms of design and build it is somewhere close to 2250 crores. And if we add the O &M, it is another 1800 crores.

Pratik Bhandari: So, approximately 4200 crores?

Management: Approximately, yes.

Moderator: Thank you. We have another question from the line of Sarvesh Gupta from Maximal Capital . Please go ahead.

Sarvesh Gupta: Most of the questions have been answered. But just one bit, recently there has been this tax change for buyback and some of the companies are expediting to meet the timelines. So, given that we also carry a significant amount of cash in our balance sheet are we thinking on those lines as well?

Management: Not at this point in time, I can assure you and we have a very good use for this capital so we would want to grow the business , we do not think that we have come to a stage or whether we need to return the capital and as to clarify the point further, you would notice that we have

already returned in last seven years odd something like about Rs. 55 per share in by way of buyback and dividend. So, we have been respectful to the needs of the investors already, but there is a very good use of the capital that we have on our balance sheet.

Sarvesh Gupta: Okay. And you also mentioned some 50,000 crore if I am not wrong in BOT and for WMEL, some 15,000 crore or 50,000 crore, what was the pipeline numbers I missed it?

Management: So, you got it right that currently today, if you were to see today's newspaper article you would see that the center is considering today at the cabinet level eight projects of 50,000 crores value for BOT toll and the number that we said between, as a synergistic play that is available for us to play between us and Welspun Michigan is in the range of 50,000 crores, the standalone play as well as a collective play is what is the pipeline is. We will and I would want to add to this clarity that we are not going to bid for all of them we will selectively bid, this is just the addressable market.

Sarvesh Gupta: And what was that number for WMEL, they also mentioned a pipeline number?

Management: So, on a standalone basis if the synergies are not to be considered.

Management: Yes, it will be closer to the 20,000 crore mark, 15 to 20,000 crores as an addressable market.

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Management: Standalone on Welspun Michigan it will be about 15 to 20,000 crores collectively it will be around 50,000 crores.

Sarvesh Gupta: And apart from these two segments, so, on the core segment of water are we seeing any order bookings to happen or potential for this year order booking, because there we were getting very large sort of ticket sizes in the last two deals that we have

won. So, are we seeing something there?

Management: Yes, we surely are seeing, as I said in my opening statement, I see a lot of traction on water and water the guidance or the order pipeline is humongous big, but I see in a medium term anything between addressable market to be close to 60,000 crores and we will chase large ticket item projects in the water segment. And we are very confident that we should be able to win a few of them.

Sarvesh Gupta: Understood sir. And just for clarification this 750 crore EBITDA guidance for FY 25 that would be including around 100 crores of other income?

Management: Yes, everything included.

Moderator: Thank you. We have our next question from line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir I had a couple of questions. Sir you mentioned the pipeline for BOT project. And you mentioned that we are looking selectively for HAM and EPC as well. So, what would be the current pipeline for those two for HAM and EPC?

Management: If the public domain information is correct, it's approximately about a lakh crores for the medium term. The guidance of the ministry is more than two lakh crores.

Vaibhav Shah: So, this should be over and above the BOT pipeline you mentioned of 50,000 crores?

Management: That is correct.

Vaibhav Shah: Okay. And sir when do you expect the awarding to begin?

Management: I would think that it will start awarding, the NHAI would start awarding within this quarter or latest in the Q3.

Vaibhav Shah: Okay. And sir we were hearing that they are going to launch a new program, under vision 2047 and they might scrap the Bharat Mala Yojana program. So, any update on that if you heard something on that front?

Management: Only from public domain which is available to you as well as to me.

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Vaibhav Shah: Sir, secondly on the MSRDC award, so we received an order of around 1930 odd crores. So, did we do any re-negotiations with the MSRDC or they approached us for anything?

Management: They did approach us and I would want to correct that the original information was 1864 crores but I have reduced it to 1850 crores because of the negotiations that we have had with MSRDC.

Vaibhav Shah: So, our bid now stands at 1850 crores?

Management: That is correct.

Vaibhav Shah: Okay, and since we have lowered the price. So, does it impact the margins, or some scope also has changed or scope remains the same?

Management: So, I do not think that it will impact our margins at all.

Vaibhav Shah: Okay. And what kind of margins we are targeting for this project?

Management: As we have always maintained we work on the mid-teen return so this project is also expected

to return the similar numbers.

Vaibhav Shah: Okay . And lastly sir so they have accepted our , so they are fine with this number 1850 crores and the LOA should come now ?

Management: We expect yes, as I said , we expect this to convert this into an order within this quarter. So, we are working towards that.

Moderator: Thank you. We have our next question from the line of Amit Shah from Nuvama . Please go ahead.

Amit Shah: So, just wanted to check as we have a net cash on the books and the size, especially on the water segment continues to remain robust. If we have multiple wins say for example , are we ready to take large amount of debts maybe to grow several folds maybe a few years from now, what are we targeting at , are we looking something like 30, 40,000, 50,000 crores of the size of order books, are we even geared for that. What is the outlook for a little longer term ?

Management: So, on a longer term, as I said we are not in a haste for anything. So, once we will be open to opportunities, we would want to maintain a healthy balance sheet rather than a stretched balance sheet. So, our decision making on the order book will

I depend upon our ability to grow

the organization, we want to be ready to deal with the opportunities in -house rather than just put the orders. Secondly, make sure that our balance sheet stays healthy, and that the growth is sustainable. So, these three principles, we will apply before we decide how much to grow.

Amit Shah: So, are we saying that we would look to grow only through the available cash and not take much of debt e ven if there are opportunities is that the way forward?

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Management: So, we are not averse to debt totally. But yes, we want to see that it is , there is no mismatch between the timings of the debt maturity versus the realization of revenue. So, this is a more of a strategic question , it will depend upon opportunity -to-opportunity that how we will deal with it. Difficult to answer at this point in time.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And, I would now like to hand the conference over to Mr. Vaibhav Shah for closing comments.

Vaibhav Shah: Thank you, sir for giving us the opportunity to host the call. Sir, any closing remarks from your end?

Management: Thank you Vaibhav. I want to thank all participants for joining us on this call today. And , I hope we have been able to address all your queries. We remain committed to creating value for our shareholders and our focus is on delivering improved returns on equity and return on capital employed. I look forward to speaking to you once again in near future meanwhile, please feel free to reach out to our CFO or investor relations team for any questions or feedback. Thank you and good day.

Moderator: Thank you. On behalf of JM Financial that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Nov 2024

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"Welspun Enterprises Limited
Q2 FY '25 Earnings Conference Call "
October 30, 2024

MANAGEMENT : MR. SANDEEP GARG – MANAGING DIRECTOR –
WELSPUN ENTERPRISES LIMITED
MR. SAURIN PATEL – MANAGING DIRECTOR –
WELSPUN MICHIGAN ENGINEERS LIMITED
MR. LALIT JAIN – CHIEF FINANCIAL OFFICER –
WELSPUN ENTERPRISES LIMITED
MR. SALIL BAWA – HEAD, GROUP INVESTOR
RELATIONS – WELSPUN GROUP
MR. SIDDHARTH BHARADWAJ – HEAD INVESTOR
RELATIONS – WELSPUN ENTERPRISES

MODERATOR MR. VAIBHAV SHAH – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Enterprises Limited Q2 FY '25 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Shah from JM Financial. Thank you, and over to you, sir.

Vaibhav Shah: Yes. Thank you Del, On behalf of JM Financial, I welcome everybody to Q1 -- Q2 FY '25 Earnings Conference Call of Welspun Enterprises Limited. I will now hand over the call to Mr.

Salil Bawa, Group Head Investor Relations of Welspun World. Over to you, sir.

Salil Bawa Thank you very much, Vaibhav. Good afternoon to all of you, and Happy Diwali in advance.

On behalf of Welspun Enterprises Limited, I welcome all of you to the company's Q2 and H1 FY 2025 Earnings Call.

Along with me, I have Mr. Sandeep Garg, Managing Director. He's taking this call from Delhi. So in case if there is any disturbance, you'll have to bear with us. I also have Mr. Saurin Patel, Managing Director, Welspun Michigan Engineers Limited; Mr. Lalit Jain, Chief Financial Officer for Welspun Enterprises; and Mr. Siddharth Bharadwaj, Head I R for Welspun Enterprises.

We hope you have had a chance to review the investor presentation that we filed with exchanges yesterday. It is also available on the company's website. During the discussion, we may be making references to this presentation. We request you to take a moment to review the safe harbor statement in the presentation.

As usual, we will start the forum with the opening remarks by our leadership team, and then we will open the floor for your questions. Once the call gets over, should you have any further queries that remain unanswered, please feel free to reach out to us.

With that, I would now like to hand over the floor to Sandeep. Sandeep, Welspun Enterprises. Over to you, Sandeep.

Sandeep Garg: Thank you, Salil. Thank you, and good afternoon, everyone. Welcome to the Welspun Enterprises Q2 FY '25 Results Conference Call. I would like to thank all participants for their presence. We have continued on the momentum from the first quarter and have delivered consolidated total income of INR1,798 crores in the first half of FY 2025, which is a growth of over 25% over the same period last year. This result keeps us on track to our full year FY '25 target of INR4,000 crores of consolidated income.

All our past projects across the water and transportation verticals as well as our subsidiary, Welspun Michigan, are running as per current agreed schedules and have contributed towards

this outcome. While Saurin from Welspun Michigan and Lalit CFO from Welspun, will share
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more details on quarterly performance, I want to take this opportunity to reiterate our vision for the company over the next few years.

To prepare the organization for long-term growth and succession planning, I'm pleased to inform that Board has approved the appointment of Mr. Abhishek Chaudhary as CEO of the company. Abhishek brings with him over 2 decades of experience in policy formulation, strategy implementation and leadership in key national initiatives such as the National Industrial Corridor Development program; PM Gati Shakti National Master Plan , Make In India; Logistics Databank, Unified Logistics Interface Platform and YashoBhoomi. Abhishek has proven expertise in driving strategic growth and execution. I'm confident that Abhishek will bring fresh energy and vision to the company to take it to its next level.

We started as a road player and created the water vertical 6 years back to build the capabilities that have resulted in close to 85% of our current order book. To add capabilities in niche area of tunneling, we acquired a majority 50.1% stake in the renamed Welspun Michigan Engineers Limited in August 2023. I'm pleased to share that the Board has approved further acquisition of 9.99% equity in WMEL for a consideration of INR100 crores. Once the transaction is complete, WEL will be holding more than 60% in WMEL.

To add to our transformative journey, Welspun Enterprises subsidiary WMEL, is all set to introduce Pan-India, a revolutionary new technology developed by Smart Ops U.K. in the area of waste water and water treatment. With this new offering, we will create a sustainable alternative to the traditional water treatment approach, thus adding a new segment to address the huge problem of an estimated 63% of India's sewage being released untreated into the environment. Saurin will be sharing more details in his opening remarks.

Welspun Enterprises has moved forward as a differentiated EPC player with entry into the extremely promising segment of specialized tunneling. As detailed in our filings with the exchanges on October 8, WEL has backed a significant order from BMC, Brihanmumbai Municipal Corporation of about INR1,989 crores, for the design and construction of tertiary treated water conveyance tunnel from Dharavi wastewater treatment facility to Ghatkopar waste water treatment facility, both projects being of BMC.

This order is in line with our Chairman's stated objective of growth and green and is an outcome of our strategy to create joint capabilities with our subsidiary, Welspun Michigan, and thus enable WEL's entry into a new segment that has huge opportunities across both water and transport verticals.

With this new order, Welspun Enterprises stand-alone order book is now a formidable INR13,655 crores of which approximately INR9,633 crores is from water sector, which includes approximately INR4,400 crores from O&M and asset replacement. Approximately INR1,989 crores from the newly added tunnel segment and the balance, approximately INR2,033 crores is from transportation sector. In this order book, we are excluding INR1,850 crores of road projects where we are already declared L1.

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Welspun Michigan has an order book of INR1,572 crores as on 30th September 2024, which includes orders they received of INR160 crores and INR25 crores in Q2 FY '25. The same have been filed with the exchanges at appropriate time. This makes our consolidated order book approximately INR15,200 crores, thus giving us immense visibility to ramp up our execution in the years to come.

We remain positive on future bidding across our verticals and our subsidiary. We have mapped out opportunities across water supply , sewerage treatment plant solutions, water transmission, and road BOT projects. This gives me confidence to share that we should be ending the current fiscal with an order book in the range of INR17,000 crores to INR20,000 crores at a consolidated level.

On back of this strong order book, that we now envisage, we now expect the revenue growth on a consolidated basis to be around 20% to 22% over the period of FY '25 to FY '27. We at Welspun Enterprise have a large team of over 400 experienced engineers besides various other teams across different departments that are highly motivated and work together in creating a unique organization.

I am proud to share that Welspun Enterprises has been recognized as one of the best workplaces

for millennials by Great Place to Work in last quarter. I truly believe that we have laid a solid organizational foundation to propel Welspun Enterprises consolidated revenue to reach in the range of \$1 billion in the next few years.

WEL and its subsidiaries

Welspun Michigan, have consistently pushed boundaries, setting new benchmarks in quality and execution with unwavering commitment to excellence, innovation and transformative impact in the industry. This approach has continued to get recognition, and I will briefly touch upon some of them.

Welspun Michigan Engineers Limited has been awarded best brand in construction and infrastructure for water infrastructure at the 9th ET NOW Infra Focus Summit and Awards 2024 for its pioneering, innovative approaches in urban water solutions, particularly through underground construction and delivering projects that minimize disruption to life of people living close by and also the environmental impact.

Our work at Dharavi wastewater treatment facility, VARP and SNRP have been recognized for various safety initiatives. Construction World Global Awards 2024 has conferred Welspun Enterprises with the award for valuable industry contributions.

During the quarter, we continued with our efforts for development of oil and gas field blocks housed in the joint venture Adani Welspun Exploration Limited. And we had a few meetings with the regulator for approval of our field development plan for block MB -OSN -2005/2, generally called by us as Mumbai Block. We expect the entity to be approved in the current quarter.

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With this, I now hand over the call to Mr. Saurin Patel, MD of Welspun Michigan Engineers Limited. So over to you, Saurin.

Saurin Patel: Thank you, Sandeep. Good afternoon, and greetings to all for the festive season. At the outset, I am very happy to share that Welspun Michigan is all set to introduce a revolutionary new technology in the area of water treatment through Welspun Smart Ops. With this new business, we endeavor to create an alternative approach to address the huge problem of an estimated 63% of India's sewage being released untreated into the environment. This pioneering new technology is modular, scalable, cost-efficient and easy to deploy in a water body or drain point to rejuvenate or recycle the water. This includes tertiary and portable water for commercial and domestic use. With an extremely small footprint, which is up to one-fifth of conventional technologies, reduced deployment time of 90 days for a 15 MLD plant, more than 2 years -- which is more than 2 years for conventional technology-based plants, this will be a significantly cost-efficient technology. The scalability and ease of transfer offered by this technology will open up new business opportunities and thus, augment our future order flows.

I'm extremely happy to share that we have received our first project order to deploy this new technology, which has been disclosed to the stock exchanges. Our order book as of September 30 is INR1,572 crores with INR170 crores of operations and maintenance. We have received the LOA for the project where we were L1 in the last quarter. This order book entails 21 projects, which are spread across micro tunneling and segment tunneling, marine works, pumping station construction, rehabilitation of sewer lines and bridge construction, and is largely executable over the next 36 months.

Our order pipeline is healthy. And with the rollout of the new technologies that I mentioned, we retain our sights on a big pipeline worth INR50,000 crores in the medium term. These projects will be bid for on a selective basis, either directly by Welspun Michigan or through Welspun Enterprises Limited.

Coming to the key financials of the concluded quarter, WMEL has delivered revenue of INR104 crores, thus taking our H1 FY '25 revenue to INR248 crores, marking growth of 47%. I'm confident we will continue the execution momentum into the financial year and endeavor to better the guided 30% growth for FY '25. This performance has been consistent from a margin perspective.

Reporting EBITD

A margin works out to approximately 22% for Q2 FY '25. The new order wins and our current projects give immense confidence of sustaining these margin levels. We have been an engineering solution provider for urban infrastructure needs, which is a niche area, and we wish to operate in the specialized niche areas of tunneling and water rehabilitation projects on a much larger scale.

Our year-old association with Welspun Enterprises Limited has resulted in the opening of new avenues of EPC projects. And thus, we see vastly larger opportunities ahead. These opportunities

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are both from new geographies due to Welspun Enterprises wide reach as well as new initiatives that we are evaluating such as working with new technologies like Smart Ops.

With this, I will close my remarks and hand the call to Lalit Jain, CFO of Welspun Enterprises Limited for updates on financials. Thank you. Over to you, Lalit.

Lalit Jain: Thank you, Saurin. Good afternoon to everyone, and many thanks for being part of this call. As our MD shared, for this quarter , we have delivered INR838 crores of total income for Q2 FY '25 against INR693 crores in Q2 FY '24, which is a growth of 21% year-over-year. The H1 FY '25 consolidated income is INR1,798 crores, which is a growth of 25% over H1 FY '24.

Our consolidated EBITDA for Q2 FY '25 is INR150 crores against INR130 crores in Q2 FY '24 , thus marking 16% growth year-over-year. This EBITDA works to a margin of 17.9%. Our consolidated PBT before exceptional item for the quarter has grown by 5% to INR102 crores. For consolidated profit after tax for the quarter is INR62 crores against INR69 crores in Q2 FY '24, which is a drop of 11% year-over-year.

Please note, consolidated PAT drop is largely on account of post-tax deduction of INR12 crores from discontinued operation of our Mukarba Chowk -Panipat project. This will be notional loss and does not have any cash flow impact as we are holding our investment in the SPV for sale at pre-agreed price with Actis Highways . On a stand-alone basis, for Q2 FY '25, total income is INR688 crores, EBITDA is INR99 crores, profit before tax on a stand-alone basis INR87 crores, while PAT is at INR65 crores.

I'm happy to share that we have closed out the short-term borrowing, which had been utilized towards working capital needs. We have a strong balance sheet, as demonstrated by our stand-alone net worth of INR2,533 crores. We remain debt free on a stand-alone basis with cash reserve of INR866 crores, which will allow us to grow the business to the next level.

I would also like to inform that company was previously focusing on the road projects, which accounted for a significant portion of its revenue. However, in the recent quarter, the order book has diversified to include projects in the water , wastewater, tunnelling and rehabilitation sectors. Along with the acquisition of Welspun Michigan Engineers Limited to reflect this expanded portfolio, management has decided to do the segmental reporting starting with Q2 FY '25 for each vertical, namely : Water, Transport, Tunnelling and Rehabilitation s.

I would like to take you all through the segment wise revenue numbers for the Q2 FY '25. Out of total operational revenue of INR789 crores, INR379 crores comes from Transport and Water contributed INR304 crores, and the balance of INR105 crores is being contributed by Tunnelling and Rehabilitation s works.

With this, we can open the forum for question and answer. Thank you very much.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Parth Thakkar from JM Financial.

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Parth Thakkar: Sir Hi I would just like to ask the management, if they can throw some light on the new water project, Water

Tunnelling project from Dharavi to Ghatkopar. And when do we expect to start booking revenue in that?

Saurin Patel: So -- Sorry, Sandeep?

Sandeep Garg: Yes. Saurin, please take this call -- question, please.

Saurin Patel: The -- is the tertiary treated water conveyance tunnel from Dharavi wastewater treatment facility to Ghatkopar wastewater treatment facility. And it is approximately 8.45 kilometres long. It is at a depth of 152 meters, and involve the construction of 2 shafts , one in Dharavi and one at Ghatkopar. And no coming up for air in the middle. Each shaft is between 10 to 15 meters in diameter, and the average depth is 150 meters.

So we are supposed to do the tunnelling using open board -- full phase -- and there is a lining process involved to convey the water. The revenue will begin being booked from FY '25 at a lower end, simply because we have to wait for some clearances and permissions that will be required as this is part of a CRZ Zone, etcetera.

Parth Thakkar: Okay. And also can you guide me for the capex guidance for the next -- for this year and next financial year? And also, how much have we done till now in first half of FY '25?

Saurin Patel: Capex for this project or for the company as a whole.

Parth Thakkar: No, no, consolidated level, capex ? And also if you can guide me for the stand-alone level as well?

Lalit Jain : Okay. Basically, at....

Moderator: Sorry to interrupt, sir, could you come a bit close to your handset, there's a lot of cracking from your side.

Lalit Jain : In terms of capex , at Welspun Enterprises level, we are asset -light company. We don't have major capex . However, around INR100 crore capex will be used for this new project through Welspun Michigan.

Parth Thakkar: No, sir, I was asking on the consolidated level for the whole, not just for this project?

Lalit Jain : It will be similar.

Parth Thakkar: Okay. And how much have we done till now in the first half?

Lalit Jain : No, no capex till now .

Moderator: The next question is from the line of Dinesh from Finsight .

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Dinesh: Sir, my question is, let's say, we have acquired this new stake in Michigan company. What is the time for this across India? I mean, like how large this could become on its own? Because I doubt like how many the kind of almost INR2,000 crores -- one project. But like how many such kind of orders across India, we can think of, at a larger scale, I want to know?

Sandeep Garg: So just to give you an idea, the tunnelling business across various sizes is in the tune of at least our mapped projects are to the tune of about INR3 lakh crores over a period of next 5 to 7 years.

Dinesh: And what is the probability of -- we are getting, let's say, INR3 lakh crores, maybe 10%, 20% is what is the big target -- I mean I'm sure not all will go to...

Sandeep Garg: We are going to that level of 10, 20 percentages, single -digit few percentage is what we will target.

Dinesh: And sir, how about the water treatment and sewerage -- another segment as we will look at, right?

Sandeep Garg: Yes. So the opportunities in water treatment plant and all the businesses across water, including tunnelling , etcetera , we are -- we have as the tunnelling itself what we are targeting is in the range of about INR50,000 crores at a water -- at a macro level, we are targeting projects of about INR3 lakh crores over a mid -term period.

Dinesh: And sir, you mentioned that we are looking at, let's say, \$1 billion revenue maybe in the next few years, what kind of EBITDA margins or PAT margins you would try to go for?

Sandeep Garg: We always target EBITDA margins at around 15% to 16% at a stand -alone basis. And about 16% to 17% on a consolidated basis for at least next 3, 4 years.

Moderator: The next question is from the line of Vishal Periwal from Antique Stock Broking

.

Vishal Periwal: Sir, first on this Michigan acquisition that we have done. In terms of valuation wise, I mean, 12 months back, the valuation, the paid it was sub INR300-odd crores, now it is almost like INR1,000 -odd crores. So what exactly has gone in our assumption that has led to this increase?

Sandeep Garg: So the original transaction was then at about 4x to -- 4x EV by EBITDA. While the industry is operating at about 9x. So if you are to do about 9x, we still believe that the -- whatever is we forecasted for FY '25, it is still a cheaper option to buy. And as we said, we have a large vision for Welspun Michigan. We believe that we can grow it to scale -- a much larger scale. So that's something strategic decision the Board has taken to acquire it at equity valuation of INR1,000 crores, as you believe is still undervalued for us.

Vishal Periwal: So valuation is one sector that has probably led and definitely like earlier it was maybe like FY '24, now it has move to FY '25 as a valuation parameter broadly, correct, sir?

Sandeep Garg: And also , we are aware of the strategic decisions that we are making. We see a lot of growth coming to the Welspun Michigan.

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Vishal Periwal: And then in terms of our O&M order book that we have reported, what is the execution time frame for this part of the order book?

Sandeep Garg: So the order book of operation and maintenance spans out over 10 to 15 years depending upon the project.

Vishal Periwal: And in terms of a couple of accounting, I know that there's changes or probably the segmental reporting that we have done. In consol, the Michigan is booked in which segment?

Lalit Jain: Tunnelling and rehabilitation.

Vishal Periwal: Sorry, sir?

Lalit Jain: Tunnelling and rehabilitation.

Vishal Periwal: And I mean, if one has to understand O&M, probably the O&M, the revenue that we booked. So will this be part of water in the segment?

Lalit Jain: So it is respective vertical, water is the water and tunnelling is tunnelling . So we don't have a separate segment for O&M price now.

Sandeep Garg: So it is not significant right now if the revenues from O&M will become significant. We will start reporting it as a separate segment itself. But right now, it is booked under this various segments that we have defined as Transport, Water and Tunneling and Rehabilitation.

Vishal Periwal: And maybe a ballpark number, what is the O&M revenue contribution in terms of percentage to the consolidated stand-alone, if you can help in providing.

Sandeep Garg: I think it's insignificant.

Saurin Patel: I think negligible now in this now.

Vishal Periwal: Okay. Got it. And maybe one last thing. So I think there was a couple of project road assets, which government was earlier, the PMO has approved and they were supposed to come for bidding. So any industry update that you have like any time line that you see probably the from like the Ministry of industry that we can provide?

Sandeep Garg: So, I think the movement on those projects have started. We understand about 15, 16 projects were cleared at the SFC. So, we expect those projects to hit the bidding situation over the next couple of years -- a couple of months going forward.

Moderator: The next question is from the line of Kashvi Chandgothia from JRK Group. Please go ahead.

Kashvi Chandgothia : Sir, my question is that we understand that September quarter remained seasonally weak for the company, but explain and throw some light on what is the main reason behind the margins contracting this year?

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Lalit Jain: Your voice is not clear, ma'am.

Kashvi Chandgothia : So my question is that we understand that the September quarter remained seasonally weak for the company. But what is the main reason behind

margin contractions for this year?

Lalit Jain: Basically, this is monsoon quarter. So , in infrastructure industry, September quarter is always at lower size. And the turnovers are also low, the fixed expenses remain fixed, so that's way the margin is low.

Sandeep Garg: So there are two -- just to add to what Lalit is saying, there is relatively no contraction of margins if you see in any parameter other than something which is -- we are booking a loss on asset which is held -for-sale asset and it's on a pre-agreed price. Otherwise, the margins have grown, and it is normal for some contractions to take place in terms of the percentages because the fixed costs are apportioned on a lower revenue base.

Kashvi Chandgothia : And sir, I have another question. Sir, like you said and from the presentation also, we have a post this company has lower bidder for various projects. Sir, what are the margins that we keep in such bidding that allows us to become the L1?

Sandeep Garg: So, we -- as I said, there is one project of road where we are L1, which is of the value of INR1,850 crores. And the road vertical gives the EBITDA margins in the ranges of about 14%, 15%, which is what we would provide for in all our bids.

Moderator: The next question is from the line of Prateek Bhandari from Aart Ventures. Please go ahead.

Prateek Bhandari: I just wanted to understand that the total O&M order book size is INR4,400 crores, comprising both Michigan and Welspun Enterprise?

Lalit Jain: No, this is only for Welspun Enterprises.

Prateek Bhandari: INR4,40 crores. And what about Michigan?

Sandeep Garg: Michigan, we have INR170 crores by numbers.

Prateek Bhandari: INR170 crores, all right. And what would be the execution time line for this consolidated order book that stands in our books INR15,200 crores?

Lalit Jain: In terms of the -- we talk about the operation and maintenance, it will take 10 to 15 years. New projects which we got for the Dharavi-Ghatkopar is again for 9 years project. So different - different projects, having different -different time lines.

Sandeep Garg: Okay. So , the -- sir, depending upon the vertical that we are dealing with, typically, the road or transport is something that where the revenues are recognized between 3 and 3.5 years on average of out. In the water, it is somewhere between 4 to 5 years and tunneling it's between 5 to 8 years is the average time that you will take to recognize the revenue.

Prateek Bhandari: So, 4 to 5 years for water, 5 to 8 for tunneling and for road EPC?

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Lalit Jain: So, road is between 2.5 to 3.5 depending upon the size. So that's the kind of project time period in...

Moderator: Sir, could you come a bit close to the handset, your voice is crackling.

Prateek Bhandari: So, what was the order inflow for this quarter?

Sandeep Garg: So, for this quarter, we had an order inflow of the tunneling in the WEL level of about -- how much is that, INR1,900?

Lalit Jain: INR1,989 crores we got with this Ghatkop ar-Dharavi project and INR25 crores is from the Michigan.

Sandeep Garg: No, INR160 crores.

Lalit Jain: INR160 crores in the Michigan.

Prateek Bhandari: INR160 crores Michigan and INR1,985 crores in WEL.

Moderator: The next question is from the line of Yash Dedhia from Max Capital. Please go ahead.

Yash Dedhia: So first question is if I look at your segmental reporting, your EBIT has come down a lot in the tunneling segment despite 47% growth. So what could be the reason behind that?

Lalit Jain: Segment, if we talk about this, we are reporting that this as a subsidiary company. So this margin is after depreciation and interest. That's why it is low.

Yash Dedhia: No, no. Y-o-Y.

Lalit Jain: EBITDA margin is 21%.

Yash Dedhia: Sir, Y-o-Y EBIT has come down from INR13 crores to INR10.5 crores in your segmental report

ing. That is what I'm asking.

Lalit Jain: Yes, 13 to 10, there are 2 reasons, one in this quarter, there was some GST claims earlier, which we are recognizing that as a revenue. In this quarter, we have decided to go conservative, and we were not recognizing any claims until unless same is getting realized.

Yash Dedhia: Okay. So some onetime things have done.

Lalit Jain: Yes.

Yash Dedhia: And second, what is the status of the MSRDC project where we were L1. Why have included that in our order book, any doubt on the final sort of project coming to us?

Sandeep Garg: No, I think we are L1. The issue is the -- there are elections, the model code of conduct has clicked in, we expect it to be awarded post the election process is over.

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Yash Dedhia: Okay. But in case there is a regime change, is there a doubt on this project being awarded to the parties as of now?

Sandeep Garg: We foresee no such risks at this point in time. However governments are governments, so they will take their own call because this project is needed, the -- already connectly built highway by NHAI. So, I think it will be a necessity that will have to be fulfilled.

Yash Dedhia: Okay. And coming to the margins. So, if I look at your stand-alone now, I accept that there is some seasonality in quarter 2, but even 1x to 1x, our contribution to water segment is increasing, but our EBITDA margin excluding other income has fallen by 100 basis points. And similarly, even in the Michigan business, we are seeing that the EBITDA margins have come down from 24%, 25% to 22%. So, what is the reason behind the margin fall in both these businesses?

Sandeep Garg: So, I think the more important thing is to look at the margins that we have guided towards the annual. The quarterly results can be skewed based on the project, which has delivered more revenue. Certain projects have more profitability, certain have lesser. So, this is an amalgamation that you are looking at. So I would request you to look at the guidance for the complete year. And from that perspective, if you look at it, it is something which is in line with our guidance. The other thing that I would want to reiterate is there are certain notional losses -- okay, those are consol level -- irrelevant.

Lalit Jain: Another thing, sir, there was also some claims in the last financial year. That is where was the reason earlier last year higher margin in terms of EBITDA margin. So this is the reason.

Sandeep Garg: There is a difference of almost INR25-30 crores because of onetime.

Yash Dedhia: Which was there in the last year?

Lalit Jain: Correct. There was a claim in last with the higher amount. And this time also, we have a claim but its lower amount. So there's a differential due to that margin is coming down.

Yash Dedhia: Now coming to the road sector, we have been also sort of hearing from not just you but companies as well that finally, we will see light at the end of the tunnel, and we will get the project awarded by NHAI. But seems that there has been some inordinate delay in that. So what is the sense on when we can expect major projects being awarded by NHAI? And we will really also be looking into that?

Sandeep Garg: The necessity exists. It's only a question of that last year, they had awarded substantial orders and they have -- if you've noticed that NHAI last year, the highest award, the highest execution, higher spend across ever since it has come into existence. So I think there is a bit of a slowdown, but that's something which is temporary. The need continues to exist. So there may be certain things that they are looking at the drawing -- going back to the drawing board as to how to make

BOT successful, etcetera, etcetera, which is delaying the process. So I think it's just a matter of a quarter or so that they will be back on the awarding sp

ree.

Yash Dedhia: Understood, sir. And just one final question...

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Moderator: Sorry to interrupt, sir. Please fall back in the queue for further questions. The next question is from the line of Koustubh S haha from Wallfort PMS. Please go ahead.

Koustubh Shaha: Congratulations on the good numbers and the order book. I had a question on the Smart Ops that announced. So in terms of -- I just want to understand the economics, how does it work? And what are the business plans for this? How do we kind of model the revenue? What was your expectation for FY '26 from, that is my first question?

Saurin Patel : Smart ops fundamentally is a transformative process dealing with wastewater at the location where it is generated. And so this can be applied at like we -- like I said in my opening remarks, at various sewers, various lakes, various ponds, various drains or even to retrofit existing STP eventually to be applied even in housing societies. And fundamentally, we aim to treat industrial affluent also with this. So it's a very wide applicability of this technology.

And obviously, the ticket size of each depending upon the size of the plant required at each location, it will be very different. It can range from 0.5 MLD, but the modularity allows it to go up to 100s of MLD up to say, 500, 600 MLD of plants. So the scalability is there and we aim to gear up at a reasonable pace, having acquired the first project at the Temple town of Pandharpur for 10 MLD.

We hope that completing that within a period of 90 to 120 days, will give us the visibility that this technology is a very speedy modular and applicable technology with high visibility. So the guidance for '25, '26 right now, -- we hope that we will be in the 50 to 150 MLD range. And that the gearing and the upward trajectory for this applicability will continue as more and more clients come to appreciate the speed and the efficiency with which it can deliver results.

Koustubh Shaha: Okay. And this first project of 10 MLD at Pandharpur, so what is the total cost of this project? If I understand the EBITDA margins of the.

Saurin Patel : The tender has been -- the award price for us, which has been disclosed to the stock exchanges is approximately INR25 crores.

Koustubh Shaha: Okay. And tentative margins, that will be earning on this?

Saurin Patel : Tentative margins will be again depending about the size of the project in the sense, if you have a smaller project, it will carry a different margin. And as the project ticket -- the MLD size increases, it will carry a different margin. So I would give you a range. The margin ranges can go from 20% to 30%, 35%.

Koustubh Shaha: Okay. Great. And another question was on the oil block because if I heard right, you said that the oil block approval should come in by this quarter. Is that correct?

Sandeep Garg: That is correct. We are pushing for that.

Koustubh Shaha: Yes. Okay, great. So in that case, if there's approvals to come in, are we looking at any further capex? Or what are the plans for there, just wanted to understand on that.

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Sandeep Garg: So we would be open to both suggestions and this is subject to the Board's approval of capital allocation to do farm in as well as the project on our own, depending upon the Board's guidance.

Moderator: The next question is from the line of Dinesh from Finsight.

Dinesh: Actually I joined a few minutes late, maybe I missed said in addition. Can you just give me a guidance for this financial year? Like are we expecting something like close to INR4,000 crores in sales? And what would be the EBITDA margins we are looking at?

Sandeep Garg: So the guidance or our target for this year, FY '25 at a consolidated level worth INR4,000 crores. And as -- at a consol level

I, our reporting EBITDA margins should be in the range of 16% to 17%.

Dinesh: Okay. Sir. That's great. And sir, actually, I'm looking at your balance sheet in a bit detail and you mentioned we have some cash of around INR866 crores or something. But what is this -- how does the balance sheet look like but that's setting on a stand-alone basis. But how -- what about the consolidated level? Like what's the debt here? And what's the net cash we have? If you could just give some guidance?

Lalit Jain: Yes. At consol level, INR1,015 crores we have debt, and we have a cash of INR924 crores.

Dinesh: Okay. So somewhere around INR600 crores or something net debt, right? That's what we are ?.

Lalit Jain: So, net debt is approximately INR90 crores only.

Dinesh: Okay. Okay. And we are planning to pay off this -- what's the -- because we want to become net-cash...

Lalit Jain : This model is basically, we are prospecting the hybrid energy model. So where normally 80/20 is a debt of the remaining cost after reimbursing by NHA. So always, there will be debt. Debt will be getting -- going to increase once the project is -- we are constructing the project.

Satan atapuram project in South, it is around INR1,000 crores debt. We have drawn only INR385 crores right now. So it will be going to increase. So it will be never a debt-free at consol level, we will be debt free at the standalone level, not at consol level.

Dinesh: Okay. Okay, sir. Sir, just one last question from my end. See, we -- I see the -- our subcontracting charges are almost INR1,000 crores for this first half and out of the INR1,500 crores of expenses.

And my point is, sir, like is it not possible for us to squeeze this further and by doing so a lot of work by ourselves and -- can we get higher margin here? I hope you're getting my question like what I'm trying to ask here?

Sandeep Garg: So the question is self-execution of construction. The answer is at the Board level, this issue was considered and we decided to stay with the asset-light model that we have chosen. Because once you do the construction yourself, a lot of money goes into buying the construction equipment, etcetera, etcetera. Your EBITDA margins are slightly better. But if you look at the PAT level, Welspun Enterprises Limited

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the PAT level margins for us are best-in-class kind of numbers. Because there are no financial charges and there is very little depreciation.

So my request to the analyst committee -- community and investors would be to not only look at the EBITDA numbers, but also to look at the PAT number, which is the true money available for the investors from the company side.

Dinesh: That's great, sir. And just the last point, I'd like to close here. We are saying we are constructing this Dharavi to Ghatkopar project roughly around 8 to 9 kilometers, the construction is required.

My question is like we have Welspun Corp as our -- in the pipes business. We will definitely need DI pipes here. I'm assuming that. So is there any -- just if you could, elaborate something on this?

Saurin Patel: Sandeep, may I? I don't think -- I don't -- sorry...

Saurin Patel : Yes. We really have no DI pipe requirements here in this project. It's a TBM tunnel concrete lined tunnel. And whatever vertical delivery pipes are required are made out of steel.

Dinesh: Okay. Fine. Because I'm an investor in Welspun Corp. as well. So I was more interested in understanding if there is any mutual synergies in our business?

Sandeep Garg: No.

Moderator: The next question is from the line of Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor : Sir, firstly, if you could throw some light on the EPC part of the story with the Uttar Pradesh water and sanitation mission. I think the INR2,900 crores is what has been outlined in your presentation. So, in the segment revenue, where have we club

bed it? And how much revenue

have we booked? And what is the time line for closure of the project?

Sandeep Garg: Yes, you'll take the financial part of the question.

Lalit Jain: So basically, in the water vertical, we have booked a revenue of INR304 crores in this quarter.

With respect to project progress, Sandeep sir will explain.

Sandeep Garg: So, coming to the when do we expect project to complete, we expect in another 18 months or so the project to complete.

Saket Kapoor : Okay. And out of this INR304 crores, the entire amount is attributed to this project only?

Lalit Jain: No, no. This is not entirely. We have water segment. So we have Dharavi project also. We have UP-JJM...

Saket Kapoor : Particularly for the UP state, I was -- what is the state one -- at which the project is being executed if you could give ?

Lalit Jain: Project wise, if you want, we can discuss off-line, please.

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Saket Kapoor : Okay. But if you take 18 months for this project to complete, that is INR2,900 crore revenue that...

Sandeep Garg: So more than 50% of the revenue has already been recognized at -- Around 50% has been recognized. The balance will take time.

Saket Kapoor : Okay. And sir, then coming to the breakup for this quarter, we find under the Transport segment, the revenue of INR380 crore s and the comparative number for June quarter was INR530 crores or to How should one read this split going for H2 also. If you could give us some color how -- this being a seasonally a lean quarter, what should we expect in terms of the revenue profile in terms of the execution for H2, if you could give us some color?

Sandeep Garg: So it will follow the trend of the H1 slightly better because the next 2 quarters are clear seasons. But the -- as I have always maintained in recent times that the growth engine is going to be from water and now tunneling as well. So these are the growth engines. The Roads segment is within the transportation, will see the level of play that we are currently seeing.

Saket Kapoor : Okay. So this 20% turnover growth will be more attributable to the -- towards the water end -- from the water that has been -- and it will be for the road part to be flat type of revenue. That is what you are ...

Sandeep Garg: That is correct. If you see the order book itself, it is about skewed in the favor of water to an extent of about 80% plus.

Saket Kapoor : Okay. Sir, in the presentation, we have also mentioned about this river linking part of the story. So if you could just explain out of the order book, how are we faring into this? And what's the scope of work in this river linking project part of the story?

Sandeep Garg: River linking is, as you know, a lot of water rivers do have overflows and certain places, the water is not there. The government is coming up with a scheme of interlinking these water channels. So, this will be done through underground pipes, etcetera, etcetera. So, we believe that in the bulk transmission, we do have some experiences and expertise, so we -- which we want to leverage.

Saket Kapoor : So currently, in our order book, there is no portion of project for river linking. It is only that we anticipate going there.

Sandeep Garg: That is correct.

Saket Kapoor : Okay. But our group company will -- may play a part. I think the DI pipe requirement will emerge with the river linking project. Am I correct in that assumption, sir?

Sandeep Garg: So, the steel pipe requirements will be the larger portion , DI will be a smaller portion...

Saket Kapoor : Okay. And lastly, sir, a small question and... .

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Moderator: Sorry, interrupt, sir. Due to time constraint, we'll take this as a last question.

Saket Kapoor: Let me complete my point, sir, if I may.

Sandeep Garg: Yes, please go ahead

Saket Kapoor: Sir, for the oil and gas portfolio, sir, if you could just give us some color, where are we in midst of reaching the benefit going ahead? And what can be attributed from this segment? Once you were talking about some milestone being achieved for this quarter, what can we anticipate going ahead? And on the pricing front, so if you could give us some color on this here?

Sandeep Garg: What we are anticipating is in this quarter is that the -- our submitted FDP will get approved. The FDP is a Field Development Plan. Once that is approved, it determines what the capex will go in and what the revenue can be expected of the field and what kind of margins the company can make. So, this is a document which is reviewed and approved by the statutory arm of the Ministry of Petroleum called DGH. So once the DGH approves it, then the commercial viability of the project is established. And then only we can say authentically what to expect.

Saket Kapoor: Okay. So that was at the time line is going ahead for us. When -- and the work will begin and everything...

Sandeep Garg: That is correct.

Saket Kapoor: Okay. And the capex part also will be frozen once that is being So it will be in the same ratio in the JV that is 35% of the capex will be rooted through our company?

Sandeep Garg: That is correct. So 35% contribution towards capex will have to be made by Welspun, 65% by Adani.

Moderator: Ladies and gentlemen, that was the last question for today. is the end of our Q&A session. I now hand the conference over to Mr. Vaibhav Shah for closing comments.

Vaibhav Shah: Yes. Thank you, sir, for giving us the opportunity to host the call. Any closing remarks from your end?

Sandeep Garg: Yes. I want to thank all participants for joining us on this call today, and I hope we have been able to address all your queries. I wish you and your families a joyful Diwali and Festive Season ahead. We remain committed to creating value for our stakeholders, and our focus is in delivering improved return on equity and return on capital employed. I look forward to speaking to you once again in the near future. Meanwhile, please feel free to reach out to our CFO or Investor Relations team for any questions or feedback. Happy Diwali to all of you. Thank you.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining

us, and you may now disconnect your lines .

Call: Feb 2025

WEL/SEC/2025 February 10 , 2025

To,
BSE Limited
1st Floor, Rotunda Bldg.,
Dalal Street, Fort,
Mumbai - 400 001.
Scrip Code: 532553 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051.
NSE Symbol: WELENT

Dear Madam/Sir,

Subject: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Q3 FY25 Earnings Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on Tuesday, February 04, 2025, for the quarter and nine months period ended December 31, 2024.

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

https://www.welspunenterprises.com/admin/uploads/investerddata/financialresults/fr_1739196439.pdf

You are requested to take the above information on record.

Thanking You,

For WELSPUN ENTERPRISES LIMITED

NIDHI TANNA
COMPANY SECRETARY
ACS - 30465

Encl. as above

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"Welspun Enterprises Limited
Q3 FY '25 Earnings Conference Call "
February 04, 2025

MANAGEMENT : MR. ABHISHEK CHAUDHARY – CHIEF EXECUTIVE
OFFICER – WELSPUN ENTERPRISES LIMITED
MR. SANDEEP GARG – MANAGING DIRECTOR –
WELSPUN ENTERPRISES LIMITED
MR. LALIT JAIN – CHIEF FINANCIAL OFFICER –

WELSPUN ENTERPRISES LIMITED
MR. SAURIN PATEL – MANAGING DIRECTOR –
WELSPUN MICHIGAN ENGINEERS LIMITED
MR. SALIL BAWA – HEAD, GROUP INVESTOR
RELATIONS – WELSPUN GROUP
MS. SANGEETA TRIPATHI – LEAD, INVESTOR
RELATIONS – WELSPUN ENTERPRISES

MODERATOR MR. VAIBHAV SHAH – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Enterprises Limited Q3 FY '25 Earnings Conference Call hosted by JM Financial. As a reminder, all participant line will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M r. Vaibhav Shah: from JM Financial. Thank you, and over to you, sir.

Vaibhav Shah : Thank you, Sejal. On behalf of JM Financial, I welcome everybody to Q3 FY '25 Earnings Conference Call of Welspun Enterprises Limited. I will now hand over the call to Mr. Salil Bawa , Group Head Investor Relations of Welspun World. Over to you, sir.

Salil Bawa: Thank you, Vaibhav. Good morning to all of you. On behalf of Welspun Enterprises Limited, I welcome all of you to the company's Q3 FY 2025 and 9 month FY 2025 earnings call. Along with me today, I have Mr. Sandeep Garg , Managing Director of Welspun Enterprises; Mr. Saurin Patel: , Managing Director of Welspun, Michigan Engineers Limited; Mr. Abhishek Chaudhary, Chief Executive Officer, Welspun Enterprises; Mr. Lalit Jain , Chief Financial Officer; and I also have Sangeeta Tripathi, who has just joined us as Lead Investor Relations.

We hope you have had a chance to review the investor presentation that we filed with the exchanges yesterday. The presentation is also uploaded on the company's website. During today's discussion, we may be making references to this presentation. I'm sure you would have taken a note to review the safe harbor statement in the presentation.

As usual, we'll start the forum with the opening remarks by our leadership team, and then we'll open the forum for your questions. Once the call gets over, should you have any further queries that remain unanswered, please feel free to reach out to us.

With that, I would now like to hand over the floor to Mr. Sandeep Garg , Managing Director of Welspun Enterprises. Over to you.

Sandeep Garg: Thank you, Salil. Good morning, everyone, and thank you for joining us today. Welcome to Welspun Enterprises Q3 FY '25 Results Conference Call. We appreciate your time and participation.

Before I go to the company -specific discussion, I would want to state that the union budget is positive for us as a company and as well as the industry. The focus on public -private partnership, PPP, the extension of Jal Jeevan Mission, the government's decision to grant access to the PM Gati Shakti data, the INR1.5 lakh crores interest -free loan to states and NaBFID's (National Bank for Financing Infrastructure and Development) partial credit guarantee schemes to ease the funding for the projects are all transformative actions, which augurs well for the company.

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We, at Welspun Enterprises, are excited to contribute to this ambitious growth agenda of the government, and we will continue to work to strengthen India's infrastructure backbone for a sustainable future.

So having talked about the union budget, I would want to come to the financial performances. I'm pleased to report that we have sustained our growth momentum for this quarter. Our consolidated income for this first 9 months of FY ' 25 stands at INR2,717 crores, reflecting a 24% increase compared to the same period last year. Our EBITDA for the same period is INR523 crores, a growth of 14% YoY .

Our subsidiary, Welspun Michigan Enterprise Limited, or WMEL, has also delivered strong performance, with revenue of INR403 crores, a year -on-year increase of approximately 49%. Mr. Saurin Patel , MD of WMEL, will provide further insights into the company's perfor

mance

in his opening remarks.

Looking ahead, we reiterate that we will be closing F Y '25 with a consolidated EBITDA of approximately INR700 crores. At the stand-alone level, we are maintaining a cash reserve of approximately INR840 crores, which positions us well to drive our future growth strategies. Mr. Lalit Jain, our CFO, will share more details on our quarterly performance shortly.

I'm also very excited to talk about the strategic initiatives and technological innovations that the company has embarked upon. Our subsidiary has made significant strides with the SmartOps technology, an innovative solution in waste water and water treatment. We recently secured 2 new orders for its deployment in Pandharpur, Maharashtra and Varanasi, UP. This technology will help address India's water treatment challenges in a sustainable manner. And Saurin will provide more details shortly of this exciting initiative.

Coming to the order book. I'm pleased to announce that our consolidated order book stands at INR14,500 crores, of which around INR9,300 crores comes from water, about INR1,950 crores from the tunneling segment and remaining INR1,750 crores from transportation sector. The closing order book of WMEL stands at INR1,500 crores, excluding the orders which are awarded by WEL to WMEL.

In line with our strategic growth areas, we have secured an order of INR1,989 crores to construct our water conveyance tunnel from Dharavi to Ghatkopar in Mumbai. This project complements our ongoing work at Dharavi STP. We will implement this project through Welspun Michigan, leveraging their expertise in Thane. We were also declared L1 for MMC -11 road project by MSRDC. However, due to delays in the project award, we are not incorporating it into our revenue forecast until there is a clarity. Please note that this project was never considered in our order book of INR14,500 crores.

On the execution front, I'm happy to report that all our projects across the water and transportation in WMEL sectors are progressing according to schedule. We are on track to achieve provisional completion for Aunta-Simaria road and project by the end of this financial year.

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Talking about our growth strategies at Welspun Enterprises, our long-term vision is to build technology-driven end-to-end water solution company. We aim to become one-stop shop for water infrastructure offering integrated solutions that encompass treatment conveyance and smart management.

Our water strategy revolves around 4 pillars: transmission, treatment, distribution and O&M services. With Welspun Michigan as a technology-focused hub, we are integrating cutting-edge solutions like SmartOps to enhance both project efficiency and sustainability. Through these synergies, we aim to redefine sustainable water management in India.

In the transportation sector, we have built a strong foundation in the road infrastructure, expanding from HAM projects to BOT and EPC models, while maintaining an asset-light approach. Moving forward, our growth strategy focuses on 2 key areas: BOT Toll and large diameter tunneling.

Now looking at the future projections. We are aligned with the government's ongoing focus on infrastructure, and backed by our asset-light model and cash-rich balance sheet, we remain optimistic about future bidding opportunities. We have identified over INR6 lakh crores worth of projects across key segments over the next 5 to 7 years. This includes opportunities in water supply, wastewater treatment, water transmission, BOT Toll projects and large diameter tunneling.

The robust pipeline reinforces our projections and we are on track to close FY '25 with a consolidated order book of -- in the range of INR 15,000 crores to INR20,000 crores depending upon the timing of awards. With this consolidated foundation we anticipate a consolidated

total

income growth of anything between 18% to 20% in the next 3 years.

I would also want to talk about the sustainability, which is a cornerstone in our strategy. As a part of our commitment to sustainable development, we unveiled our inaugural sustainability report last month, themed transforming infrastructure, advancing sustainability. This report highlights our dedication to excellence, showcasing how we integrate ESG principles across all our operations. It also outlines key initiatives in circularity, resource efficiency, renewable energy and strategic technology collaborations.

Our efforts have been recognized across the industry at ASSOCHAM Infrastructure Conference and Awards 2024. Our Aunta-Simaria Road Project won the Excellence in Project Management Awards. Additionally, Welspun Enterprises was named the Construction and Infrastructure Company of the Year at the Construction Times Awards 2024.

Further, WMEL received the Best Tunnel Project of the Year Award at the S.V. Road Sewer --

for the S.V. Road Sewer Tunnel Project at the Construction Times Award 2024 and the Innovative Project Design Award for Rehabilitating a 100 -year-old strong water rain using geopolymer lining at the Trenchless Excellence Award 2024.
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With this, I now hand over the call to Mr. Saurin Patel , MD of Welspun Michigan and Head of Water Verticals in WEL, who will provide more insights into the progress of our water sector projects.

Saurin Patel: Thank you, Sandeep, and good morning to everyone. Over the years, we have established ourselves as a trusted engineering solutions provider for water infrastructure, a specialized niche. Building on this expertise, we aspire to scale our presence in specialized areas such as tunneling, water improvement and water delivery projects on a larger scale.

The Dharavi Wastewater Treatment Facility is advancing well with the SBR raft complete and the first floor slab at 80%. The administrative building is finished and the site office has relocated. The pumping stations show piling is ongoing with challenges from unmapped utilities, but equipment from our JV partners is arriving and client approval for the thermal hydrolysis process has been secured. This project aims for completion by the third quarter of 2026, ahead of its schedule.

In the Bhandup Water Treatment Plant, external approvals, which are mandatory from the forest authorities and eco sensitive zone committees, are in progress. A site office has been established and the excavation contractor bids have been finalized. Work is expected to start very soon. For the tertiary treated water conveyance tunnel project that was awarded to us just a few months ago, the work spans 93 months, and it includes constructing an 8.48 kilometer tunnel and 2 deep shafts with a maximum depth being at 152 meters. Our TBM has been finalized and an MoU and order has been placed. This delivery is expected in 16 months. And it will be just in time once the shaft completion project has been executed. The necessary permissions are being processed, and we expect a 4 - to 6-month process time for such permissions to be granted. Now for some exciting news. Welspun Michigan Engineers have successfully launched Welspun SmartOps, a JV which introduces a revolutionary new technology in the area of water treatment. This technology is modular, scalable, cost -efficient and easy to deploy in a water body or drain point to rejuvenate or recycle water. With this new business, we endeavor to create an alternative approach to address the huge problem of an estimated 63% of India's sewage being released untreated into the environment.

I'm extremely happy to share that we are about to hand over 2 prestigious projects executed using this technology. One is a rejuvenation of the Holy Durga Kund in Varanasi, Uttar Pradesh, and the sec

ond is on the Chandrabhaga River at the Vitthal Mandir in Pandharpur, Maharashtra.

In both cases, Welspun Michigan will significantly enhance the experience of thousands of devotees who worship and perform rituals at these sites of religious and tourism significance. This new business line is expected to be rolled out pan-India and we are creating an organizational structure commensurate with the huge opportunity we see waiting to be tapped. On the financial front, our WMEL order book as on December 31, 2024, is INR2,600 crores. The order book entails 23 projects, which are spread across large diameter tunnels, micro and segment tunneling, marine works, rehabilitation of sewer lines and bridge construction and is largely
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executable over the next 36 months, excluding the single large tunnel project which has a 93 - month period of execution.

Coming to the key financials of the concluded quarter, WMEL has delivered revenue of INR155 crores, thus taking our 9 -month FY '25 revenue to INR403 crores, marking a spectacular growth of 49% YoY . I'm confident that we will continue the execution momentum into the financial year and endeavor to better the guided 50% growth for FY '25. This performance has been consistent from a margin perspective. Our EBITDA margin works out to be approximately 23% for the 9 months FY '25.

With this, I will close my remarks and hand the call to Lalit Jain, CFO of Welspun Enterprises for updates on financials.

Lalit Jain: Thank you, Saurin. Good afternoon to everyone, and many thanks for being a part of this call. As our MD shared on a consolidated basis, we have delivered INR919 crores of total income for Q3 FY '25 against INR754 crores in Q3 FY '24, which is a growth of 22% year -on-year. The 9-month FY '25 consolidated income is INR2,717 crores, which is a growth of 24% over 9 -

month FY '24. Our consolidated EBITDA for Q3 FY '25 is INR180 crores against INR174 crores in Q3 FY '24. This EBITDA works out to margin of 19.6%.

The 9-month FY '25 consolidated EBITDA is INR523 crores against INR460 crores, which is a growth of 14% over 9 months FY '24. A consolidated PBT for the quarter is INR117 crores and our profit after tax for the quarter is INR77 crores. At the consolidated level, we reiterate that our EBITDA for financial year '24-'25 is expected to be INR700 crores and ROCE is expected to be 17%, which does not include the expected gain on the sale of completed assets. On a stand-alone basis for Q3 FY '25, total income is INR709 crores and EBITDA is INR105 crores. Profit before tax on a standalone basis is INR95 crores, while PAT is at INR69 crores. Our EBITDA margin is at healthy 14.8%. Please note that in Q3 FY '24, we have recognized a claim from EPC business. This resulted in a higher EBITDA margin of 20% in last financial year.

We have a strong balance sheet, as demonstrated by our stand-alone net worth of INR2,605 crores as on 31st December 2024. We remain debt free on a stand-alone basis with cash reserve of INR844 crores, which will allow us to grow the business to the next level.

I would also like to inform you that the company was previously focusing on road project, which accounted for significant portion of its revenue. However, in recent quarter, the order book has diversified to include projects in water, wastewater, tunneling and rehabilitation sectors. Along with the acquisition of Michigan Engineers Limited, to reflect this expanded portfolio, management has decided to go to do segmental reporting starting with quarter 2 FY '25 for each vertical, namely water, transport, tunneling and rehabilitation.

I would like to take you all through the segment-wise revenue numbers for Q3 FY '25. Out of total consolidated operational revenue of INR867 crores, INR328 crores comes from transport, Welspun Enterprises Limited

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INR365 crores is contributed by water and the balance of INR174 crores is being contributed by tunneling work.

With this, we can open the forum for question and answer. Thank you.

Moderator: Thank you very much. The first question is from the line of Vaibhav Shah from JM Financials.

Vaibhav Shah: Sir, firstly, on the balance sheet side, what would be our consolidated and standalone debt as of December?

Lalit Jain: Consolidated INR1,122 crores. And we don't have any debt on the -- at stand-alone level.

Vaibhav Shah: I think there was around INR180 crores debt as of September quarter is standalone...

Lalit Jain: Basically, we have taken one advance of INR169 crores from the Actis for the 51% MCP stake, which we are going to sell. So this is advance, which is interest -- it will come -- it will be adjusted against our consideration of 51% when we sell this.

Vaibhav Shah: Okay. And sir, what would be your order inflow in the 9 months? And how much we're targeting for the entire year?

Sandeep Garg: So the order inflow at Welspun Enterprises level stand-alone has been about INR2,000 crores in the FY '25. As I had mentioned in my opening statement mentioned, we had opened L1 for about INR1,850 crores worth of projects, which because it is delayed in award, we are -- we have never considered in order book, but we are also now taking it away from our projections till the time the clarity comes in.

Based on these guidance, we anticipated that we will be having an order book of about INR6,000 crores addition. However, given that this INR2,000 crores may not come and certain projects are delayed in award, we are not very hopeful that any new award will come in the current financial year.

Vaibhav Shah: So FY '25 should be around INR2,000 crores in terms of inflow?

Sandeep Garg: Yes. We expect this spill over to be met in the Q1 of FY '26 because the project that we were anticipating will be bid out in this year are slightly behind schedule.

Vaibhav Shah: So what would be our target for FY '26 in terms of inflows?

Sandeep Garg: We believe that we should be able to make up for this loss of about INR4,000 crores plus the additional INR6,000 crores in FY '26. So we should be garnering an inflow somewhere between INR8,000 crores to INR10,000 crores order book in the FY '26.

Vaibhav Shah: Sir, what should be the broad mix of the inflow that we are targeting for next year? Highway should be somewhere around 30%, 40-odd percent?

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Sandeep Garg: Yes. So we would -- we expect about 35% to 40%, 35% to be the transport vertical and the

balance would come from the water vertical.

Vaibhav Shah: Okay. And sir, second ly, on the industry side, what is the current pipeline on the -- especially in the water segment?

Sandeep Garg: So the water pipeline is pretty strong. As I said in my opening statement, we see a lot of orders coming through going forward in Maharashtra, i n MP, in Rajasthan, in Odisha. So we see a lot of orders being announced and which being expected in any time between 45 days to about 3 months period. So we see a lot of work coming in.

Vaibhav Shah: And anything on the competition side, have we seen some increased competition over the last 3 to 6 months in water segment?

Sandeep Garg: In the kind of projects that we participate, there are limited players because you need technical qualifications, et cetera, et cetera. So we don't see very intense competition. We don't participate by design in areas which are intensely competitive.

Moderator: The next question is from the line of Nirvana Laha from Badrinath Holdings.

Nirvana Laha: Sir, my first question is on the discontinued operations losses that we are booking. So what is the status of approval here? And when are we expecting to dispose of this asset? And how much more losses ar

e left to be booked?

Lalit Jain: This is with respect to our MCP project, which we have sold out to Actis, 49% we already sold out. And remaining 51%, we are expecting COD in -- within 3 to 4 months. Once we receive the COD, then we have to apply for the NHA approval. Once it comes -- we are expecting this -- to close the deal in FY '26.

Nirvana Laha: Okay, sir. And how much more losses do you anticipate to book in the next 2 quarters?

Lalit Jain: Basically discontinued operation losses are not practically losses -- these are only notional loss. We don't see any loss on this account. But for the accounting purpose, we have to consider. So this will be, you can say, INR24 crores, INR25 crores per annum, these are the type of discontinued losses that will come in...

Sandeep Garg : Just to add to what Lalit has told, we anticipate in the H1 of FY '26, this whole transfer to take place. And this notional loss that we are making will get consummated rewritten in once -- the equity of 51% is transferred to Actis.

Nirvana Laha: I see. So it will be reversed when the transaction is quarter ?

Sandeep Garg: Yes, yes.

Nirvana Laha: Okay. Okay. So a few questions on your P&L. So in this, the other income has spiked quite a lot. It's gone up to 16% from 10% in the Y -o-Y quarter. And if I look at the segmental results,

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the EBIT margins for the water segment have really come down, 21% against 33% Y -o-Y. So what led to this?

Sandeep Garg: So the other income has 2 components. One is a component of the -- our treasury income. The other component is the...

Nirvana Laha: Sir, sorry, I meant other expenses. Other expenses have spiked from 10% to 16%, not other income.

Lalit Jain: For other expenses, you have to consider both the things cost of material, subcontractor and put together and then you can compare, because sometimes other expenses like designing expenses also we are accounting on other expenses. So this is part of our subcontracting cost only. So you need to compare putting all 3 heads at 1 place, cost of material, subcontractor and other expenses, then you will be able to compare properly.

Nirvana Laha: Okay. So only combined, it makes sense to compare quarter -to-quarter?

Lalit Jain: Correct. Makes sense, yes.

Nirvana Laha: Okay. Okay. And what led to the big spike in finance costs? And how can we see this number panning out...

Lalit Jain: Finance cost, basically, if you see, in the consol level, finance cost has increased because we have drawn the debt at SPV level. We have HAM project, SNRP and Aunta -Simaria. -- we dr ew around INR500 crore s in SNRP projects, that's why the finance cost is increased.

Nirvana Laha: Okay. Got it. And last question, if I may. So the opportunity that you're seeing in terms of the water order book, you mentioned INR6 lakh crores across water and road. The water o pportunity itself, I think in the annual report, you've commented, it's INR3 lakh crores or more. Can you sort of split this into what government schemes or outside of schemes, what segment, how much of this opportunity you're seeing? And like is there a segment or a government scheme that's going to be the bulk of this opportunity? Like where should we focus in terms of Welspun's opportunity?

Sandeep Garg: Yes. So that data is available that it is split into transmission treatment and the other O&M. So the segmentation of this is available, and bulk transmission is about 40% of this pipeline and about 30% is treatment. The balance comes from other distribution, et cetera, et cetera. So this

is what the split is at a macro level.

Nirvana Laha: So transmission includes only tunneling because UPJMM I think, will be under the distribution this thing, right?

Sandeep Garg: Yes. So the transmission will include tunneling as well as the pipe transmission, which is part of

our portfolio.

Nirvana Laha: So the UP project would be classified under the transmission?

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Sandeep Garg: The UP division is a distribution project.

Moderator: The next question is from the line of Vishal Periwal: from Antique Stock Broking.

Vishal Periwal: One on Michigan side, how has been the order inflow in this year?

Sandeep Garg: So Michigan has had INR1,700 crores that we have received as incoming orders for the year.

And we still have some contracts that we are L1. We are hoping that another INR200 crores to

INR400 crores will come in before the March 31st fiscal deadline and add to this number. So

we expect to end the year with an order inflow of about INR1,900 crores.

Vishal Periwal: Got it. Got it, sir. So at a consol level, then the inflow...

Sandeep Garg: I would just want to add to what...

Lalit Jain: This includes...

Sandeep Garg: This includes the order which has been taken by Welspun Enterprises and subcontracted portion thereof to Welspun Michigan. So in the contra, when we talk about consolidated order, this gets nullified in terms of consolidated order book.

Vishal Periwal: Okay. So in a consol level, the INR2,000 crores inflow which you mentioned, that's for stand-alone or consol or...

Sandeep Garg: So that's a stand-alone at Welspun Enterprises level. That is why in my opening statement, I made the order book of Welspun Michigan to INR1,500 crores because I had excluded the order which came from Welspun Enterprises to Welspun Michigan.

Vishal Periwal: Okay. Okay. And one last question, it's more of a clarification. So the guidance of INR700-odd crores for FY '25, this includes other income, right, sir?

Lalit Jain: Correct. Correct.

Sandeep Garg: That is correct.

Vishal Periwal: And then probably what is the ballpark range of margin this works out?

Sandeep Garg: Margins in terms of the overall -- EBITDA margins should be at an overall level, be about -- will be about 19% or there around at a reported EBITDA level.

Moderator: The next question is from the line of Koustubh Shaha: from Wallfort PMS.

Koustubh Shaha: I had a question on the SmartOps, the 2 projects that we have now kind of successfully done and handed over. So can you just give us a color as to was there any revenue booked? And what were the margins -- and the second question was that when you're saying that there will be a pan-India roll out, so can you just give us a color for FY '26, what we should expect in terms of the orders or the top line, that was for the Michigan part?

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Saurin Patel Yes, sure. Thanks for asking this. The 2 orders of Varanasi and Pandharpur will contribute about anywhere between INR43 crores to INR45 crores to our top line sales in terms of fiscal year '25.

And we hope that we will achieve easily 100% to 150% increase for the next FY '26 projection.

Now the percentages that this brings to our EBITDA levels in terms of the earnings, we expect

that we will not be earning less than 30% on the gross levels in terms of percentage profit

margins. And considering that these are smaller projects and we are just ramping up, we hope

that this leads to a higher number in the coming years with the productivity and organizational

increases that we are currently setting up.

So pan-India, when you say, we have no choice because the demand that we foresee for cleaning

up water bodies and for making sure that the inlets coming into major usable water bodies are

meeting NGT standards, et cetera, are so large that unless we are present in various geographies

in India, we feel that we would be giving up on opportunity, and that cost would be too high.

Koustubh Shaha: Okay. Sir, so you said that in the next year, we should expect 100%, 125% increase in terms of the order flow

Saur

in Patel: On a conservative level, I think we would do anywhere between INR150 crores to INR200 crores of turnover from SmartOps alone.

Koustubh Shaha: Okay. Great. And just to reiterate, the 30% is the gross margin and not the EBITDA margin, correct?

Sandeep Garg: Yes. So we would guide you to a 30% gross margin. We will come back with the EBITDA margin as the business matures.

Koustubh Shaha: Okay. Great. And second question is on the oil blocks. So how are we looking at in terms of the approvals, you have given the specified quantum that you're expecting? And any capital commitments that would be required for this?

Sandeep Garg: So this question is a bit tricky, so but anyway, the honest answer is that we have not got the EDP approval that we were anticipating from the government despite 45 meetings during the quarter gone by. So, once the EDP is approved, then only can we estimate what will be the expense because the evacuation routes will be decided only based on the EDP approval, and the viability of the same and capital allocation thereafter will take place. So we still are a bit away from it is my anticipation. So it will take at least 3 to 6 months still before the government approves this EDP.

Koustubh Shaha: Okay. Fair enough. And lastly, from a future perspective, what should we consider at a consolidated EBITDA margins?

Sandeep Garg: So EBITDA margins, at least for the FY '25 will be in the ranges of 19%. So 19% plus is what I would say. And our future businesses, as we speak, are in our continued business. So we will be reporting similar numbers of EBITDA margin for the years to come.

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Moderator: The next question is from the line of Parth Thakkar from JM Financials.

Parth Thakkar Can you provide us with the revenue and the margin guidance for FY '26 and also for FY '27 if you can?

Sandeep Garg: So we expect the -- our revenues and our margins to grow in the ranges of 15% to 20% year-on-year basis.

Parth Thakkar : Okay. And also, during the 2Q call, we were still waiting for the necessary approvals and clearances for the Dharavi Water Treatment project. Have we received them yet? And how much can we expect on a full year basis to book revenue on that?

Sandeep Garg: If I understand it correct, the question is more related to the Dharavi -Ghatkopar tunnel.

Parth Thakkar Yes. Yes, sir.

Sandeep Garg: So if that is the question, then as Saurin addressed in his opening statement, we anticipate the approvals to come in the next 6 months.

Moderator: The next question is from the line of Yash Dedhia from Maximal Capital.

Yash Dedhia : Congratulations on the results. Sir, on the margin front, so it seems that, overall, we are getting to a lower margin trajectory, even if we adjust for some of the one-offs in the third quarter of last year, so even if I look at 9M numbers, the margins are a bit tepid. So despite growing by 20% YoY odd on the revenues, I think our PBT and all is relatively flat. So are we still looking for a growth of 15% to 20% at a PBT level for this year?

Saurin Patel: So the guidance is at the revenue and the EBITDA level. Now below the EBITDA lines, depending upon how the business is being ramped up and certain costs are getting incurred for future, the PBT and PAT will accordingly get adjusted. But we expect that our EBITDA should grow in the ranges of 15% or there around year-on-year basis and similar numbers will be the revenue situation. Below the EBITDA line because of the very nature of the businesses as they are in the growth phase or we are acquiring certain assets, the numbers at PBT and EBITDA will change.

Lalit Jain: So this is Lalit Jain. EBITDA margin remains as sir suggested, PBT and PAT for this financial year will not be comparable with last financial year. There were some claims. So if we remove that claims, then

adjusted for the same, there will be a growth of 15% to 20%.

Yash Dedhia: Sir, how much should we adjust? How much was the claim?

Lalit Jain: Around INR20 crores something amount was there. So if you remove that, then it will be -- for the quarter, it will get comparable.

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Sandeep Garg: So there is a onetime adjustment on the Q3 as was highlighted by Mr. Lalit Jain in his address. In the Q3 FY '24, there was a onetime adjustment of about INR20-odd crores. If you take that away, you will see the increase is consistent with the revenue growth.

Yash Dedhia : Okay. Understood. -- I'm looking at your segmental, -- I think Mr. Patel was mentioning that the EBITDA margin is 23 -odd percent. But if we look at the EBIT percentage, it is coming to

around 16% for 9M. So what is the difference in the 2 figures?

Lalit Jain: So basically, the allocation of the corporate expenses due to that it is getting reduced. We should understand that there is a difference between the project margin and at the net margin. So, you can say corporate allocations just getting reduced.

Yash Dedhia: But your segmental will not have corporate allocations, right, that could be below the segmental right? So I'm just looking at INR68 crores of EBIT on a INR422 crores, that is coming to 16% EBIT percentage. And then how does it -- is the depreciation 7-odd percent?

Lalit Jain: That we can discuss offline all these details, if you want, we can discuss offline.

Yash Dedhia: Okay. And finally, just one clarification on the order inflows and order book. So we are saying that we'll get INR2,000 crores more order inflow in FY '25. And then INR10,000 crores is the expectation for FY '26, which includes INR4,000 crores to be spilled over from FY '25 to FY '26.

Sandeep Garg: I think the message that I was trying to give was that we are not anticipating any major orders in this financial year at the WEL level. So there will be a spill over of almost INR4,000 crores from what the projects we were targeting into the next year. And next year, with this spill over included, we will be in the ranges of INR8,000 crores to INR10,000 crores order booking next year. That's what our target is.

Moderator: Sorry to interrupt, Mr. Yash, I would request you to rejoin your queue for a follow-up question.

The next question is from the line of Animesh Poddar from Wave PMS. Please go ahead.

Animesh Poddar: I would like to seek clarification on the cash flow. So last year as of March 2024, the cash flow from operating activities were negative. So are we closing this year with positive cash flows from operating activity? And if you should just give me a ballpark number of what will be the cash flow from operations?

Sandeep Garg: So at a macro level, I can tell you we will be closing cash flow positive from the operations.

However, the exact number, I think I may not be able to give you right now. I would suggest that if you could connect with the IR team, they will be able to help you with that.

Animesh Poddar: Okay. And sir, do we expect to maintain the debt level on this level? Or are we expected to reduce the debt or maybe increase? I mean, how is the financial leverage playing out?

Sandeep Garg: Just to take what Mr. Lalit Jain said, we have practically 0 debt at the stand-alone level. However, the SPVs will have some debt, which they will continue to take as the progress happens. One of Welspun Enterprises Limited

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the project, which is Aunta-Simaria, which is likely to be completed in this financial year, will be ready for a spin or a flip next year. We will try and see if we can split it next year. So that much of debt will be reducing on the consol level.

Moderator: The next follow-up question is from the line of Nirvana Laha: from Badrinath Holdings.

Nirvana Laha:

So the orders that we are winning in SmartOps, can you tell us a little about what kind of tenders we are winning them for? The reason I asked this is because, is the tender actually dictating certain timeline of completion, et cetera, which is giving SmartOps an advantage? Or are we still competing against the traditional -- we are constructing water treatment plants. So who are our competitors? And what are these kind of tenders where SmartOps is doing well and is likely to do well going forward?

Sandeep Garg: So the tenders which we win are tenders where we bring in a differentiation, where the client is valuing both space, time as well as the efficacy and reliability of the system. So overall, O&M is also something that its value. So anybody who's doing a life cycle costing and these key aspects is where we are likely to win.

In terms of competing with the existing technologies, then there is no comparison because the timeline itself is very different for each one of them. So as against a conventional water treatment plant taking a couple of years, we take about 45 to 60 days. And wherein per MLD, the area requirement is about 150 square meters for us, which is almost 3 to 4x of this for a conventional treatment plant. So anybody who is valuing these is where we will get our benefit and we should be able to position ourselves for those kinds of projects.

Nirvana Laha: Understood, sir. My question actually is that are the tenders already specifying these time and size constraints to our advantage? Or is it that the tenders are still generic in nature and we are still able to win them basis our bid? That is what I want to ask.

Sandeep Garg: We don't bid for generic tenders through this technology because I don't think if there is no differentiation between the 2, we will be able to -- we would want to compete with that technology. We will be selective in our bidding even in this case.

Nirvana Laha: Sure, sir. Therefore, the competitors we are coming up with, they also have similar technology, modular technology or they are competing with the older technology?

Sandeep Garg: At least to the best of my knowledge, there is no competing technology equivalent to this at this point in time.

Nirvana Laha: Sure. And I have one other question on the oil blocks, if I may. So apart from the Mumbai oil block for which we are pursuing FDP, what is happening in the other 2 oil blocks?

Sandeep Garg: So the -- as I said earlier, the other block, which is adjoining the Mumbai block is supposed to be evacuated, and the oil and gas is supposed to be evacuated from the evacuation route, which is decided for this particular block. And hence, these are co-terminals. And the other -- there is

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no other block where we are otherwise operator, so we are not in a position to comment upon it.

And I hope -- I mean, these are the 2 blocks that are of relevance at this point in time.

Moderator: The next question is from the line of Harsh from Elegant Family Office.

Harsh: So I just wanted to confirm I heard the management correctly in opening remarks, are you guiding INR700 crores EBITDA this year?

Lalit Jain: Yes. So we are reporting EBITDA shall be for INR700 crores or we are targeting INR700 crores, including the other income, total -- on a base of total income.

Harsh: Are you also upward revising your revenue target of INR4,000 crores in FY '25?

Lalit Jain: No, we are not upward revising. We possibly will be slightly short of it because, as I said in my opening statement, one of the orders which we were anticipating has not matured and - we have taken some forecast of revenue from that, that we will not be able to get.

Harsh: So by going by that, you will be needing at least -- like you have done INR368 crores of EBITDA in 9 months, that leaves us with almost INR350 crores of EBITDA for Q4

. At the revenue run

rate of INR4,000 crores, that would be like 25% margin at least.

Lalit Jain: I think I would want to clarify this that the guidance is at the EBITDA level of the reporting.

You seem to be excluding the other income from the related EBITDA there. So this is the disconnect. I am giving you a guidance as against INR523 crores which we clocked in 9MFY25, we will be at INR700 crores in FY25.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: I wanted to understand on the tax rate side of it more on a consolidated level. So we would be doing -- paying tax at the rate of 30%, right, even going ahead in FY '26 on a blended basis?

Lalit Jain: In terms of the stand-alone level, it is 25%. For some SPV, we have 30%, but we are -- it will be in the range of 25% to 27% at the end of the year.

Sandeep Garg: So going forward, the question -- if the question is FY '26 and '27, we are going to look at these -- our taxation strategy as to what we need to follow, and we'll come back to you once our strategies are in place.

Vignesh Iyer: Okay. Got it. And sir, sorry, if I missed did earlier, how would we be ending this year, that is FY '25 in terms of revenue?

Sandeep Garg: So we anticipate the consolidated revenue to be somewhere close to INR3,700 crores total income.

Moderator: The next question is from the line of Diwakar Rana from Prudent Equity.

Diwakar Rana: What is the nature of the onetime expense of INR20 crores?

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Lalit Jain: It's not a one-time expenses. This was the onetime claim and gain ...

Sandeep Garg: So I think the question is related to what you're talking about INR20 crores is other income that we had accounted in Q3 FY '24, which is onetime income that had come in, I don't think there is any clarification that we have given out onetime cost side of this.

Diwakar Rana: Okay. Sorry. So I thought there is a onetime expense of INR20 crores. You are saying it is other income, right, of INR20 crores?

Sandeep Garg: Yes, that is correct.

Moderator: The next question is from the line of Nishant Gupta from Minerva Global Capital.

Nishant Gupta: Just one small question. In the previous con call, you had guided for a revenue growth over the next 3 years in the range of 20% to 22%. This time, you have softened that to 15% to 20% over the next 3 years. So is it more like a cautious approach because the kind of opportunity you mentioned INR3 lakh crores would be in the water segment itself, that kind of indicates there is a -- there can be a higher uptick. So what is the reason for softening the plan?

Sandeep Garg: So why I have softened this that the last 8 months, the order inflows or order bids are slow. We would await when they come to their normal levels and then reguide rather than guide in advance of our growth. So more cautious about it. Once the intent of the government converts into actual work, we would be happy to reconsider our guidance.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to

Mr. Sandeep Garg: for closing comments.

Sandeep Garg: Thank you. Thanks once again for coming, for joining us today. I hope we have addressed all your queries. We remain committed to creating long-term value for our stakeholders, and our focus is on improving return on equity and return on capital employed. Should you have any further questions or feedback, please feel free to reach out to our CFO or Investor Relations team. Thank you. Good day.

Moderator: On behalf of JM Financials, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

WEL/SEC/2025 May 22, 2025

To,
BSE Limited
Corporate Relationship Department,
2nd Floor, New Trading Wing, Rotunda
Building, P.J. Towers, Dalal Street,
Mumbai – 400 001.
Scrip Code: 532553 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C -1, Block -
G, Bandra -Kurla Complex,
Bandra (East),
Mumbai – 400 051.
NSE Symbol: WELENT

Dear Madam/Sir,

Subject: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Earnings Call

Pursuant to the Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript for the Earnings Call held on Friday, May 16, 2025, on the Audited Financial Results of the Company, for the quarter and financial year ended March 31, 2025.

The said transcript has also been uploaded on the Company's website and can be accessed through the following link:

Link for Transcript of the Earnings Call

You are requested to take the above information on record.

Thanking You,

For Welspun Enterprises Limited

Nidhi Tanna
Company Secretary
ACS -30465

Encl. As Above

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Q4 & FY '25 Earnings Conference Call "
May 16, 2025

MANAGEMENT : MR. SALIL BAWA – GROUP HEAD OF INVESTOR
RELATIONS – WELSPUN WORLD
MR. SANDEEP GARG – MANAGING DIRECTOR –
WELSPUN ENTERPRISES LIMITED
MR. SAURIN PATEL – MANAGING DIRECTOR –

WELSPUN MICHIGAN ENGINEERS LIMITED
MR. ABHISHEK CHAUDHARY – CHIEF EXECUTIVE
OFFICER – WELSPUN ENTERPRISES LIMITED
MR. LALIT JAIN – CHIEF FINANCIAL OFFICER –
WELSPUN ENTERPRISE LIMITED
MS. SANGEETA TRIPATHI – LEAD INVESTOR
RELATION – WELSPUN ENTERPRISE LIMITED

MODERATOR : MR. PARTH THAKKAR – JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Welspun Enterprises 4Q and FY '25 Conference Call, hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Parth Thakkar from JM Financial Institutional Securities Limited. Thank you, and over to you, sir.

Parth Thakkar: Thank you, Navya. On behalf of JM Financial, I welcome everybody to Q4 and FY '25 Earnings Conference Call of Welspun Enterprises Limited.

I will now hand over the call to Mr. Salil Bawa, Group Head, Investor Relations of Welspun World. Over to you, sir.

Salil Bawa: Thank you, Parth. Good afternoon to all of you. On behalf of Welspun Enterprises Limited, I welcome all of you to the Q4 FY '25 and full-year earnings call. Along with me today, I have Mr. Sandeep Garg, Managing Director, Welspun Enterprises; Mr. Saurin Patel, Managing Director, Welspun Michigan Engineers Limited; Mr. Abhishek Chaudhary, Chief Executive Officer, Welspun Enterprises Limited; Lalit Jain, CFO, Welspun Enterprises Limited; and Sangeeta, who leads Investor Relations for Welspun Enterprises.

We hope you have had a chance to review the presentation and the press release, which was uploaded on the exchanges yesterday. This presentation and press release is also available on the company's website. During the discussion, we may be making references to this presentation. Please do take a moment to review the safe harbor statement in our presentation.

As usual, we will start the forum with the opening remarks by our leadership team, and then, we'll open the floor for your questions. Once the call gets over, should you have any further queries that remain unanswered, please feel free to reach out to any one of us.

With that, I would now like to hand over the floor to Mr. Sandeep Garg, Managing Director, Welspun Enterprises. Over to you, Mr. Garg.

Sandeep Garg: Thank you, Salil. Good afternoon, everyone, and thank you for joining us today. Welcome to Welspun Enterprises Q4 and FY '25 Earnings Conference Call. I would like to thank all the attendees for their presence. I'm pleased to report a strong performance for FY '25, exceeding our guidance.

Our consolidated revenues grew by 25% year-on-year against our guidance of 15% to 20% growth, thus reaching INR3,584 crores. The EBITDA increased by 18% to INR730 crores against our guidance of INR700 crores.

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Our subsidiary, Welspun Michigan Engineers Limited, or WMEL, also recorded impressive results with revenues of INR667 crores, a 62% increase over the previous year. Mr. Saurin Patel, Managing Director of WMEL, will share deeper insights into the subsidiary's performance during his opening remarks.

On a stand-alone basis, we continue to maintain a healthy cash reserve of INR1,061 crores with 0 debt, which positions us for strong -- which positions us strongly to pursue our future growth initiatives. Mr. Lalit Jain, our CFO, will provide a detailed overview of our financial performance shortly.

Let me now provide an update on our key projects. Further to this, Mr. Saurin Patel will provide deeper insights in our water initiatives. Aunta -Simaria Road Project, the 8.5 kilometer bridge

project is almost complete, and provisional completion certificate, PCOD is expected before the end of this month.

Just to recall, it is India's widest extradosed cable-stayed road bridge with 34-meter-wide deck and widest span being 115 meters. It bridges

1.8 kilometers over the river Ganga. It will connect

Patna and Begusarai, thus reducing the travel time by over 1 hour. It is a symbol of innovation, resilience and an engineering marvel.

Next, I would want to talk about Mukarba Chowk-Panipat, or MCP project. We expect to receive the completion certificate within this quarter. And following that, we will proceed with the transfer of our balance 51% stake in the project to Actis on our pre-agreed terms.

In line with our asset-light strategy, we will be monetizing these assets during this year -- or I would say we would be attempting to monetize these assets during this year. Varanasi - Aurangabad, VARP, the project is advancing steadily and would be completed by this calendar year.

SNRP, Sattanathapuram-Nagapattinam Road project. This project has achieved over 60% physical progress and is on track to receive PCOD in this calendar year. Our journey at Welspun Enterprise has been truly transformative. While we began as a traditional road infrastructure player, we strategically diversified into the water sector 7 years ago, and initiative today accounts for nearly 85% of our current order book.

To strengthen our capabilities in specialized infrastructure, particularly in niche area of tunneling, we have increased our stake to 60% during the year in Michigan Engineers, which has been rebranded as Welspun Michigan Engineers, WMEL.

With this move, Welspun Enterprises has evolved into a differentiated company entering highly promising and technically advanced segments. Looking ahead, we envision Welspun Enterprise as a technology-led leader in water sector with our strategy anchored around 4 pillars: transmission, treatment, bulk distribution and operation and maintenance services.

With WMEL as our innovation and technology hub, we are integrating advanced solutions like Smart Ops to enhance project efficiency and environmental impact. Through these synergies, we are poised to redefine sustainable water management across India.

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On the oil and gas side, we have signed an agreement for a block in special DSF round for C-37, a small block adjacent to our existing blocks and are at various stages of discussions for the evacuation of gas. Once the evacuation arrangements for the cluster development are in place, we shall be in a position to come out with a final strategy.

Moving on to our order book. I'm pleased to share that our consolidated order book stands at INR14,300 crores. Of this, approximately INR10,700 crores is contributed by our Water segment, which includes operation and maintenance of INR4,400 crores and around INR1,950 crores from tunneling vertical. And the transportation vertical sector stands at the remaining approximately INR1,600 crores.

We maintain a strong outlook on future bidding across all our core verticals and at the subsidiary level. We have proactively identified robust opportunities in areas, including bulk water transmission - supply, sewage treatment plant solutions, water transmission and irrigations, canals, desalination and selective road and water BOT projects commanding higher margins.

Given the depth of these opportunities and our strategic positioning, I'm confident that we will - we are well on track to close the current fiscal with a consolidated unexecuted order book of over INR20,000 crores.

Talking about awards and recognition, WEL and WMEL have consistently pushed boundaries, setting new benchmarks in quality and execution with unwavering commitment to excellence, innovation and transformative impact on the industry. I would want to make a special mention for the recognitions that we have got of -- that of Mr. S. Madhavan, Lead Independent Director, WEL, who has been recognized as the Best Independent Director for 2023, '24 by Asian Center for Corporate Governance and Sustainability.

As already

mentioned last time that as a part of our commitment to sustainable development, we unveiled our inaugural sustainability report themed Transforming Infrastructure and Advancing Sustainability. We institutionalized ESG governance through the executive sustainability strategy and initiated ESG roadmap rollout plan.

In acknowledgment, WEL secured 2 ESG awards at Suryacon Awards 2025 for excellence in carbon emission reduction and water circularity and women leadership and sustainable sector. As we strategically pivot towards the high-margin water infrastructure segment, we remain confident in our trajectory for robust and sustainable growth.

Coming to the FY '26 guidance, we reiterate our Investor Day and subsequent Q3 FY '25 communication. We are confident of achieving 15% to 20% year-on-year growth in consolidated topline revenues for FY '26. Importantly, over 90% of this revenue is already secured in our current order book, underscoring the visibility, strength and execution certainty embedded in our pipeline.

While the overall revenue growth outlook remains strong, execution of FY '26 will be back-ended. Both Bhandup Water Treatment Project and Dharavi Ghatkopar Tunnel projects are at various stages of pre-implementation activities and expected to gain physical momentum post-monsoon.

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monsoon. Thus, approximately 60% of the revenues are expected in the H2 compared to a more even split in FY '25.

With a clear execution roadmap and better project financials, we are targeting consolidated EBITDA growth of approximately 20% plus in FY '26, reflecting the improving margin profile. Our return on capital employed will hence improve to above 15%, excluding monetization gains. With planned monetization events, as I spoke about Aunta-Simaria and MCP, we foresee the ROCE to be significantly higher in FY '26. We remain confident that our strategic focus backed by a robust order book, disciplined execution and a targeted shift to high-return segments will continue to drive long-term value creation for our stakeholders.

With these words, I would want to transfer the call to Mr. Saurin Patel. Saurin, over to you.

Saurin Patel: Thank you, Sandeep, and good afternoon, everyone. At Welspun Enterprises, we are strengthening our position in the water infrastructure sector by focusing on delivering resilient, scalable and sustainable solutions powered by technology. We are strategically expanding our capabilities across high-growth, high-impact areas such as tunneling, desalination, irrigation and large-scale water delivery systems.

These sectors are not just poised for strong growth, they are also essential for enabling sustainable development and unlocking significant returns. By aligning our technical expertise with emerging public policy, cutting-edge technology and private investment, we are positioning Welspun to drive accretive returns over the long term, ensuring both sustainable growth and transformative value creation for our investors.

Having talked about our strategy, now I'm pleased to take you through the latest developments in our water vertical, along with our strategic roadmap for the future. Let me now take you through the key project updates on our water vertical. First, the Dharavi Wastewater Treatment facility. The project is progressing steadily. The SBR civil works are now completed up to the third basin level and RCC work is going on for the fourth and final level, marking an important milestone.

The administrative building has been fully operational for the past 4 months. Piling work for the pumping station is well underway. We have reached 16 meters of excavation depth in 50% of the designated structure area out of a total planned depth of 30 meters. Key equipment from our technology partner for the SBR has already been delivered to the site. We are on track to start

project commissioning by November 2026, ahead of the schedule.

The Bhandup Water Treatment Facility, I'm pleased to share that we have secured all the critical approvals for the Bhandup Water Treatment Facility, including clearances from the forest and eco-sensitive zone committees. Site work has commenced and will gain momentum post-monsoons.

On the UP JJM project, which is a transformative opportunity, the project is on track for completion by September 2026. Once completed, it will have a profound impact on the lives of over 2,500 villages in UP.

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Now for an update on our subsidiary, Welspun Michigan Engineers -- Welspun Michigan Enterprise Limited, WMEL. For FY '25, WMEL posted revenues of INR668 crores, marking a robust 62% growth over FY '24's revenue of INR410 crores. The company has maintained a very healthy EBITDA margin of 21% and a ROCE of 29%.

In terms of segment contribution, tunneling, including segmental, micro tunneling and large diameter, contributed 62% of our revenue. Rehabilitation of underground structures made up 17%, followed by bridges and Smart Ops at 5% each and Marine at 3%. As of March 31, 2025, WMEL's order book stands at INR2,925 crores, which is nearly 3x our FY '25 revenue, a strong indicator of sustained momentum.

Regarding Smart Ops, I'm happy to inform that we successfully completed the Durga Kund Renovation Project in Varanasi, UP, in quarter 4 FY '25. Our next project, the Chandrabhaga River Project at the Vitth al Mandir in Pandharpur, Maharashtra, will be completed in the coming month.

Furthermore, we are retrofitting an existing STP of 15 MLD in Mathura, where the works will commence in June 2025. This will open up new avenues for Smart Ops. We look forward to building on this progress and continuing to create sustainable, impactful water infrastructure solutions.

Thank you once again for your time and interest. Over to you, Lalit.

Lalit Jain: Thank you, Saurin, and good afternoon, everyone. I appreciate your interest in our business and the company's performance. I will now take you briefly through our Q4 FY '25 financial results, followed by an overview of our full -year performance and segmental updates.

Talking about the Q4 FY '25 consol financial performance, revenue from operation is INR1,021 crores, up by 24% year -on-year. Our reported EBITDA margin is 19.3% for the quarter compared to 18.1% in Q4 FY '24. This margin expansion, coupled with robust top line growth, drove a strong 32% year -on-year growth in consol EBITDA, which stood at INR207 crores. Consequently, the operating leverage led to handsome 36% increase in PAT to INR105 crores. For the full fiscal year FY '25, consol performance revenue from operation is INR3,584 crores, marking a 25% increase year-on-year, thus demonstrating consistent executions. EBITDA at INR730 crores beat the full -year guidance of INR700 crores shared with earlier in this fiscal year. PAT is INR354 crores, 11% year -on-year growth. Adjusted to a significant one -off contract or's claim in last financial year in our operating margin, the comparable year -on-year PAT growth would be higher at 20%.

For the full fiscal year FY '25 standalone performance, revenue from operation is INR2,827 crores, marking a 15% increase over FY '24. EBITDA stands at INR455 crores, which is a 4% growth against INR439 crores, FY '24. As already explained above, after adjusting one -off claim in last year, our growth for the year is 13%.

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Our balance sheet remains robust. On a standalone basis, net worth stands at INR2,690 crores with a net cash position of INR1,061 crores, and consol cash is INR1,155 crores, more than enough for future investment in water, EPC capability and capital for high return selective BOT project in water and road.

At consol

net debt stands at INR145 crores, reflecting the debt taken at HAM SPV level, reflecting the strong progress of those projects during the year, as highlighted earlier by Mr. Sandeep Garg.

Now turning towards the segmental performance. On consolidated basis, segment -wise revenue was as follows for the year. As you can observe, we have pivoted during FY '25, now water and tunnel comprise 55% of revenue share versus 42% last financial year. This trend will further continue in the coming years as the company pivots in water -focused innovation and technology business.

The higher relative margin in water and tunnel segment reflect in the quarterly results, EBITDA margin profile improvements. This also leads to margin improvement for financial year '26 as guided by Mr. Sandeep Garg earlier.

Coming to FY '26 revenue guidance, I'm summarizing the guidance given by Mr. Sandeep Garg, we expect 15% to 20% consolidated revenue growth in FY '26. With our 90% already secured, execution will be H2 heavy driven by project approvals and execution schedule. EBITDA is set to grow 20% plus with this ROCE rising above 15%.

Further will be significantly higher on monetization of our road assets. I further guide that our standalone balance sheet will continue to be debt free. Our strategic pivot to water infra ensures strong sustainable value creation. Thank you.

Sandeep Garg: We can open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Vaibhav Shah from JM Financial Limited.

Vaibhav Shah: Yes. So you provided the guidance on consol front. Can you provide the same for standalone revenue and EBITDA margins for FY '26?

Sandeep Garg: The guidance given for standalone will also be in the ranges of 15% to 20%, both for the EBITDA and for the revenue.

Vaibhav Shah: And EBITDA margin would be?

Sandeep Garg: The EBITDA margins will be slightly higher at a standalone level than the current levels.

Vaibhav Shah: Okay. Sir, secondly, we have seen that there has been a good improvement in terms of margins in fourth quarter. So what has driven that improvement, both on Y -o-Y and Q -on-Q terms?

Sandeep Garg: So the -- as I said, it's a question of what projects contributed to how much of percentage. As the projects mix changes, each project has its own markups, and hence, you will see this
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improvement as the water projects become more prominent in our contribution to revenue and EBITDA. If you were to look at the segmental reporting, you would notice that the segmental reporting of water stands at 21 % for the FY '25, and we see that trend to continue going forward.
Vaibhav Shah: Okay. Sir, have we seen some improvement in terms of payments in UP JJM projects? And what would be our outstanding receivables from JJM?
Sandeep Garg: So at this point in time, there is a slight slowdown at -- our payment at UP JJM. However, at a vertical level, we are good because all other water projects are getting paid in time or ahead of time. Our net block at UP JJM would be somewhere in the close of about INR200 crores.
Vaibhav Shah: You mean net receivables from UP JJM outstanding?
Sandeep Garg: Yes, that's correct.
Vaibhav Shah: Okay. Sir, lastly, what would be our overall bid pipeline, if you can quantify and the mix in terms of segments as well?
Sandeep Garg: So we -- segmental mix may be a bit difficult to give, but our guidance to you is that we will be taking substantive orders in water. And our target is to be booking orders upwards of INR10,000 crores in the year for us to meet the guideline of being more than INR20,000 crores unexecuted order book at the end of FY '26.
Vaibhav Shah: Sir, so by water, you mean that it would be mainly on the treatment side and not on JJM side in terms of the incremental infl

ows?

Sandeep Garg: So we are not likely to participate in any JJM projects at this point in time.
Moderator: Next question is from the line of Koustubh Shaha from Wallfort PMS.
Koustubh Shaha: Congrats on the great set of numbers. My question was on the fundraise that the company is planning to do of INR1,000 crores. So the major utilization of this would be towards working capital for tendering of new projects or it would be towards some capex as well? Just wanted some idea on that.
Sandeep Garg: Thank you, Koustubh. This is an enabling authority that we are taking. We see a lot of projects being announced in terms of the BOT projects by both NHAI and the states. We also see certain projects in water getting -- moving to HAM and BOT space.
So this is just an enabling kind of resolution, which we are seeking should we require funds in future and we get orders beyond what we are currently forecasting, then we may use that authorization. Otherwise, we don't necessarily see within the current order profile that we will need funds to be raised.
Koustubh Shaha: Okay. Great. Second question was on the current year total order intake. Was it all about INR4,000 -odd crores, if I have done the calculation right? Is that the correct number?
Sandeep Garg: At the consol level, the order intake was in the ranges of INR3,200 crores.
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Koustubh Shaha: INR3,200 crores. Okay. Fair enough. And lastly, on the capex side, are we planning any incremental capex in the next 1 or 2 years? Or still we continue to be on the asset-light model, sorry?
Sandeep Garg: As far as Welspun Enterprise is concerned, there will be no capex. However, for the Welspun Michigan, there will be a small amount of capex going forward.
Moderator: We'll take the next question from the line of Dheeraj Ram from Ashika Institutional Equities.
Dheeraj Ram: Just wanted to know what is the L1 order that we currently have? And also, last quarter, you said that you were L1 for close to INR1,850 -odd crores. So how much has been converted in 4Q?
Sandeep Garg: So at this point in time, we are not L1 on any of the projects other than what was stated earlier. And from the media, we get -- we are made aware that, that project is unlikely to be awarded. However, we have no official confirmation from the client.
Dheeraj Ram: Okay. And this receivable under service concession, which has been increasing Y-o-Y, if you could throw some light on this?
Lalit Jain: Yes. This is Lalit Jain. This increase, basically, we have 2 projects, one SNRP and another Aunta-Simaria project, HAM project. So under that, we have got 50% money from the NHAI, and remaining 60%, we'll get under annuity. So this is getting accumulated, and we'll receive this money in the next 15 years as annuity.
Dheeraj Ram: Okay, sir. Okay. And just last question on Smart Ops. So we had 3 projects as per last quarter in Smart Ops in which one we recently, as sir said, is completed. So how much revenue can we

expect from Smart Ops for FY '26? And does the Smart Ops have higher margin compared to other projects in Welspun Michigan?

Sandeep Garg: So I would let Mr. Saurin Patel answer the question in terms of the Smart Ops. But just to clarify that the -- as far as the margins are concerned, the margins will -- at a steady state operation will come in about 3-4 years because it is right now in a concept and selling and marketing and developmental phase. So we do not expect the margins to be any different than what we are currently chugging in the water segment.

And just to brief, Saurin, if you would want to take this question on projects.

Saurin Patel: So yes, the projects that we were doing last year are either successfully completed or well on the way to completion. As I explained in my earlier conversation, the Vitthal Temple, Pandharpur, will be completed in the coming

months.

And Mathura unfortunately, got delayed because the work order from there was delayed due to circumstances not in our control, but we've finally gotten the work order. And in the next 60 days, we are due to deliver that. So yes, projects other than what we had announced last year have been completed and handed over.

Dheeraj Ram: Got it, sir. And last question, what is the guidance -- growth guidance for WME L for FY '26?

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Sandeep Garg: So as I said, we are expecting the guidance for Welspun Michigan to be -- the revenue to grow by about similar numbers as the FY '25. So that would be somewhere around 50% and there around.

Moderator: Next question is from the line of Parth Thakkar from JM Financial.

Parth Thakkar: So out of our total current order backlog, what would be our executable backlog?

Sandeep Garg: So I think the whole order that we have is executable order book. I think the question is about what is the split between the design and build executable versus O&M-related executable. So the split is that O&M related, which is going to be long-term revenue generation, is about INR4,400 crores and the balance is all design and build operation -- operatable order book.

Parth Thakkar: Okay. And also, would we be looking for participation in PPP projects?

Sandeep Garg: Yes. We surely are looking forward to participating in PPP projects, both on the road as well as on the water side.

Moderator: We take the next question from the line of Vishal Periwal from Antique Stock Broking.

Vishal Periwal: One question on this capex front. So you did mention that we are planning capex for the standalone Michigan. Will it be possible to share the number, sir?

Sandeep Garg: So in the coming year, we don't expect any major capex or spend in Welspun Michigan. Sorry, and correct me if I'm wrong, it will be in the ranges of INR20 crores to INR30 crores.

Vishal Periwal: Okay. Right. And in terms of investment, I think your press release did mention around INR130 crores, INR140-odd crores that we'll be putting up in -- I mean, a couple of assets that we have.

That's a fair number to take, right?

Sandeep Garg: That is primarily into the road HAM projects that we are investing in.

Vishal Periwal: Okay. And the asset monetization that we are planning in the roads that we are planning in FY '26 will be in the BOT of roads?

Sandeep Garg: So we are planning asset monetization in FY '26 for 2 road projects. Just to recall, we have 3 road projects which are open for monetization. MCP or Mukarba Chowk -Panipat, was monetized partially earlier on the Actis deal. We have a pre-agreed term to monetize the balance 51%, which we expect to happen in FY '26.

We are also targeting to monetize the Aunta -Simaria road project, which is likely to get the PCOD within this month in this financial year. And thus, we will be left with one more road project to be monetized, which is SNRP, which we expect to happen later.

Vishal Periwal: Okay. So in terms of book value of investment, what could be that number for the FY '26 monetization that we are planning?

Lalit Jain: It will be around INR300 crores.

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Vishal Periwal: Okay. Sure, sir. And in JJM, what is the order book that we have?

Sandeep Garg: The total order book, as we expect of the UP JJM, is about INR2,800 crores. And the unexecuted order book will be in the ranges of about INR1,000 crores.

Vishal Periwal: Okay. Sure. And on this revenue that we have booked, roughly like INR3,600-odd crores, what could be the O&M part in this revenue, sir?

Sandeep Garg: This practically is very limited, INR2 crores of O&M revenue, which is going to start now as

the projects get completed.

Moderator: Next question is from the line of Vaibhav Shah from JM Financial Limited

Vaibhav Shah: Sir, both WEL and WMEL have interest in the water business. So what are our plans to make it more efficient?

Sandeep Garg: So we have already started operational efficiencies to kick in. As I had told, Saurin Patel is now heading the complete vertical of water irrespective of the corporate wheels. So we are bringing in the operational efficiencies as we speak. As far as the corporate structures are concerned, we will let you know if there is any development at an appropriate time.

Vaibhav Shah: Okay. Sir, secondly, how is the competitive intensity across the verticals? You mentioned that there are now PPP models in water business as well, especially on the HAM side. So how are you seeing the competition both in water and rail business?

Sandeep Garg: So I think I would want to just clarify water is our main business. So as I said, we are focused on water. So competitive intensity in road is relatively high. In routine water projects, the intensity is medium. And in specialized road projects -- specialized water projects, it further reduces. However, in terms of BOT, we expect the competitive intensity to remain medium to low.

Moderator: Next question is from the line of Riddhesh Gandhi from Discover Capital.

Riddhesh Gandhi: Congratulations on the numbers. Just had a question on your oil and gas. You guys obviously have like clocks where, I mean, some of the other players have been able to find reasonable reserves. Could you just give us an update on where you guys are on your oil and gas, what the plans are and what kind of timing we can expect to see some sort of unlocking in the value from your oil and gas assets?

Sandeep Garg: Thank you, Riddhesh. So oil and gas, as you know, is a controlled sector. So there are a lot of obligations on the parties under the contract. So we are in the process of our development plans to be approved by the government, specifically the evacuation plan, which is critical for the -- we know the reserves, we know the -- what the resources can be.

But until and unless the evacuation plans are in place, it is difficult for us to quantify anything. We are currently under discussion with the government for defining the evacuation plan. Once the evacuation plan is agreed with the government and the third parties, we will be in a position to come back to you on -- of our complete plan on oil and gas.

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However, it is clear to us that all our blocks are going to be developed as a cluster and not as an individual block because that's the way all our development plans have been proposed to the government.

Riddhesh Gandhi: And is there any indication both with regards to the timelines to get the evacuation plans in place and also any sort of indicative reserves you can give us some insights on to?

Sandeep Garg: So as earlier, I have been maintaining, the reserves in all the 3 blocks put together is initially in place in the ranges of 1 TCF. However, evacuation, as you know, the -- how much we can produce out of this will be determined upon the complete plan and the formation stability to produce.

So all this is part of the developmental plan, and the evacuation routes will determine how much of back pressure is required and how much we will be able to extract. So all this, I can only share once the developmental plans have been approved by the government. I will request you to wait till that time.

Riddhesh Gandhi: Okay. Sir, and the other question is with regards to your -- actually water infrastructure projects, which we are bidding on, who do we typically kind of come up heads up against in these bids, which we usually do as in like who would be our main competitors who we end up competing with?

Sandeep Garg: So I mean, it depends upon -- because we are across many verticals on the water itself, depending upon what we are doing, we come

out with different competitors. But at a macro level larger projects, it will be people like L&T, NCC, etc. In a smaller play with -- Saurin, would you like to add to what your areas of people who compete with you?

Saurin Patel: Considering, we are in such a specialized area of micro tunneling or rehabilitation or segmental tunnels, typically, there are a handful of people. We claim to be the small, big boys, so sometimes we compete against the likes of the ITDCs or the MEGA s or the AFCons s. At other times, for smaller projects, we have local competitors like Gypsum, who come across pan-India to compete with us. So a few and far in between, but the same faces everywhere.

Riddhesh Gandhi: Sir. And the...

Moderator: Sorry to interrupt, Mr. Gandhi, may I request that you return to the question queue for follow -

up questions? There are several other participants waiting their turn.

Riddhesh Gandhi: Okay.

Moderator: Next question is from the line of Raman KV from Sequent Investments.

Raman VK: My first question is with respect to the Smart Ops business. So one, what is the market opportunity size for the Smart Ops business? And will there be any impact in terms of costing due to the U K-India free trade?

Sandeep Garg: Can you repeat the second part of your question?

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Raman VK: Sir, will there be any impact on the costing due to the U K-India free trade agreement?

Sandeep Garg: So I don't think that there is any cost impact because of that. Anyway, to tell you what the top of the canvas opportunity for Smart Ops is, it is a technology which we are trying to prove across all the use cases. We have been able to now demonstrate its utilization in terms of reservoir cleanings.

We are on the verge of with the retrofitting at Mathura in a position to say how we can retrofit the existing STPs. Based on the outcome of these 2 things will we be able to really truly identify what can be done on the wastewater side? We are parallelly also proving the technology on the industry side.

And based on that, it will be appropriate for us to share the larger numbers that can pan out. I would suggest that we wait for another 6 to 9 months before we get into the details of the annual business plan on Smart Ops.

Raman VK: My second question is on the order book side. Sir, one, INR14,300 crores is the current order book, what is the execution timeline? And what is the L1 order book?

Sandeep Garg: So as I said earlier, we are not L1 in any of the projects other than the one of INR1,850 crores project that we had declared earlier, which from the media report, it is that it is not likely to be awarded, but we have not heard from the client as of now.

In terms of your question of -- on the order book, currently, the order book is split into about INR12,000 -odd crores -- INR12,500 crores on the water and water -associated infrastructure and about INR1,600 crores in terms of road.

Raman VK: Yes. Sir, one small doubt. Sir, sorry if this may be repetitive, but I missed the initial part of the commentary. But I would like to know the reason for INR1,000 crores fundraise by the company?

Sandeep Garg: So there is -- it is an enabling resolution, as I said earlier also because we see a lot of opportunities in BOT road as well as water segment. However, if the current forecast of the order is what materializes and it is not about that, we don't foresee that we will be requiring to raise the funds.

However, if we are -- if we get more orders than what we are currently targeting, this enabling provision may be utilized in that case. Otherwise, right now, we have enough cash on the balance sheet of about INR1,061 crores at standalone and INR1,155 crores at consol level.

Raman VK: So what is the bid book currently?

Sandeep Garg: What is -- can you repeat?

Raman VK: The order bid pipeline.

Sandeep Garg: Yes. You're looking for bid pipelines. So our current hit rate is about 1 in 3 projects we hit. So we are targeting more than INR30,000 crores at this point in time.

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Moderator: Next question is from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Yes. Sir, on your O&M order book, so in the last 2 years, that has increased from INR1,800 crores to INR4,400 crores. And as you said that the revenue realization is only like INR2 crores in FY '25. So going forward, how much of revenues are we expecting from this? And what could be the margins on these revenues?

Sandeep Garg: So O&M is of the projects that we do are design and build. So as the projects will get completed, the O&M will start after completion, and accordingly, the revenues will be recognized. Now it is early days for us to give a guidance on O&M margins, but we expect the O&M margins to be consistent with our current water EBITDA levels.

And we will get to know once we are -- once we get into O&M and we have an experience about it. So I would want to -- I would suggest that we stay a bit more patient as the O&M revenue will start coming in. -- we'll guide you better about what returns to expect. But it is a long-term revenue visibility as well as profit visibility, and it gets scaled up gradually as we take more and more orders on water vertical.

Sarvesh Gupta: And what can we expect in this year, sir, FY '26?

Sandeep Garg: It is very low, in the ranges of INR10-odd crores because only UP JJM, some portion of it will start getting into O&M stage. And certain MEL orders are also on the O&M stage.

Sarvesh Gupta: Understood. The WMEL revenues, some part of it is being booked under water vertical also, sir, because tunneling itself is only INR700 crores and WML revenues, you said was INR662 crores.

So what is the portion of WMEL booked under water?

Lalit Jain: Tunneling is entirely for the WMEL, nothing is WEL.

Sandeep Garg: So I think if I get your question correct, the question is, is there any water? No. The answer is no.

Sarvesh Gupta: Okay. And then, sir, the related question was, for example, in the tunneling EBIT margins, we have seen some 250 basis point decrease in the EBIT margin. So any particular reason why the tunneling margins have come down this year?

Sandeep Garg: I think, too deep a question, I would suggest that you come and have a discussion. Maybe we are not able to understand this clearly. I would request that if you could stay in touch with...

Sarvesh Gupta: I will take this offline, sir. Just one more query was, you said that the book value of the road assets that we want to monetize in FY '26 is INR1,300 crores. Is that right?

Sandeep Garg: INR300 crores.

Sarvesh Gupta: INR300 crores. Okay.

Moderator: Next question is from the line of Dheeraj Ram from Ashika Institutional Equities.

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Dheeraj Ram: The debt levels have increased Y-o-Y. And since I also know that we have been raising funds. So how do you see the debt levels in FY '26?

Sandeep Garg: So you're referring to consolidated balance sheet. Yes, there have been debt drawn on the -- largely on this SNRP project, which was earlier funded by the equity. And hence, you see that is the increase we did, as minor debt has been drawn in the Aunta -Simaria. Now, as the Aunta - Simaria will be hived off, the debt alongside of it will also go. Hopefully, it will be done in FY '26. So alongside with it, there's a debt of almost...

Lalit Jain: Yes. With respect to Aunta -Simaria project, we have a debt of INR615 crores. So it will be out if we sell this project. With respect to SNRP project, we are having INR600 crores debt outstanding. Further, we'll draw another INR600 crores to complete the project. So if you can say

debt level remains same, the Aunta -Simaria is hived for now.

Dheeraj Ram: Okay. Got it, sir. And last question, sir, in Q2 FY '25, you have said that almost INR3,00,000 crores are from tunneling. I mean the market size of tunneling is almost INR3,00,000 crores for the next 7 years, and you are targeting 10% to 20% market share in this, so which poses that we need to secure close to INR4,000 crores of orders every year. Isn't it a big -- very big number, sir?

Sandeep Garg: So that's exactly what I keep on saying. The segmental split of an order is difficult when you are across various verticals. So I would look -- I would request that you look at long-term guidance as a long-term overall guidance, but -- and the split is not possible for us to predict in the -- given that it is a competitive world and a bidding environment. But overall guidance remains unchanged in terms of our order book target for about INR10,000 crores plus in this FY '26.

Moderator: We will take the last question from the line of Riddhesh Gandhi from Discover Capital.

Riddhesh Gandhi: Sir, just a quick question was with regards to the large amount of the cash we have on books. Are we looking to use that for inorganic or ultimately use that for oil and gas investments or we're just keeping it as optionality for other projects?

Sandeep Garg: So, as I said, Mr. Gandhi, that we are expecting a lot of projects both in road and water on the BOT, HAM in case of water as well. So we see a lot of opportunities to deploy this cash profitably in the business, and that is why we are retaining this cash on the balance sheet. Our enabling provision to raise further money is only to ensure that should we get more orders, we should be in a position to fund those.

Riddhesh Gandhi: Got it. But for our existing guidance, we would not need to raise equity in case it goes over and above that?

Sandeep Garg: We are not expecting -- the short answer to your question is we are not expecting any equity raise this financial year as we speak.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Garg for closing comments.

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Sandeep Garg: Thank you. Thanks once again for coming and joining us today. I hope we have addressed all your queries. We remain committed to creating long-term value for our stakeholders, and our focus is on improving return on equity and return on capital employed.

Should you have any further questions or feedback, please feel free to reach out to our CFO or Investor Relations team. Thank you. Good day.

Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

WEL/SEC/2025 August 14, 2025

To,
BSE Limited
Corporate Relationship Department,
2nd Floor, New Trading Wing, Rotunda
Building, P.J. Towers, Dalal Street,
Mumbai – 400 001.
Scrip Code: 532553 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C -1,
Block -G, Bandra -Kurla Complex,
Bandra (East),
Mumbai – 400 051.
NSE Symbol: WELENT

Dear Madam/Sir,

Subject: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations): Transcript of the Earnings Call

Pursuant to Regulation 30 of the SEBI Listing Regulations, please find enclosed the transcript for the Earnings Call held on Thursday, August 07, 2025, for the un-audited financial results of the Company, for the quarter ended June 30, 2025.

The said transcript has also been uploaded on the Company's website and can be accessed through the following link:

Link for Transcript of the Earnings Call

You are requested to take the above information on record.

Thanking you,

For Welspun Enterprises Limited

Nidhi Tanna
Company Secretary
ACS -30465

Encl.: As above

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August 07, 2025

MANAGEMENT : MR. SANDEEP GARG – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – WELSPUN ENTERPRISES
LIMITED
MR. SAURIN PATEL – MANAGING DIRECTOR –
WELSPUN MICHIGAN ENGINEERS

MR. ABHISHEK CHAUDHARY – CHIEF EXECUTIVE
OFFICER – WELSPUN ENTERPRISES LIMITED
MR. LALIT JAIN – CHIEF FINANCIAL OFFICER –
WELSPUN ENTERPRISES LIMITED
MR. SALIL BAWA – GROUP HEAD, INVESTOR
RELATIONS – WELSPUN GROUP
MS. SANGEETA TRIPATHI – LEAD INVESTOR
RELATIONS – WELSPUN ENTERPRISES LIMITED

MODERATOR MR. VAIBHAV SHAH – JM FINANCIAL INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Welspun Enterprises Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Shah from JM Financial. Thank you and over to you, sir.

Vaibhav Shah: Thank you. On behalf of JM Financial, I welcome everybody to Q1 FY '26 Earnings Conference Call of Welspun Enterprises Limited. I will now hand over the call to Mr. Salil Bawa, Group Head, Investor Relations of Welspun World. Over to you, sir.

Salil Bawa: Thank you, Vaibhav, and good afternoon to all of you. On behalf of Welspun Enterprises Limited, I welcome each one of you to the company's Q1 FY 2026 Earnings Call. Along with me today, I have Mr. Sandeep Garg, Managing Director and CEO; Mr. Saurin Patel, Managing Director of Welspun Michigan Engineers Limited, Mr. Abhishek Chaudhary, Chief Executive Officer of Welspun Enterprises; and our CFO, Mr. Lalit Jain. I have also Sangeeta Tri pathi, who leads the Investor Relations for Welspun Enterprises.

We hope you have had a chance to review the investor presentation that we filed with the exchanges yesterday. The presentation is also uploaded on the company's website. During today's discussion, we'll be making references to this presentation. Hence, we request you to take a moment to review the safe harbor statement in the presentation. As usual, we'll start the forum with the opening remarks from the leadership team, and then we'll open the floor for Q&A. Once the call gets over, should you have any further queries, please feel free to connect with any one of us.

With that, I would now like to hand over the floor to Mr. Sandeep Garg, Managing Director of Welspun Enterprises Limited. Over to you, Mr. Garg.

Sandeep Garg: Thank you, Salil. Good afternoon, everyone. I'm pleased to welcome you to the Welspun Enterprises Q1 FY '26 Results conference call. I thank you all for being present today. In Q1 FY '26, our consolidated revenue declined by 9% year -on-year. This was expected. I would want to reference to my earlier guidance for the FY '26, wherein I had mentioned that around 40% of our targeted revenue will come in H1 of this year, unlike previous years, where our revenue was more evenly distributed amongst both halves.

The early onset of monsoon has also impacted our revenue this year, and we have lost approximately 10 days on our road projects. This led to fewer operational days and consequently impacted our revenue. Mr. Lalit Jain, our CFO, will share some more details on this in the call later. Despite this, our margins expanded and the EBITDA grew by 8% year -on- year from INR193 crores in Q1 FY '25 to INR208 crores, underscoring our continued focus on operational efficiency and margin resilience.

Our subsidiary, Welspun Michigan Enterprises Limited or WMEL, began the year with a healthy performance, reporting revenue of INR208 crores, up 45% year-on-year. Mr. Saurin Patel, Managing Director of WMEL and CEO Water vertical, will provide further insights on

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both WMEL and our water segment shortly.

As on 30th of June 2025, our stand-alone order book stands at INR11,960 crores, I correct myself INR11,962 crores, while our subsidiary, WMEL holds an order book of INR2,805 crores, bringing the consolidated order book to INR13,665 crores. It is important to clarify that WMEL order book includes INR1,102 crores order related to DGT project, which has been

sourced from
WEL.

Additionally, the consolidated order book also includes O&M contracts worth INR4,400 crores. Further, we are actively pursuing new projects worth of INR12,000 to INR13,000 crores, which are likely to be bid over the next 30 to 45 days. We believe these opportunities will strengthen our growth visibility and execution pipeline.

On the balance sheet front, we continue to maintain a strong financial position with consolidated cash reserves of INR1,068 crores. This provides us with significant flexibility to pursue our growth opportunities while maintaining financial discipline. Mr. Lalit Jain, our CFO, will walk you through the financials in greater detail.

Coming to road project updates. As expected, and shared during our Q4 earnings calls, I'm pleased to confirm that we have received the provisional completion certificate, PCOD, for the landmark Aunta-Simaria bridge project. To reiterate its significance, this is India's widest extra-dosed cable stay bridge spanning 1.8 kilometers over the Ganga with a 34-meter wide deck. This connects Patna to Begusarai and is expected to reduce the travel time by over an hour. This project truly exemplifies engineering excellence and innovation. As stated earlier, we will attempt to monetize this project during the fiscal year.

In addition, our Mukarba Chowk-Panipat or MCP project, has received its completion certificate. In line with our agreement with Actis, we will now move forward with the transfer of our remaining 51% stake after completion of necessary formalities. Varanasi Aurangabad road project, the project is advancing steadily and will be completed by this financial year. SNRP project, the project has achieved about 70% physical progress and is on track to receive the provisional completion certificate in this calendar year.

Coming to oil and gas. As informed last time, we have signed an agreement for the Block C-37 adjacent to our existing assets. We are currently progressing on evacuation discussions with ONGC and DGH and once finalized, we'll announce our strategy for further development. I'm happy to share that our commitment to excellence continues to be recognized. Our Varanasi Aurangabad Road project won the Gold Award for Road Safety Excellence at the 2025 OHSE Excellence Awards.

Our supply chain team won the "People's Choice Award at Alden Global's Supply Chain & Logistics Awards chosen from over 200 entries. Welspun Enterprises was named Maharashtra State's Best Employer Brand at the 20th employer branding awards, highlighting our strong HR businesses, business alignment and people-first approach. These recognitions reaffirm the direction we are taking and the talent we have across the organization.

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As mentioned earlier, FY '26 will see a back-ended execution cycle, projects such as Bhandup Water Treatment Plant, and Dharavi Ghatkopar tunnel have moved past the pre-implementation stage and will now be under execution post monsoon. We thus expect execution momentum to accelerate in Q3 and Q4 of FY '26.

I want to reaffirm that we are well positioned for long-term value creation and expect our FY '26 revenue to grow to INR4,000 crores to INR4,100 crores at a consolidated level. With a sharp focus on high-return segments, disciplined execution and strength of robust order book, we remain confident in our ability to drive sustainable growth and deliver meaningful value to all our stakeholders.

Further, I would like to take this opportunity to mention that our CEO, Mr. Abhishek Chaudhary, will be addressing you later in the call to discuss our strategic priorities and approach to operational excellence.

Thank you once again for your time and support. I'll now hand over this call to Mr. Saurin Patel for his remarks.

Saurin Patel: Thank you, Sandeep, and good morning to ever

yone. I appreciate your interest in the company, and I'm pleased to present key updates from our Water vertical, along with our strategic outlook. Welspun Enterprises is strategically strengthening its position as a specialized engineering solutions provider in the water infrastructure sector, an underserved market with substantial growth potential.

We aim to focus on expanding ourselves into complex high-value segments, such as tunneling, wastewater treatment and large-scale water delivery systems. These areas present strong demand and attractive opportunities for market leadership, driven by accelerating urbanization and increasing environmental priorities, the factors that underpin our confidence in delivering sustainable returns.

Now let me briefly take you all on our project updates in the Water vertical. The Dharavi wastewater treatment facility. This flagship project is progressing on track. Our sequencing batch reactor, SBR, all the RCC works will be finalized by quarter 2. The blower building RCC works are ongoing and are expected to be completed by August 2025. Excavation for the IPS and sludge areas is progressing well. We soon look forward to inviting you for a site visit to witness this progress firsthand.

The Bhandup water treatment facility, I'm pleased to announce that all critical clearances for the Bhandup project have been secured. The project will start in full swing in quarter 3 FY '26. Excavation work in the inlet, active flow and DMF area is currently underway. The Uttar Pradesh Jal Jeevan mission, UP JJM. We remain on track for project completion. The works are progressing smoothly. And once commissioned, the initiative will positively impact nearly 2,500 villages, delivering a substantial social benefit alongside economic value.

Smart Ops, a transformational water venture. Turning to Smart Ops, our technology-driven joint venture in the water treatment area, Smart Ops offers a modular, scalable and cost-effective platform to rejuvenate and recycle contaminated water bodies, including urban drains

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and ponds. We have successfully completed 2 projects in FY '26, including a 285 million-liter cleaning and treatment project at Dighalipukhuri in Guwahati, in Assam and Durga Kund rejuvenation in Kashi, Uttar Pradesh of 112 million-liter water body.

Recognizing the nationwide potential, we have institutionalized Smart Ops as a separate company. For the Dharavi Ghatkopar tunnel project, we are working on securing pre-project clearances and expecting to start the shaft work at the Dharavi outlet in quarter 3 FY '26.

Welspun Michigan Enterprises Limited. Our subsidiary, WMEL continues to exhibit strong momentum. In quarter 1 FY '26, WMEL reported revenues of INR208 crores, reflecting a 45% year-on-year growth with an EBITDA margin of 21.8%. As of June 30, 2025, WMEL's order book stands at INR2,805 crores, delivering a robust book-to-bill ratio of approximately 3x and strong revenue visibility over the coming quarters. We are, of course, targeting several opportunities across various segments and are hopeful to convert this into a robust additional order book during the current financial year.

We remain deeply committed to scaling our water infrastructure business, leveraging our expanding capabilities, early project execution successes and strong financial performance. Our strategic combination of engineering expertise, technological innovation and disciplined project management positions us well to create sustainable long-term value in this critical sector.

I now invite our CEO, Mr. Abhishek Chaudhary, to take you through our strategic priorities and approach to operational excellence. Over to you, Abhishek.

Abhishek Chaudhary: Thank you, Saurin. Good afternoon, everyone, and thank you for joining us today. We are at a pivot

moment in our journey, where strategy, innovation and sustainability comes together to create a long-term value. Today, I'll share with you all how we are driving growth, strengthening operations, embracing digitalization, building a future-ready organization and embedding ESG principles into everything we do. These are not just initiatives. They reflect our commitment to consistent results, market leadership and responsible business.

Digitalization, adoption of tools like 3D 4D, 5D, and S/4HANA, digitalization of the entire project management dashboard, process optimizations, real-time data analytics, the redefining our supply chain processes, integration of e-governance, which will further improve our control and bring in operational efficiencies. Further, by aligning our functional support with the business needs and through continuous process optimization and effective performance management, we are improving our efficiencies.

We are also building the organization for the future. Our people and culture are central to our long-term success. We are investing in leadership development, reskilling and fostering a culture based on Welspun's LITE values, which is learning, innovation, trust and endurance. We are nurturing young talent from top institutes and also partnering with them for exploring the research and development opportunities.

ESG, environment, social and governance, we are driving social impact through initiatives like decarbonization, through clean mobility, alternative fuels, solar adoption, etc. Last year, Welspun Enterprises Limited

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we have reduced over 50,000 ton CO2 emission, saving 1.7 lakh kiloliter of construction water and recycling 9,000 metric ton of construction waste. We stand committed to our Chairman's vision of 3G, growth, green and governance, for a sustainable and responsible growth, while also prioritizing environmentally sustainable practices and strong corporate governance.

With a clear strategic foresight, operational trigger, digital innovation and a future-ready organization, coupled with strong ESG principles, we are well positioned to deliver sustainable growth and long-term value for our investors.

Now I would like to hand it over to Mr. Lalit Jain, CFO, WEL, for taking you all through the financial results of Q1 FY '26. Over to you, Lalit.

Lalit Jain: Thank you, Abhishek, and good afternoon, everyone. I appreciate your interest in our business and performance. I will now walk you through our Q1 FY '26 financial results followed by an overview of our segment-wise performance.

Quarter 1 FY '26 consolidated financial performance. Revenue from operations stood at INR845 crores, marking a 9% year-on-year decline. This was primarily due to three factors. One, early onset of monsoon from May, which curtailed execution by 10 days. Two, current year guidance of back-ended revenue growth with H1 H2 at 40:60 ratio. This is driven by completion of two road projects early in the year and further commencement of the key water project post monsoon in the H2. Reason 3, absence of onetime claim of INR16 crores that had positively impacted revenue in Q1 FY '25.

As per our revenue guidance for H1 was 40% of annual turnover. Top line should have been INR840 crores for Q1 FY '26, whereas our top line is INR845 despite being the early onset of monsoon by 10 days. Due to this, we lost turnover by INR30 crores. By considering the same, our top line is higher by 6% to 7% against guidance.

EBITDA margin improved to 23.8% compared to 20.1% in Q1 FY '25, an expansion of 377 basis points year-on-year. Despite the top line decline, EBITDA grew 8% year-on-year, reaching INR208 crores, reflecting strong operating efficiency. Profit before tax was broadly stable at INR154 crores compared to Q1 FY '25.

Now Q1 FY '26 standalone financial performance.

Standalone revenue from operations is INR604 crores, representing a 19% year-on-year decline. EBITDA for the year is INR124 crores, down by 4% year-on-year, while the margin improved by 289 bps rising from 16.6% in Q1 FY '25 to 19.5% in Q1 FY '26. PBT stood at INR117 crores, reflecting a 2% year-on-year decline.

Balance sheet position. Our balance sheet remains strong and resilient. On a standalone basis, net worth stands at INR2,776 crores, and we continue to maintain a net cash position of INR988 crores. On a consolidated basis, net worth is INR2,811 crores with a net debt of INR378 crores.

Now segmental performance Q1 FY '26 on consolidated basis. Segment by revenue distributions; Transport, INR316 crores, 37% share; Water, INR310 crores, 37% share. Welspun Enterprises Limited

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Tunnelling & rehabilitation INR218 crores, 26% share. The Water segment registered robust 38% year-on-year growth, whereas the Transport segment declined by 43%, largely due to the completion of two major projects: Mukarba Chowk project, that is MCP and Aunta-Simaria project in the previous quarter, while the tunneling and rehabilitation segment grew by 53% year-on-year basis.

The expansion in margin reflects the improved quality of our project mix and our continued focus on cost optimization and execution efficiency.

In summary, despite seasonal ity related challenges, our performance demonstrates resilience and impr oving profitability. We remain well positioned to capitalize on future opportunities with a strong balance sheet, operational discipline, healthy order bid pipeline for future.

Now we open the floor for question and answer. Thank you.

Moderator: Thank you very much. The first question is from the line of Koustubh Shaha from Wallfort PMS. Please go ahead.

Koustubh Shaha: Thanks for the entire management for the detailed overview of various segments. My first question was to Abhishek. Abhishek, you mentioned about the digital initiatives and capability building. Can you throw some more light as to what exactly this is going to help us? And whether this initiative has already helped us in the Q1 in terms of the margin improvements? If you can be deta iled, it will be more helpful to understand.

Abhishek Chaudhary: Sure, Koustubh. On the digital initiative front, as I've explained to you in my opening remarks, we have already implemented and migrated to S/4HANA, which is SAP 4HANA. We have also digitized the entire project management system, which is an in-house developed system called WEL-Darpan. And the entire project review s are now taking place on this. And we have also developed MIS tool.

We are working on very pathbreaking initiatives, lik e 3D, 4D, 5D building information memorandum system for our projects at Dharavi and Bhandup, and wish to complete e-governance in our working and use of AI tools for increasing operational efficiencies in the existing business segments. And definitely, be cause this is a journey, which we have started, and it has started contributing to our margins. And as we move forward, we will reap in more results.

Sandeep Garg: Just to add to what Abhishek said, Sandeep Garg here. Just to add to what Abhishek has said , the margin expansion that you see is also directly correlated to better utilization of the resources, which was possible because of the real-time information that we could get through the improved information systems and real-time data, which was availab le for decision-making.

Koustubh Shaha: Okay. So can we assume that the margins will be around 24% or 25% from here on the EBITDA side?

Sandeep Garg: So the guidance, we would not want to change because of various reasons. But yes, we see our projects to be able to deliver similar margins. The project, once the product mix changes, and Welspun Enterprises

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we have a few more transport projects, we will come back and give a revised guidance if we need to.

Koustubh Shaha: Okay. Fair enough. Next question was on the, so we have a healthy cash on the balance sheet. So are we looking at any M&A activity in the water space or what your view is as to how the cash will be utilized in the future?

Sandeep Garg: So two parts of the question. I would want to address them. Number one is do we see the use of cash that we have in the business that we look ahead. The answer is we see a significant work getting awarded in the coming months, both in the Water and the transport verticals. A nd there will be also in these two modes of execution that is through the BOT or as well as to HAM.

We see the consumption of this cash in the businesses very easily . And as we have maintained, we are always looking for opportunities where we can collabor ate, innovate and bring in cutting-edge technologies, which are value accretive for the stakeholders. So always open for any

acquisition or merger in case it brings value to our stakeholders.

Koustubh Shaha: Sure. One more question on the order book side. So, in the last con call, you had mentioned that for FY '26, we should see a good healthy order inflow of around about INR9,000 crores to INR10,000 crores. But if I see for this quarter, it has been hardly INR200 -odd crores. So are we still confident of that number, achieving that number by the year -end?

Sandeep Garg: So a very good question. Thank you for asking this . So yes, first of all, let me try and take you through the pipeline of the projects that we have. We do have a healthy order book but we need to build on to it. As I said, our consolidated order book stands at INR13,665 crores, including O&M order of about INR4,400 crores. It gives us the visibility. However, as I said in my opening remarks, we are actively pursuing opportunities of about IN R12,000 crores to INR13,000 crores over the next 30 to 45 days bid out. Hopefully, we'll win a few of them.

I also understand that NHA is coming with large order pipeline of about INR3 lakh crores over the next 8 months. These are large value contracts both in HAM and BOT, so we expect to win a few there as well. There is a large value contracts in water in the states of Maharashtra, Madhya Pradesh and Rajasthan, and we are well poised for exploiting those opportunities.

So overall, I'm very confident that over the next eight months, we will book fresh orders in the range of INR10,000 crores to INR11,000 crores. And I am reasonably confident that the Q2 will be a better announcement from a standpoint of order book.

Koustubh Shaha: Great. And with your permission can I ask one last question?

Sandeep Garg: Please go ahead.

Koustubh Shaha: So lastly, so how do we position ourselves? So we position us as a water infra play or because you also mentioned about the road infra projects that you will be bidding for? So how do we

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position ourselves? Are we a pure -play water intra or we a combined water plus transport and in the future, would you kind of have a demerger of the transport segment or you continuing the same entity? That was my last question.

Sandeep Garg: So let me bring out very clearly that we will continue to play in transport, which has been our forte in the past. We are adding a vertical of water, which is going to be more technology - driven play rather than pure white label play as the road seems to have come through. So we want to create differentiation there, and that is why there is a focus. But we are not giving up our core strength in road or in transport verticals.

We may move to more value -accretive segments within the transport of focusing more on complex projects in tunneling, etcete

ra, etcetera, or the elevated structures but that shall remain as a part of the company as we look forward into future.

Koustubh Shaha: Fair enough. Thanks for all the answers and all the best to the management for the future.

Moderator: Thank you. The next question is from the line of Dheeraj Ram from Ashika Group. Please go ahead.

Dheeraj Ram: So my first question is, you have given a revenue growth guidance of 15% to 20% in 4Q, and we have done a slight degrowth. And considering the upcoming quarters, do you still maintain the top line guidance?

Sandeep Garg: As I said in my opening statement, we are committed to delivering revenue anything between INR4,000 crores to INR4,100 crores, which is in the range of 15% over the INR3,550 crores revenue reported in FY '25. So I want to bring in that even despite what you see today, we have seen it earlier and hence given the guidance that we will be having a more skewed towards H2 revenues. And given the guidance of about 40%, Q1 has been slightly thereabout in the same range of 20% of the revenue target.

The Q2, as you see, there's a very monsoon driven impacted play. Depending upon how our job sites see that, we will be maybe at 20% of our guidance or slightly lower than that. But overall guidance for the FY '26 remains unchanged with anything between INR4,000 and INR4,100

crores at the consolidated level.

Dheeraj Ram: Okay, sir. And the second one is you've said the bid pipeline in prior participant's question. So can we see over 50% or 60% and above orders coming from water or at least in the bid pipeline since this segment had seen a significant improvement in margins, in EBIT margins both Y-o-Y and Q-o-Q.

Sandeep Garg: So we will be targeting some more value-accretive projects. Whether they will come from water segment or they will come from transport? It is very difficult to predict. As you know, we are in a bided environment rather than anything else. So yes, the focus is to bid for projects which are more value accretive. Now whether we will be able to continue our streak to grow water at the same rate as we have grown or not will be seen by the bidding pattern.

Anything that you would like to add, Saurin?

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Saurin Patel: I think, Sandeep, you've said it well. We see substantial momentum coming into the tunneling space as well as the rehab space in the water segment. And we are very excited about how our initiative in the wastewater transformation through Smart Ops is shaping up. So yes, I can only confirm and reiterate what you have just disclosed on the call.

Dheeraj Ram: Okay. And just last question, if I may. Can you give me the breakup between how much revenue contribution from Bhandup and Dharavi project for Q1?

Lalit Jain: Project wise bifurcation, if you want, you can connect with offline, we will discuss, and I've given in the financials.

Dheeraj Ram: Thank you.

Moderator: Thank you. The next question is from the line of Sailesh Raja from B&K Securities. Please go ahead.

Sailesh Raja: Out of INR12,000 crores to INR13,000 crores that we have delivered, so what is the breakup of road and water?

Sandeep Garg: So the current forecast that we are targeting is practically balanced. We are targeting 50%, 50% of the others, 50%, 50% bid pipeline as we see at this point in time for the next 30 to 45 days.

Sailesh Raja: Okay. Okay. So what is your order intake that you expect from each of the business verticals like WMEL, Smart Ops?

Sandeep Garg: So Smart Ops will remain small. It will be in the range of about, for the FY '26, it will be in the range of INR80 crores to INR100 crores. So that's what we expect it to be.

Sailesh Raja: This is the new order intake you're talking, right?

Sandeep Garg: That is correct. That is correct. So

we are talking only about the order. The intake between

Michigan and WEL, I think the bulk of the orders will come from the WEL. The order intake at the level of directly at the WMEL maybe in the range of about INR600 crores. The balance order will be contributed by WEL.

Now giving a split between the two of Water and Transport is very difficult. As I said, it's a big environment. But given the size of the opportunities that we look in both, we see that the order book in both of them will be pretty healthy in the three quarters to come in this year.

Sailesh Raja: Okay. Sir, have you bid for the desalination project in Mumbai?

Sandeep Garg: Yes, as you know, it's still not bided and it will be improper for me to declare our strategy.

Sailesh Raja: Okay. Sir, how do you see the growth in the next year, FY '27 as most of the projects -- road projects will get over by this year. Even if we win the road project in next 45 days, can we book decent revenue in FY '27?

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Sandeep Garg: So the forecast, as I said earlier, almost 93% of our revenue for the FY '26 is covered by the existing orders. So FY '26 is pretty much there political and the weather vagaries, notwithstanding enforcement or situation, we are very confident of our FY '26. And it is true if we book the orders in the early part of FY '26, we will see some revenues flow through them in the FY '27. If we bid them pretty late in FY '26, they will start contributing from H2 of FY '27.

Sailesh Raja: Okay, sir. Thanks.

Moderator: Thank you. The next question is from the line of Parth Thakkar from JM Financial. Please go ahead.

Parth Thakkar: My first question is what would be our current L1 position, sir?

Sandeep Garg: We are not L1 in any of the bid. In fact, as we speak, there is no bid open but we are expecting to bid for, as I said, in the next 30 to 45 days anything upwards of INR12,000 crores to INR13,000 crores.

Parth Thakkar: Okay. And what is our outstanding order book on the Mumbai Dharavi Wastewater Treatment?

Sandeep Garg: I must correct myself. Before we go forward. I must correct myself. There is a project where we are L1 but we have counted it out because we have no formal information from the client for quite some time.

Parth Thakkar: So what is the value of that?

Sandeep Garg: INR1,850 crores value contract, we are L1, but we do not declare it because we have not heard from the client as to what their view on that particular order is. So we are not counting it at this point in time, neither in L1 or in the order book.

Parth Thakkar: Okay. What is the outstanding order book in the Mumbai Dharavi Wastewater project?

Sandeep Garg: Can I request you to take project -specific conversations offline, Parth, so that we can give you exact details?

Parth Thakkar: Okay. And can you also provide the overall bid pipeline like vertical -wise, if that's possible?

Sandeep Garg: So we expect, the order pipeline, as I said, is huge, NHAI is coming up with INR3 lakh crores. We expect another INR2 lakh crores in the water state, notwithstanding in the transport and water, transport. So there's a huge opportunity going forward. Now a big pipeline for us because we don't bid everything, so I would expect that we would be bidding anything between INR70,000 crores to about INR1 lakh crores worth of orders in the next nine months.

Parth Thakkar: Thank you. Those were my questions.

Moderator: The next question is from the line of Raman from Sequent Investments. I will request you to come back in the queue, sir. The next question is from the line of Mr. Vaibhav from JM Financial.

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Vaibhav Shah: What is the position on JJM projects in UP? So last time you indicated

that our outstanding

receivables are close to INR200 -odd crores. So what would be the order book over there? And has there been any payments received in the quarter on the year so far?

Lalit Jain: Vaibhav, the UP JJM cash flow for this quarter, we have received around INR30 crores in this quarter. And money stuck till now is INR237 crores as per our books of accounts. However, we talked about the contract, as per contract receivable is INR330 crores.

Sandeep Garg: And it is true, Vaibhav, that the collections have been slower than the plan. But I would want to add that we have remained focused on execution and completion of the project. And we do expect the Q3 to be better as far as collections are concerned.

Vaibhav Shah: Okay. And sir, what was the project size and the outstanding order book now for the project?

Sandeep Garg: I would request if you could, on a project -specific order execution and project specifics order

outstanding, if we can take it off -line.

Vaibhav Shah: Okay, sure. And sir, are we open to any more JJM projects, maybe in UP or any other state?

Sandeep Garg: I don't think at this point in time, we have the bandwidth to take such a project. We will want to stay away from these highly distributed projects at least as of now.

Vaibhav Shah: Okay. And sir, lastly, out of our total order backlog, what would be the execution right now?

Sandeep Garg: Can you repeat the question, please?

Vaibhav Shah: Out of our total order backlog, what would be currently under execution? Where are we awaiting the start dates?

Sandeep Garg: So the all projects that we have are, the start dates are already there. So projects are all ongoing. There's not a single project that we have on hand where the project is not ongoing. Certain projects, which are, as I said, Bhandup water treatment plant and Dharavi Ghatkopar tunneling was in preconstruction approvals of statutory approval stage, which we have met. And we expect the Bhandup to start full swing civil works post monsoon. And Dharavi Ghatkopar, we expect the shaft work to begin at Dharavi post monsoon.

Vaibhav Shah: Okay. And sir, apart from the JJM, any other projects where payment s are delayed or it is on time?

Sandeep Garg: Not really.

Vaibhav Shah: Thank you, sir. Those were my questions.

Moderator: Thank you. The next question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.

Vishal Periwal: Sir, in terms of guidance, we did clarify but if one look at between stand -alone and consol, I mean, will it be more growth driven by Michigan or how do you see that?

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Sandeep Garg: So I think definitely, the growth rate of Michigan is going to be higher because it's a lower base. So that's for sure. But the growth will be across both the companies. And we are giving the guidance only at the consol.

Vishal Periwal: Right, right. No, the reason why I'm asking is like probably this if Michigan is driving then the EBITDA margin could be better than what we have done or what we are seeing?

Sandeep Garg: So the EBITDA margins, Vishal, will, as I said, we are not changing our guidance. But our projects are capable of giving the returns that you see in Q1 at this point in time.

Vishal Periwal: Okay. Right, sir. And then maybe one last thing. In the initial part of the commentary, you mentioned Smart Ops in a separate company. So, I just thought to clarify what exactly it means or if I've heard it right?

Sandeep Garg: So, do I take this question?

Management: Please go ahead.

Sandeep Garg: So Smart Ops, we see is a much different play than the bidded and competitive environment that we see both in Welspun Michigan and Welspun Enterprises level. It is a very different business, technology

driven. It will need a very different set of skill sets to manage that business, which is distributed as well as it is long -term operation and maintenance driven, etcetera, etcetera.

So, we have created a company, and we are expecting its CEO to join very soon. It's being populated. The management team other than the CEO is already in place. And it is a joint venture with the Smart Ops U.K. So it is going to be a very separately housed business vertical.

Vishal Periwal: So when you say separate vertical, it's a part of the Welspun Enterprises or it's, I mean, like a different company altogether?

Sandeep Garg: No, it is the parent for Smart Ops U.K. is going to be Welspun Michigan.

Vishal Periwal: It's a part of Welspun Michigan?

Sandeep Garg: Yes.

Vishal Periwal: Okay. That's all from my side.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: First question is on the guidance. So if I work out the guidance of INR4,000 crores to INR4,100 crores, that is 12% to 14%. So, we are revising it down from 15% to 20% in the previous quarter.

Is that correct?

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Sandeep Garg: So, because there has been reclassifications and everything, everything happening in the accounts right now, I have moved the guidance to become more specific to be in the ranges of INR4,000 crores to INR4,100 crores. And I have clarified that the base is INR3,550 crores, which if we reach the INR4,100 crores, will be about 15% is what my computation says. And that's what we are targeting.

Sarvesh Gupta: Okay. Understood. And secondly, on the margin side, now two things have happened. One thing that you spoke about is the introduction of more technology leading to efficiency gains. And secondly, there is the mix change because now the overall revenue profile is dominated by tunneling and water, unlike earlier when road used to be the most important part. So, what would be the sustainable EBITDA margin, excluding other income, that we should target from the mix that we have now, which is different?

Sandeep Garg: So you're right to the extent that the EBITDA margins will be governed by the product, the mix of the revenue. However, we expect the split to remain more or less equal between the three verticals that we are talking about, which is the Transport, the Tunneling and the Water. So I would not want to change the guidelines but guidance on the EBITDA but the EBITDA that you see in Q1 is sustainable in that range.

Sarvesh Gupta: Okay. And finally, on the order inflow, so earlier when we were, I think, talking about INR9,000 crores to INR10,000 crores, we are incrementally more positive about getting higher orders in FY '26 as opposed to previous quarters? Is that...

Sandeep Garg: That is correct because we see much better visibility both on water as well as on the transport. And our interactions with our prospective clients tell us that they are bullish about the order pipeline going forward in the next 8 months.

Sarvesh Gupta: Okay. So, and one project, which got completed, so how much is the receivable when we sell that particular project, Meerut one, right?

Lalit Jain: Yes. This project is Aunta -Simaria, which we have got the PCOD on 15th May. In this project, we have invested equity of INR160 crores. It would not be appropriate to talk about the valuation at this moment. Since it is a marquee project, we expect that this would provide us return in 2x, which is better from the last monetization deal, which was at 1.5x. We expect to close this in the current financial year.

Sarvesh Gupta: No, sir, the Mukarba Chowk -Panipat project we've PCOD. So is there any receivable?

Lalit Jain: Yes, yes, there is a receivable. So we have already sold this project to Actis and p

rice is already

fixed, INR269 crores plus 6% interest from 2022. Differential amount, we have already taken some money, so that will be transferred. So net impact will be around INR140 crores we will get from the -- in terms of the cash flow.

Sarvesh Gupta: Okay. And on Smart Ops, so how much will be WMEL shareholding in Smart Ops?

Sandeep Garg: The holding in the Smart Ops, WMEL is 50%.

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Sarvesh Gupta: 50%. So net for our company will be 50% into 60%, like 30%.

Sandeep Garg: 30%, that is correct.

Sarvesh Gupta: Okay, sir. Thank you and all the best for the coming quarters.

Moderator: Thank you. The next question is from the line of Bhavik Shah from Invexa Capital. Please go ahead.

Bhavik Shah: First, I wanted to clarify. Sir, did we say INR10,000 crores to INR11,000 crores of order inflow guidance for FY '26?

Sandeep Garg: That is correct.

Bhavik Shah: Right, sir. And sir, we have a strong order book in Michigan of around INR2,900 crores. So generally, what is the execution timeline over there?

Sandeep Garg: Do I take this?

Management: Yes, please go ahead.

Sandeep Garg: Okay. Because one of the orders in that INR2,900 crores is an INR1,100 crore order book, which is a long-term contract, which should take about seven years to complete. The rest of the order book, the normal time lines are anything between one and a half years to three years.

Bhavik Shah: Okay, sir. And sir, we have an investment of INR137 crores in our press release. So is it only the HAM investment? Or is it including the capex and all other investments? Can you just break it up, if possible?

Lalit Jain: This is equity investment in HAM project.

Bhavik Shah: Okay. Equity investment of INR137 crores, right?

Lalit Jain: Yes.

Bhavik Shah: Okay. And sir, last question. Are we seeing any delays in Maharashtra in, say, bids opening up, bids coming or, say, on the receivable side as well? Anything that we are witnessing?

Sandeep Garg: We are not witnessing any delays on the receivables. So our receivables are absolutely real time. So there is nothing that we can see. These large projects getting delayed by a month or this way or that way is something that all businesses anticipate. So we don't see any, we are more flat as far as what we see.

Bhavik Shah: Okay. So there's no negative impact of the likely banner scheme which you are seeing in Maharashtra?

Abhishek Chaudhary: No. We see no negative impact.

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Moderator: Thank you. The next question is from the line of Riddhesh Gandhi from Discover Capital. Please go ahead.

Riddhesh Gandhi: Any update you can give us on what's happening with the oil and gas business and any update on the development approvals?

Sandeep Garg: Thank you. I was hoping this question. I had addressed this in my opening statement. As I said that we are working with ONGC and DGH for the evacuation of the asset. So as you would recall that we had given -- the main project that we have or the main block that we have is MB-OSN -2005/2 or Mumbai block, we had given the declaration of commerciality last quarter. So we expect the evacuation discussions to conclude in next 60 to 90 days hopefully.

These are government companies and this is government. And as you know that government has come up with the rules for sharing of infrastructure. So if the rules are quickly adapted, the draft rules are already out. It will be easier to conclude the discussions. And based on that, we expect in the next Q3 to have a better information to share with you.

Riddhesh Gandhi: So as and if the things play out, could you give us the kind of contours of how this could look?

Sandeep Garg: So we have three

blocks, as you know, MB -OSN -2005/2, B -9 and C -37. Commerciality of all the 3 blocks is established. The question is how the evacuation will take place in the surface facility as far as the blocks are concerned is reasonably well clear to us.

The clarity is what does not exist at this point in time is where, from which route will we evacuate this gas and condensate and process it where. So these two issues are right now under discussion with ONGC and DGH. So the controls are, once this is known, we will actually know in what time frame these can be monetized.

Riddhesh Gandhi: Alright, sir. Thank you. That's all from me.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments.

Sandeep Garg: Thank you, everyone. Thanks once again for coming and joining us today. I hope we have addressed all your queries. We remain committed to creating long-term value for our stakeholders, and our focus is on improving return on equity and return on capital employed. Should you have any further questions or feedback, please feel free to reach out to our CFO or Investor Relations team. Thank you, and good day.

Moderator: Thank you. Ladies and gentlemen, on behalf of JM Financial Institutional Securities Limited and Welspun Enterprises, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q2 FY '26 Earnings Conference Call "
November 12, 2025

MANAGEMENT : MR. SANDEEP GARG – MANAGING DIRECTOR –
WELSPUN ENTERPRISES LIMITED
MR. SAURIN PATEL – MANAGING DIRECTOR –
WELSPUN MICHIGAN ENGINEERS LIMITED AND HEAD,
INTEGRATED WATER VERTICAL – WELSPUN
ENTERPRISES LIMITED
MR. ABHISHEK CHAUDHARY – CHIEF EXECUTIVE
OFFICER – HEAD TRANSPORTATION VERTICAL –
WELSPUN ENTERPRISES LIMITED
MR. HARDIK DHEBAR - PRESIDENT , FINANCE &
ACCOUNTS - WELSPUN ENTERPRISES LIMITED &
CHIEF FINANCIAL OFFICER - WELSPUN MICHIGAN
ENGINEERS
MR. LALIT JAIN – CHIEF FINANCIAL OFFICER –
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MR. SALIL BAWA – GROUP HEAD, INVESTOR
RELATIONS – WELSPUN GROUP
MS. SANGEETA TRIPATHI – LEAD INVESTOR
RELATIONS –WELSPUN ENTERPRISES LIMITED

MODERATOR MR. VAIBHAV SHAH – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Enterprises Q2 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Shah. Thank you, and over to you, sir.

Vaibhav Shah : Thank you. On behalf of JM Financial, I welcome everybody to Q2 FY '26 Earnings Conference Call of Welspun Enterprises Limited. I will now hand over the call to Mr. Salil Bawa, Group Head, Investor Relations of Welspun Group . Over to you sir.

Salil Bawa : Thank you, Vaibhav, and good afternoon to all of you. On behalf of Welspun Enterprises Limited, I welcome all of you to the Q2 FY 2026 Earnings Call. Along with me, I have Mr. Sandeep Garg, Managing Director of Welspun Enterprises Limited; Mr. Saurin Patel, Managing Director of Welspun Michigan Engineers Limited and Head, Integrated Water Vertical. I have with me Mr. Abhishek Chaudhary, Chief Executive Officer, Transport Welspun Enterprises Limited; Mr. Hardik Dhebar, President, Finance and CFO, Welspun Michigan Engineers; and Mr. Lalit Jain, CFO of Welspun Enterprises Limited .

We hope you have had a chance to review the investor presentation that we filed with the exchanges yesterday. The same is also uploaded on the company's website. During the discussion today, we may be making references to this presentation. We would request you to take a moment to review the safe harbor statement in our presentation.

As usual, we'll start the forum with opening remarks by the leadership team. And then we'll open the floor for your questions. Once the call gets over, should you have any questions, feel free to connect with any one of us.

With that, I hand over the floor to Mr. Sandeep Garg. Over to you, Sandeep.

Sandeep Garg : Thank you, Salil. Good afternoon, everyone. I'm pleased to welcome you all to the Welspun Enterprises Q2 FY '26 Results Conference Call. I thank you all for being present today. I'm happy to share that we have received a new order from BMC for water treatment plant of 910

MLD at Panjrapur near Mumbai. This is our second water treatment project in the Mumbai region after Bhandup.

Once completed, these 2 water treatment projects will provide for 70% of Mumbai's freshwater requirements. This new project is another element of our participation in the holistic management of Mumbai's water resources, comprising of water treatment, transmission and reuse of treated water.

This unique combination of projects sets a comprehensive benchmark for urban water management. In the Transport segment, we emerged L1 for Pune -Shirur Elevated Highway corridor, a BOT toll project of MSIDC with a total project cost of INR7,300 crores. Abhishek, Welspun Enterprises Limited
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who is our new CEO Transportation vertical, will provide more details on our projects in the transport segment and digitalization journey shortly.

Our stand-alone order book stands at INR14,000 crores, while our subsidiaries, Welspun Michigan holds an order book of INR2,650 crores, bringing the consolidated order book upto INR15,615 crores. It is important to clarify that Welspun Michigan's order includes an order of INR1,069 crores related to DGT projects, which has been sourced from Welspun Enterprises.

Additionally, the consolidated order book also includes O&M contracts worth approximately INR5,400 crores. The order book mentioned excludes the MSIDC projects for which we have emerged L1. Once

the order fructifies, it will add more than INR5,000 crores to the order book.

As per earlier guidance, we are on track to achieve our top line target of INR4,000 crores for the year at the consolidated level, subject to the climate supporting us and the statutory approvals for the new projects.

Our consolidated EBITDA grew at 28% year-on-year to INR192 crores in FY '26 as compared to INR150 crores in Q2 FY '25, underscoring our continued focus on operational efficiency and margin resilience. On the balance sheet side, we continue to maintain a strong financial position with consolidated cash reserves of INR1,043 crores.

This provides us with significant flexibility to pursue growth opportunities while maintaining financial discipline. Lalit, our CFO, will walk you through the financials in greater detail. Our subsidiary, Welspun Michigan Enterprise Limited, building on a healthy performance of the previous quarter reported revenues of INR169 crores this quarter, up 60% year-on-year. Saurin, our Managing Director of WMEL and Head, Integrated Water vertical, will provide further insights on WMEL and updates on our water vertical shortly. On oil and gas, we have 3 major blocks called MB or Mumbai block, B9 and C37 for which we are in discussions on evacuation of gas with ONGC and DGH. Once the plans are finalized and we have clarity, we will come back to you with our future course of action.

On the awards, I'm happy to share that our commitment to excellence continues to be recognized. Welspun Enterprises was awarded the Wealth Creator Award at Construction World Global Awards 2025. This accolade reaffirms our commitment to excellence across project management, innovation and technology. On the guidance, I would want to talk about the industry.

On the industry front, we are anticipating a strong traction in BOT toll and HAM projects in transportation at both NHAI and state level as well as in the water segment across river interlinking water treatment plant and desalination.

Expanding opportunities in the tunneling segment for both transport and water are also on the horizon. We are actively evaluating these opportunities and will bid for these projects, which will fill our return criteria. On NHAI, I'm happy to share that NHAI is revisiting its evaluation criteria for PPP projects.

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As per the revised guidelines issued for HAM projects, they are considering available net worth, which is the net worth of the company minus its commitments as new qualification criteria.

Along with this, we are expecting that larger projects will be announced on PPP basis, which will require a strong balance sheet.

To capitalize on these upcoming opportunities, we are in the process of raising INR1,000 crores through a preferential issue of warrants by way of private placement with participation from the promoter group. This demonstrates the confidence we have in the business going forward.

To capitalize on these opportunities, we are also strengthening the organization and focusing on

digitization. Appointment of Abhishek as CEO, Transportation and addition of Hardik as President, Finance for WEL are steps in this direction. In coming times, we shall see similar augmentation to the verticals across organization.

To conclude, I want to reemphasize our strong foundation for sustainable value creation. By concentrating on profitable segments, maintaining rigorous operational discipline and leveraging the momentum of a healthy order pipeline, we are confident in our continued ability to generate sustainable growth and enhance value for all stakeholders. Thank you once again for your time and support. I will now hand over to Saurin for his remarks.

Saurin Patel : Thank you, Sandeep, and good afternoon, everyone. Let me share an update on our water business, a segment where we are bringing together s

cale, technology and purpose to create meaningful impact. The recently awarded 910 MLD water treatment plant at Panjrapur in Maharashtra will be executed over the next 4 years, followed by 15 years of operations and maintenance.

The EPC value of the contract is INR1,685 crores, excluding GST, while the O&M component is valued at INR980 crores. All our major water projects include an O&M component, ensuring long-term engagement and steady recurring revenue visibility. Our current water order book stands at around INR11,000 crores, of which approximately INR5,400 crores pertains to operations and maintenance, providing a strong visibility of sustained cash flows over the coming years.

To reiterate what Sandeep mentioned, once all our ongoing projects are completed, Welspun Enterprises will be managing nearly 70% of Mumbai's freshwater supply and around 15% of its wastewater treatment needs, a scale that truly reflects both our execution strength and our commitment to sustainable future-ready water infrastructure. At Welspun, we have some unique record-setting water projects, which have catered their USP to urban available space issues and constraints, and we are proud to have provided successful solutions.

Let me talk briefly on some of the ongoing projects that cater to this. The 418 MLD wastewater treatment facility at Dharavi is on track for execution. Work is in progress and in line with the latest schedule. Major civil structures, such as the SBR, blower building, administration building are nearing completion and other structures such as the IPS, SBR feed pumping station, etc, are under progress.

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Mechanical equipment directions such as decanters, air blowers for the SBR and blower building, has commenced. This project is on track and expected to be commissioned by July 2027. Once completed, this will be Asia's first multi-storey sewage treatment plant. The 2,000 MLD WTP at Bhandup, being one of the world's largest water treatment plants under construction has a 30% to 50% lesser foot print compared to conventional water treatment plants. With the extended monsoon over and the necessary permissions and civil contracts are in place, execution has picked up significantly and excavation is proceeding and progressing well within the schedule. The project is progressing towards achieving the completion target of April 2029. Once commissioned, this plant will play a vital role in strengthening Mumbai's drinking water supply and ensuring a cleaner and safer water supply for millions of households.

The UP Jal Jeevan Mission execution is on track, currently supplying safe and potable drinking water to over 300 villages. Upon completion, it will benefit nearly 2,500 villages, unlocking a real social and economic transformation in the state.

For the Dharavi-Ghatkopar tunnel, all the pre-project clearances will be in place by December and shaft work for 150-meter shaft at Ghatkopar should commence by early March.

Moving to SmartOps, a technology-driven joint venture dedicated to rejuvenating water bodies through modular, scalable and cost-effective solutions. It gives me sense of contentment to state that in just 18 months since we launched SmartOps, four projects have gone live across India. The projects in Varanasi and Guwahati are complete as is the Pandharpur project, which focuses on cleaning a portion of the Chandrabhaga River near the Vitthal Temple in Pandharpur. Looking ahead, four to five new projects are expected to be executed over the next 6 to 8 months. And we are also exploring other exciting emerging technologies to tackle complex wastewater challenges and develop sustainable sludge management solutions.

Our subsidiary, Welspun Michigan, continues to deliver a strong performance. In quarter 2 FY '26, it reported revenues of INR169 crores, a 60% year -

on-year growth with an EBITDA margin of 20.8%. For the 6 months ended September 30, 2025 - Welspun Michigan posted revenues of INR377 crores, a 51% year-on-year growth, while EBITDA increased by 42% year-on-year from INR57 crores in H1 FY '25 to INR81 crores in H1 FY '26.

At Welspun Michigan, we have three segmental line tunnels projects, -- of which we have successfully completed the Mithi Tunnel a few weeks ago. This feeds the Mithi wastewater to a Dharavi STP. The others feed wastewater when completed from Goregaon and Borivali catchment areas to the under construction Malad Sewage treatment plant and are on track for a timely completion in FY '27, '28.

In addition, we are executing multiple rehabilitation projects in Mumbai, Ahmedabad, Baroda and Delhi, using a variety of specialized techniques, including glass reinforced polymers, geopolymer cements and cured -in-place thermosetting resins. These works form the vanguard of municipal efforts at rejuvenating existing underground networks, and we are proud to play a leading role in this country for this activity.

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All the ongoing pumping stations are on track to be in service prior to the next monsoon season and play a role in serving for Mumbai's flooding needs. As of September 30, 2025, Welspun Michigan's order book stands at INR2,650 crores, of which 60% is tunneling, 22% pumping stations and 14% rehabilitation projects.

The robust order book provides strong revenue visibility. Going forward, the team continues to pursue opportunities across segments and expects to further strengthen the order book during quarter 3 and quarter 4 of this year. I would like to conclude by stating our strategic focus on wastewater treatment, large -scale water delivery systems and tunneling. This positions us to create sustainable long -term value in a sector that is both vital and fast growing.

With that, I'll now hand over to Abhishek to take you through the Transport performance in detail.

Abhishek Chaudhary : Thank you, Saurin. Good afternoon, everyone. Welspun Enterprises has built a strong and a proven track record in India's infrastructure landscape. Over the years, we have successfully executed and monetized a series of road assets that stand as benchmark for quality, timely delivery and value creation.

Today, we'll walk you through our strategic direction, our operational performance and how we are shaping the next chapter of Welspun journey in creating resilient and future -ready infrastructure. Let me now first brief you about the ongoing projects, which is Aunta -Simaria Road project in Bihar.

Our latest landmark is the completion of this project, which is country's widest cable -stayed bridge with a span of 1.8 kilometers which was inaugurated by Honorable Prime Minister of India on August 22, 2025. This demonstrates not just our engineering excellence, but also the capability to execute at scale. The provisional commercial operation date, PCOD, was achieved on 15th May 2025, and the first annuity payment is scheduled for November. Monetization efforts for this project are presently underway, and we anticipate closure within this financial year.

The second project is Varanasi -Aurangabad Road Project, VARP. There is a steady progress here with main carriageway planned for completion by Jan 2026 and overall completion by Q1 of FY '27. Delays have occurred due to work front availability issues and local disturbances, but we are fully geared up and are collaborating with all the stakeholders to actively resolve all issues and accelerate the remaining work.

Third, SNRP, which is Sattanathapuram Nagapattinam Road project, which is approximately 74% complete, and we plan to submit the 75% financial milestone to the client by the end of December 2025. The pond ash issue has been resolved with 6.32 lakh cubic meter of pond

ash,

which has been secured through an auction process of NLC. We expect to receive the provisional completion in Q1 FY '27 .

Lastly, Pune -Shirur Road project, as informed by our MD, we are proud to have emerged as the L1 bidder in this marquee BOT project, which is going to be 54 kilometer long 6 lane highway, including nearly 37 kilometers of elevated structures with an estimated total project cost of

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INR7,300 crores. It marks a new phase of growth and diversification. We are awaiting the letter of award, which is expected soon.

Now I'll just take you through the digital transformation initiatives, which are being undertaken at the company level. We continue to drive digitalization across all our operations, adopting advanced tools such as 3D, 4D, 5D modeling and have begun RFI -based detailed project report generation for our Bhandup project on a pilot basis. I'm also happy to inform you that we have

successfully migrated to SAP RISE for our S/4HANA.

The digitization of our project management dashboard has led to process optimization and real-time data analytics. We are also redefining our supply chain processes and integrating e-governance, which will further enhance operational efficiency and control. Lastly, I will touch upon the major awards and recognitions which we have secured in the recent past.

Welspun Enterprises has been honored as the most admired company in the transportation vertical at the ET Now Infrastructure Awards 2025. We have also received the Excellence in Bridge Engineering for our Aunta-Simaria Road project at the RAHSTA Awards 2025. Our safety team has been recognized with the Excellence in Safety Training and Education Award for Aunta-Simaria Road Project at OSH India 2025.

Now I will hand it over to Lalit, Chief Financial Officer of our company, to take you all through the Q2 FY '26 financial results. Over to you, Lalit.

Lalit Jain: Thank you, Abhishek, and good afternoon, everyone. I appreciate your interest in our business.

Let me present our Q2 FY '26 financial results and provide insight into the performance of each segment. Q2 FY '26 up-to-date financial performance we have delivered INR803 crores of total income for Q2 FY '26 and consolidated income for H1 FY '26 stand at INR1,674 crores.

This is on track to reach our FY '26 revenue target of INR4,000 crores with back-ended top line distribution as specified earlier by our MD. Our consolidated EBITDA for Q2 FY '26 is INR192 crores against INR155 crores in Q2 FY '25, marking a healthy 28% growth year-on-year.

We have demonstrated strong operational efficiency by an improved EBITDA margin of approx 24% compared to 18% in Q2 FY '25, and year-on-year expansion of 600 basis points. Our consolidated EBITDA before exceptional item for the quarter has grown by 24% to INR126 crores against INR102 crores for Q2 FY '25.

Further, our consolidated PAT for the quarter stand at INR99 crores, a year-on-year increase of 63% as against INR60 crores in Q2 FY '25. PAT margin for the quarter stand at 12.3%, an improvement on year-on-year basis. The H1 FY '26 Consolidated PAT stands at INR200 crores against INR169 crores in H1 FY '25, an increase of 18% over H1 FY '25, indicating a strong and robust profit. Q2 FY '26 stand-alone financial performance.

Stand-alone revenue from operations for Q2 FY '26 was INR593 crores, taking the H1 FY '26 revenue to INR1,197 crores. EBITDA for the quarter is up by 18% year-year at INR116 crores as against INR99 crores in Q2 FY '25, while margin improved 450 basis point for the quarter grew at 9% year-on-year to INR95 crores against INR87 crores in Q2 FY '25.

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PBT for H1 FY '26 stand at INR212 crores against INR206 crores for H1 FY '25. Now come to balance sheet position. Our financial

position remains strong and resilient. On consolidated basis, net worth is INR2,870 crores with a net debt of INR688 crores.

On a stand-alone basis, net worth stands at INR2,810 crores and cash and cash equivalent of INR986 crores. We are in process to raise INR1,000 crores through preferential warrants by the way of private placement, including to the promoter group.

Now come to segmental performance for consolidated results. H1 FY '26 segment-wise revenue distribution. Transport INR674 crores, 41% share, Water, INR522 crores, 32% share; Tunneling and rehabilitation INR433 crores, 27% share. The tunneling and rehabilitation segment registered robust growth of 75% year-on-year for H1 FY '26.

The Water segment revenues remained stable. The Transport segment declined by 30%, impacted by the completion of 2 major projects, Mukarba Chowk-Panipat MCP project, Aunta-Simaria and Varanasi-Aurangabad project, which are near to completion. Segment margin, we also witnessed margin improvement across all segments.

The segmental EBIT margin for H1 FY '26 stood as follows: Transport, 26%, water, 28%; tunnel and Rehabilitation 21%. The margin improvement this quarter is on account of our diversified project portfolio, continued emphasis on cost control and execution excellence.

Overall, our results demonstrate resilience and strengthening profitability with a solid balance sheet, streamlined operations and robust pipeline of opportunities. We are well positioned for sustained growth and long-term value creation. Thank you very much.

Now I hand over call to Mr. Sandeep Garg. Thank you. We can go for question-and-answer session.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: So sir, I had 2 questions. So what we are seeing is a tremendous margin expansion across all verticals, and this is much higher than what we used to previously report. So wanted to understand what are the sustainable margins that are being reported right now?

Sandeep Garg: So the question is about margins. Yes, there is an increase across all segments because of

operational excellence. There is some increase in the margin because Aunta -Simaria project has completed and it's operational and contributing to the EBITDA margins. Although we foresee at least for the next foreseeable future that these margins, what we are reporting right now may continue. But however, on an overall level, we do not change our guidance, which we have always maintained, it will be around 18% of there.

Sarvesh Gupta: Okay. And sir, on the road projects, now we have brought in a very large project. So wanted to understand from when it will start contributing to our revenues and how much can be booked in FY '26 and FY '27 from these 2 large projects that we have received?

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Sandeep Garg: So talking about the large project in transportation, it's a BOT project, and it is still not awarded to us. We are hoping that it will get awarded shortly to us. As you may well know that in the BOT project, the first 6 months are supposed to be for financial closures and closures of other requirements.

So we do not foresee much of a turnover in this 6 months other than the expenses and other things incurred on the shifting of the utilities and enabling costs and design and engineering costs in this project. So it shall contribute a bit towards the bottom line -- towards the top line in the FY '26, but we do not see that to be substantial.

FY '27 is when we see the project becoming fully operational and contributing to the top line as well as to the bottom line. Coming to the Panjrapur project, it is a design and build project. The first few months or quarters will go in its design and its approval. I expect

it to start contributing

substantially to the revenue in FY '27. However, we would expect minor contribution within the Q3 and Q4 from that project as well.

Sarvesh Gupta: Given that we have already covered what we had guided for the order inflows for the full year.

So if you can shed some more light on an updated guidance for order inflows for this financial year? And also throw some color on what is happening on the road project, while we have got in one large project, but at the industry level, we haven't seen much of orders coming in against the expectation of any orders coming from NHAI, etc. So if you can throw some color on the industry ordering on road as well and also our order inflows for the remainder of the year?

Sandeep Garg: Thank you for reminding that our guidance on the order book of the financial year is almost done -- we are already there in the first H1, which is a good sign. We will continue to pursue orders in the remaining period of the year depending upon how the governments move, we would expect more orders to come in.

However, I would want to refrain from giving any guidance at this point in time of the order book that we will build in the next 5 months. I also would want to say that, yes, there is a bit of a slowdown at NHAI currently, but their targets within the FY '26 awards remain strong. And I expect as soon as the models of BOT are agreed of the revisions that the government is making as well as the HAM, I expect that it will open and lot many projects will get awarded at the center.

States are progressing as per the plan. So I do not see any major challenge in order book for at least us with a company -- which has a strong balance sheet and is not playing in the EPC market per se, I do not see a challenge in booking orders in the transportation.

Moderator: The next question is from the line of Radha from B&K Securities.

Radha: Congratulations on good performance and also the L1 and LOI received in this quarter. So sir, my first question is the EBIT margin, both for the road and water seem to be higher towards the completion of the project as compared to the beginning of the project. So please help us understand why it is in this way and how to see these margins during the construction period of the project?

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Sandeep Garg: Radha, thank you for this very insightful question. As I had earlier spoken, I would repeat myself, the way the company operates is a conservative accounting principle. We do create contingencies at the start of the project, which is depending upon the risk perception that we have.

And as the project starts to get completed, then only we release the risk or when we have mitigated the risk in totality, we reduce this contingency towards profit. So in most of our projects, you would find that at the end of the project, the margins improved a lot or a bit depending upon what contingencies get consumed.

Also, as a prudent policy, we book all the costs that we have incurred on the claims or change

of scope, but do not account for them until unless we receive the order or a claim, which also sometimes depresses our reported profits. However, we stay within the prudent guidelines of accounting.

Radha: So on the road, this quarter, the margins have gone up because of -- primarily because of demobilization of the Aunta -Simaria project. So is it fair to assume that when the Pune -Shirur project commences, so initially, the overall margins for the road segment will be lower because of the points that you just mentioned and then it will increase gradually. And would we -- should we consider 17%, 18% EBIT margin for as a sustainable margin?

Sandeep Garg: Yes. So when we announce our margins, we do not account for the contingencies. So yes, initial phases, the -- any road project would see similar margins in our case. A

nd if we are able to save

on the contingencies or we do have certain change of scopes of claims, this shall help us in reporting better margins towards the end of the project.

Radha: Okay. And sir, in WMEL, what is the utilization level currently? And how does the margins differ between tunnelling and rehab?

Abhishek Chaudhary : So almost margins for the tunneling and rehabilitation almost 20% -- 22%.

Sandeep Garg: So their margins are practically in the similar range, which are between 20% to 23% depending upon the segment. So there is no substantial difference between any particular vertical. But going forward, we do anticipate that their margins in the tunneling will improve because the scales of tunneling are changing as we go forward.

Radha: And sir, what is the utilization level currently?

Sandeep Garg: What utilization are we talking about? Utilization of machines.

Radha: Yes, sir.

Sandeep Garg: Utilization of machine, we are almost close to 100% because all our investments are majority in the tunnel boring machines, which are occupied fully on the project.

Radha: You mentioned that margins will improve because of the scale. So if we are at 100% utilization, sir, I am unable to conclude. Sir, please help me here?

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Sandeep Garg: So the way to see it is that as you have larger projects, your mobilization, demobilization, your overhead, your cost of management bandwidth, your substantive costs get apportioned on a larger revenue and your TBM, which is a large cost element is also apportioned over a larger revenue. So and reuse takes place of the machines which are coming off the projects, which are currently occupying them and reuse creates a lot of value. So we do believe that as we move into larger and repeatable orders, the margins on the projects will improve substantially.

Saurin Patel : So also, we will be adding a machine for the new project, Dharavi -Ghatkopar. So we appreciate your comment and insight about 100% utilization. But for specialized projects, which require special diameters, etc, we always add capacity. So for the upcoming Dharavi -Ghatkopar tunnel, we are actually adding a machine.

Radha: So at peak, if we are doing now 22%, 23%, so during the point you mentioned that peak, should we assume 26%, 27% kind of margin potential from this business?

Sandeep Garg : Yes, there is a higher potential in the margin for sure. Putting a number at this point in time would be not appropriate for us. So there is a potential improvement in margin as it unlocks as the orders become repeatable and larger, we shall surely share the development as it evolves.

Radha: Okay. Sir, on the receivables front, if we exclude the receivables and the concession agreement, your total current and noncurrent receivables is at INR220 crores -- so is this entirely from the UP JJM project? And also for this project, I believe about INR500 crores is unexecuted. So do you expect to complete this by year-end? And hence, when it is completed, it will get added to the receivables?

Sandeep Garg : So the assumption in your question is that there will be no payments from -- coming from UP JJM, which is not the assumption that the management has. We do believe that this issue should resolve going forward in a few months. Now coming to your question, what are the receivables from UP JJM, it is true that the receivables stand between INR200 to INR220 crores exact numbers, I'm not right now able to give to you.

However, we do believe that there is an assurance at the highest level, including at the Chief Minister level to support these projects going forward. So we expect the payments to come. And yes, there is still a substantial work balance, which we do not expect to complete within this financial year, but we expect to complete in the next financial year.

Moderator: The next qu

estion is from the line of Riddhesh Gandhi from Discover Capital.

Riddhesh Gandhi : Just a quick question. So given we still have like almost INR1,000 crores of cash on books and given ultimately, we are looking to potentially also actually monetize the oil and gas, which

should again lead to a reasonable amount of cash. Just wanted to understand the rationale of raising capital right now, especially given the strong growth prospects, which still aren't reflected in the stock price right now?

Sandeep Garg : Thank you for this question. I think the reason of raising the capital is, as I briefly touched upon in the -- in my opening remarks, the evaluation criteria for the PPP projects is evolving at the central level. They have now started evaluating at least for the HAM projects, a concept called Welspun Enterprises Limited
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adjusted net worth. Adjusted net worth is nothing, but net worth of the company minus a percentage of its balance commitment towards the future projects.

So if you have certain projects awarded, a percentage of it is taken off from your net worth to compute with what kind of projects you can bid for or target to win. Now given that situation and that we are already L1 or emerged L1 in a large project, which will need substantive equity commitment, our net worth at this point in time is about INR2,000 crores or it should be at around INR3,000 crores in the consolidated level.

We -- that will subsume our -- my team corrects me that we are currently at INR2,800 crores net worth. That will subsume most of our net worth available for bidding for future projects, which are very value accretive. So it is a timely step in raising the finance when we can call for it in next -- over next 18 months to strengthen the balance sheet as the opportunities unfold.

So we think that as a prudent business, as you would know, in this industry, it is very important to have both cash flows, strong cash flows as well as strong network to win projects and be able to support those projects. We have gone on a prudent principle. I hope I've answered your question.

Riddhesh Gandhi : That's helpful. And is there any further update on your oil and gas blocks, which you can share with regards to any approvals or the development that's happening there?

Sandeep Garg : So I can only say that there is a very active engagement taking place between us, ONGC and the government to try and resolve the take-off point and the cost of transportation and processing, which means that , we expect this to resolve in the next 45 days or so. And once we have agreements in place, we will go for a field development plan as a cluster development for the project.

And based on the bullish that ONGC is able to commit to us and the phase it is able to commit to us for transportation and processing, we will have a clarity as to how do we create value out of this noncore asset, as I say. This is the only noncore asset that we have right now. And how do we divest while we create value for the stakeholders. So that's balancing which we will do. I would also want to be very clear here with my investors that any money or anything that we will commit to any of these projects will be a prudent capital allocation if we need to, to monetize.

Moderator: The next question is from the line of Koustubh Shaha from Wallfort PMS.

Koustubh Shaha : Congratulations on a consistent performing quarterly. A couple of my questions have already been answered. So I have only one question actually. So we have undertaken a lot of operational efficiency steps. So are there any further operational efficiencies which we are working on and which will be value accretive to the company. That is one thing.

And secondly, after all this, from a total potential perspective, how do we look at ourselves in terms of what is the potential of the company across both the transport and

the water segment?

And where are we? And are there any further kinds of steps we can take to meet that complete potential ?

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Sandeep Garg : So see, the -- as we say, there is no limit to improvements. So - it is a continuous improvement journey. We have come to some levels. We are -- as Abhishek referenced in his journey about digitization that we are still looking at creating value through our supply chain efficiencies.

We are looking at creating value towards better decision-making and real-time decision-making, which can avoid a lot of infrastructures expense or delays in the projects, which all ultimately reflect in the bottom line. So I don't think that we have captured the full suit of it, but we are on the journey of it.

Now how much it will create value is a matter of time that we will be able to say and how we adapt to it -- how and when we adapt to it, how quickly we adapt to it. It will all be a matter of future. We will share it with you as we move along. The full potential of the company is in the growth.

As I said, we are in 3 segments. The transport, as you know, is growing at a very fast pace and

is at least slated to grow at a very fast pace, especially in the area that we operate, which is the PPP projects. Tunneling, as I said, is one of the fastest-growing industry at this point in time, and we forecast that in the next 10 years, we will do what we have not done in last 75 years.

And water, which is a basic necessity and a focus area for us where we want to be positioning ourselves as a technology-led solution provider rather than just a solution provider on a bid basis.

So with these differentiation that we are trying to create, we believe that we still have a lot of room for improvement of margins going forward.

Koustubh Shaha : Okay. And lastly, now we have 2 independent CEOs for two different segments. So in the future, are we thinking of kind of having one of them as a separate entity or will continue within the same company as these two segments only?

Sandeep Garg : So right now, there is no such visibility about the splitting of the company into verticals or verticals into companies. It's all a question of scale, size, strength, potential, etc. However, we are always open to any consideration which creates value for the stakeholders, depending upon the size, scale and how things evolve at an appropriate time with the due advice of everybody, we will consider what's best for the company and the stakeholders.

Moderator: The next question is from the line of Dhaval from 47 Alpha.

Dhaval: So I have two questions. First is with the growth focus on water treatment projects and infrastructure development in India, how do Welspun Enterprise position itself to capitalize on upcoming government policies and funding opportunities?

Sandeep Garg : So the way we are positioning, as I said, there are three ways that we offer differentiated offerings in water by -- due to technological associations, strong project management control and digitization. So we create opportunities. And as Saurin in his address said, we have created projects which are unique, multi story SBR, which is unique in India. We are using the smallest footprint, wherein land is a challenge in urban cities.

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So I do believe that we are creating uniqueness in our offering, both for technology as well as from the offerings of efficiency through digitization, etc. So I believe we are uniquely positioned. And we are also banking on technologies, new technologies like SmartOps, etc, which will create a differentiated offering going forward. So I hope I have answered your question. Transport, as you know, we only go into PPP projects and complex and marquee projects, which already set us apart from -- in most

of the places.

Dhaval : Okay. And one last question. Is there any plan to expand in new geographies to diversify the project portfolio to mitigate the sector-specific risk?

Sandeep Garg : See, we do not see any risk. We have already diversified into 3 segments, and I believe that the three segments are a very stable solution. However, we are always looking for opportunities. We see a lot of opportunities right now in India. If we perceive going forward any challenges, of growth or anything, then we will look at geographical diversification. I would only want to say geographical diversification beyond the borders comes along with the risks associated with the country risk, etc. So we are mindful. We need to strengthen the organization and our abilities before we diversify into those segments.

Dhaval: Okay. That's it from my side congratulations for the great results.

Sandeep Garg: Thank you.

Parth : Can I ask

Sandeep Garg: Yes. Parth can you go ahead.

Parth: So thank you for the opportunity. I just wanted to ask when can you expect the LOA for Pune Shirur project? And on a full year basis for FY '27, how much revenue are we targeting from the same?

Sandeep Garg : So interesting question. I think you would appreciate that we are scouting for it. So putting a time line on the government to process is very difficult. However, I expect this to happen over the next few weeks at least definitely in this quarter. So that's our anticipation. Next question is FY '27, how much we will be able to book. It will all depend upon two things.

Number one, when do we get the award and when do we get the financial closure done because if it gets done in 6 months, then we would be starting the project in the monsoon. If we are able to get it done all the CPs, the government is able to meet their CPs as well as we are able to do the financial closure earlier. We may start before the onset of the monsoon, and we may be able to book more revenue. So we will come back to you as soon as this whole Jigsaw puzzle solves.

Parth: And also, are we planning any acquisitions across our vertical?

Sandeep Garg : Acquisition See, as I always said that we have -- we create a high level of liquidity because we always are open to value-accretive acquisitions of projects or companies. Any similar opportunity if it comes through, we will be very happy if it is value accretive and adds a long -

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term sustainable value to our stakeholders. At this point in time, are we looking at something ?

The answer is not that I can share with you.

Moderator: The next question is from the line of Avantika Jawahar an Individual Investor. Please go ahead.

Avantika Jawahar : Yes. My question has been answered.

Moderator: Thank you very much. The next question is from the line of Radha from B&K Securities.

Radha : Sir Aunta -Simaria PCOD received in May '25. So how long does it usually take since the time of receiving PCOD to the time of actual sale and receipt of cash from the sale of assets?

Sandeep Garg : So the law is -- the rule is COD plus 6 months, you have to hold more than 51% -- so the normal process is once you have received the first annuity, most of the buyers will look at the projects because that establishes every valuation metrics for the HAM project. We expect the first annuity on the project somewhere in the month of December.

And accordingly, the investors' interest we will be able to see and decide at what value we can sell. If it is value accretive and we believe it's the right value, we may be able to conclude the deal in either Q4 of FY '26 or in Q1 of FY '27, depending upon how things evolve.

Radha : And secondly, in opening remarks, while talking about -- you also -- Mr. Patel spoke about exploring new technologies for dealing with water challenges. So could you please elaborate what tech

nologies are we talking about here?

Sandeep Garg : So it is early stages, but as Mr. Saurin addressed in his address, we are looking very actively on sludge management as to how the sludge management can bring efficiency. So we are wanting to create value from the waste. So the concept is how can we create a better future while creating a good business proposition.

Radha: So we're looking for another tie -up for the sludge management, sir?

Sandeep Garg: We are surely looking at the opportunities beyond SmartOps in technology.

Radha : I ask that are you looking for tie -ups with any organization for bringing this technology?

Sandeep Garg : Yes, we are looking at various opportunities. Now whether it will be a tie -up or anything else, the question is it will evolve as we go forward. It is difficult to say whether it's a tie -up, it's an acquisition, it is IP , it is collaboration. So there are a number of ways to look at issues. Tie -up is one of them. I would not want to comment upon that. All we are saying is we are looking at new technologies to create value.

Radha: Okay. Last question for the SmartOps, I believe that the Welspun Enterprises does not have exclusive tie-ups with the U.K. company as they are also executing projects independently in India. So as per the agreements, can any other company also tie up with the U.K. -based company to take the technology and execute projects in India? And what is the...

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Sandeep Garg : Best of our knowledge, we have an exclusive tie -up for the complete India pan -India post the date of our agreement. Predated, I will not want to comment upon.

Radha : And sir, tie -up for how long?

Sandeep Garg : Can I request you to -- because this is -- these are getting into specific questions on agreements, can I request you to connect with the -- our team at Investor Relationship, and they will connect you to the person who is responsible for the SmartOps to answer specific questions.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Sandeep Garg : Thank you, everyone. Thanks once again for coming and joining us today. We remain committed to creating long -term value for our stakeholders, and our focus is on improving return on equity and return on capital employed. I hope we have addressed all your queries. Should you have any further questions or feedback, please feel free to reach out to our CFO or Investor Relations team. Thank you, and good day.

Moderator: Thank you very much. On behalf of Welspun Enterprises, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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"Welspun Enterprises Limited
Q3 FY 26 Earnings Conference Call "
February 05 , 202 6

MANAGEMENT : MR. SANDEEP GARG – MANAGING DIRECTOR –
WELSPUN ENTERPRISES LIMITED
MR. SAURIN PATEL– MANAGING DIRECTOR –
WELSPUN MICHIGAN ENGINEERS LIMITED AND HEAD
INTEGRA TED WATER VERTICAL
MR. ABHISHEK CHAUDHARY – CHIEF EXECUTIVE
OFFICER (TRANSPORT) VERTICAL – WELSPUN
ENTERPRISES LIMITED
MR. LALIT JAIN – CHIEF FINANCIAL OFFICER–
WELSPUN ENTERPRISES LIMITED
MR. HARDIK DHEBAR – HEAD FINANCE AND
INVESTOR RELATIONS AND CHIEF FINANCIAL
OFFICER – WELSPUN MICHIGAN ENGINEERS
LIMITED
MS. SANGEETA TRIPATHI – LEAD INVESTOR
RELATIONS – WELSPUN ENTERPRISES LIMITED

MODERATOR MR. VAIBHAV SHAH – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Enterprises Q3 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone . Please note that this conference is being record ed.

I now hand the conference over to Mr. Vaibhav Shah from JM Financial Institutional Securities Limited. Thank you, and over to you.

Vaibhav Shah: Thank you. On behalf of JM Financial, I welcome everybody to Q3 FY '26 Earnings Conference Call of Welspun Enterprises Limited. I will now hand over the call to Ms. Sangeeta Tripathi, Lead Investor Relations at Welspun Enterprises Limited. Over to you, ma' am.

Sangeeta Tripathi: Thank you, Vaibhav, and good afternoon to all of you. On behalf of Welspun Enterprises Limited, I welcome you all to the Q3 and the 9 months earnings conference call. Along with me, I have the leadership team of Welspun Enterprise, Mr. Sandeep Garg, Managing Director of Welspun Enterprise Limited; Mr. Saurin Patel, Managing Director of Welspun Michigan Engineers Limited and Head, Integrated Water Vertical.

I also have with me Mr. Abhishek Chaudhary, Chief Executive Officer, Transport Vertical, Welspun Enterprise Limited; Mr. Lalit Jain, CFO of Welspun Enterprise Limited and Mr. Hardik Dhebar, Head, Finance and Investor Relations, Welspun Enterprise Limited a nd CFO, Welspun Michigan Engineers Limited.

I hope you had an opportunity to review the investor presentation that we filed with the exchanges yesterday. The same is also uploaded on the company's website. During the discussions today, we may be making references to this presentation. I would also request you to take a moment to review the safe harbor statement in our presentation.

As usual, we will start the forum with opening remarks by our leadership team and then we will open the floor for your questions. Once the call gets over, should you have any further questions, please feel free to connect with any of us. With that, I hand over the floor to our Managing Director, Mr. Sandeep Garg. Over to you, sir.

Sandeep Garg: Thank you, Sangeeta. Welcome to the Welspun Enterprises Q3 and 9 Mont hs FY '26 Results Conference Call. And thank you for joining us. This is our first interaction in 2026. I wish you all a happy and healthy new year. We are pleased to share that Welspun Enterprises has been

recognized as a Great Place to Work for the second time, underscoring the strength of our culture and our LITE values: learning, innovation, trust & transparency and endurance.

In line with our focus on responsible and sustainable growth, we released our second sustainability report in December, highlighting tangible progress across our ESG priorities. We have been honored with the Sustainable Organization Award 2025 at Sustainability Summit & Awards.

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In addition, our subsidiary, Welspun Michigan received three awards at the Indian Society for Trenchless Technologies for Trenchless Excellence, reinforcing our execution excellence and sustainability-led approach. Abhishek will take you through the key sustainability highlights in his address.

On the business front, I'm happy to state that CRISIL has revised our outlook from stable to positive while reaffirming the long-term rating at CRISIL AA minus and the short-term rating at CRISIL A1 plus. This revision in outlook from stable to positive reflects our strong balance sheet, financial resilience and robust business model.

Abhishek and Saurin, the heads of Transport and Water

business, respectively, will provide a detailed overview of their portfolios. I would like to highlight that currently; we are executing four marquee water projects and are at advanced stage of completing two road projects. We have received the first annuity for NHAI, I stand corrected, first annuity from NHAI for the Aunta - Simaria Road project as scheduled.

Further enabling and facilitating our asset monetization strategy. We expect the same to be completed by Q1 or Q2 of FY '27. Turning to the financial performance. For the nine-month period, our consolidated EBITDA grew 10% year-on-year to INR573 crores. The EBITDA margins expanded from 19.3% to 23.1%, reflecting operational efficiency.

On the balance sheet front, we remain well capitalized with consolidated cash reserves of INR1,400 crores, providing ample liquidity to fund growth while maintaining financial discipline. Lalit Jain, our CFO, will walk you through the financials in more detail. Coming to the order book. The consolidated order book stands currently at approximately INR15,000 crores.

I would like to clarify that the consolidated order book is derived post adjustment for intercompany orders between the parent, WEL and subsidiary WMEL of INR1,059 crores. The order book is inclusive of O&M contracts of approximately INR5,400 crores, delivering stable long-term cash flows. Further, the current order book does not consider the Pune -Shirur BOT project where we emerged L1.

Further, the current order book does not consider the Pune -Shirur Road BOT project where we have emerged L1. I'm sorry, I repeated the statement. Coming to the oil and gas update. Adani Welspun Enterprises Limited has taken a write-off of Kutch Block GKOSN -2009/1, following its offering under the government's DSF -IV bid.

The operator, ONGC for this block had requested for extension of time, which was not finally granted. This has resulted in an AWEL level write-off of INR140 crores with Welspun Enterprises Limited's 35% share amounting to INR49 crores, which has been recognized in our books as an exceptional loss from the associate. This was, in any case, never considered in our business plan for oil and gas.

On the operating front, AWEL currently holds three adjacent offshore oil and gas blocks, namely Mumbai, B -9, and C37, which with a combined gas initially in place GIIP of approximately 1.1 Welspun Enterprises Limited

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Tcf. In line with our stated strategy, we are leveraging existing NOC infrastructure through shared facilities rather than investing in new offshore assets or pipelines.

We are actively engaging with ONGC to utilize their infrastructure, enabling capital efficiency and faster developmental timelines. Coming to the guidance. At the start of the financial year, we had guided that approximately 90% of the FY '26 revenues would be driven by the existing secured order book and around 10% from new orders.

The delay in award for new projects, delay of certain statutory clearances for the existing orders, along with the extended monsoon have impacted our Q3 and nine-month FY '26 revenues. Accordingly, we now expect consolidated revenues for FY '26 to be in the range of INR3,600 crores to INR3,700 crores. However, we remain on track to achieve our full year EBITDA targets.

The Union Budget 2026 provides strong structural support to infrastructure players backed by a sustained public investment cycle and a capital expenditure outlay of INR12.2 lakh crores, representing 9% approximately year-on-year growth. We operate across nearly 40% of the focus areas covered in this outlay, including transport, Jal Jeevan Mission and urban development, translating into an addressable opportunity of approximately INR4.5 lakh crores. Additionally, the proposed Infrastructure Risk Guarantee Fund is a positive structural reform, expected to mitigate development and construction phase risks and enhance private sector

participation in large infrastructure projects. The continued emphasis on connectivity, urban infrastructure and climate resilient assets ensures a healthy and diversified project pipeline across roads, railways, metros, water and energy infrastructure.

This reinforces a healthy pipeline and supports sustained order inflow, cash flow stability and scalable growth for the sector. We at Welspun Enterprises are well positioned to capitalize on these opportunities by leveraging our expertise in water, both in treatment and transmission space, as well as exploring possibilities of collaboration in the product and technology play from a long-term strategy standpoint and complex infrastructure projects.

Anchored in our 3G strategy, growth, governance and green, we will continue to remain focused on disciplined execution and delivering long-term sustainable value. With this, I would like to conclude my opening address and call upon Mr. Saurin Patel, Head Integrated Water vertical, to take you through our Water and Welspun Michigan updates. Over to you, Mr. Saurin.

Saurin Patel: Thank you, Sandeep, and good afternoon, everyone. It is good to reconnect. I will briefly update you on our water business, a segment where we are deploying scale and technology with a clear sense of purpose. Our current water order book stands approximately at INR11,000 crores, of which around INR5,400 crores relates to operations and maintenance. This provides us a strong visibility of stable and recurring cash flows over the coming years.

Before I take you through the progress on our key projects, let me briefly reiterate what Sandeep has already highlighted. Welspun Michigan Engineers Limited is proud to have received three awards at the Indian Society for Trenchless Technology Excellence Awards. They were the best Welspun Enterprises Limited

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tunnel of the year for the Mithi River project, the best professionally managed company and last but not the least, best project execution.

A proud moment indeed. Let me now take you through the progress on our key projects. The Dharavi project, which is 418 MLD sewage treatment plant. Civil works for the SBR & Blower Building are complete. Mechanical erection has commenced. Major equipment deliveries are largely done, and overall progress stands at 60% as of December 31, 2025. This project remains on track for completion by July 2027.

The Bhandup project, a 2,000 MLD water treatment plant. Engineering and excavation are progressing well. The civil contractor has been finalized and deployed. Batching plant setup has been completed, and completion of this project is expected by April 2029.

Panjarapur project, a 910 MLD water treatment plant. Enabling works and basic engineering have commenced. Mobilization advance has been received with revenue expected to start from FY '27 onwards. The EPC value is INR1,685 crores with an O&M component of INR980 crores over 15 years. The UP Jal Jeevan Mission. We have accrued revenues of up to 70% of the contracted value, along with O&M commenced for 33 out of 1,068 schemes. On completion, this will benefit over 2,500 villages.

Dharavi -Ghatkopar Tunnel. As updated by Sandeep, for the Dharavi -Ghatkopar Tunnel, the project clearances have been delayed, resulting in a delayed takeoff for the main execution. Post receiving all pre-project clearances, shaft work for the 150-meter shaft at Ghatkopar is expected to commence shortly.

For Smart Ops. Within two years of launch, five projects are live across India, including Varanasi, Guwahati and Pandharpur. Around five new projects are expected over the next six to eight months.

Coming to Welspun Michigan performance. For the 9 months FY '26, revenues grew by over 30% year-on-year to INR522 crores, and EBITDA grew by approximately 20% to INR111 crores.

We

Welspun Michigan's order book stands at INR2,540 crores, led by tunneling, pumping stations and rehabilitation works. To conclude, our strategic focus on wastewater treatment, large-scale water supply systems and tunneling, positions us well to create sustainable long-term value in a sector that is both critical and most importantly, fast growing. With that, I will now hand over to Abhishek, who will take you through the Transport segment performance in greater detail.

Abhishek Chaudhary: Thank you, Saurin. Good afternoon, and a very happy New Year to everyone. I will take you through the project progress and key milestones in our transport vertical, followed by a brief update on our digital transformation and sustainability initiatives. Starting with Aunta -Simaria Road project in Bihar.

As highlighted by our Managing Director, we have received the first annuity payment from NHAI for this project as scheduled. This milestone enables us to move forward with asset monetization, which we expect to complete in Q1 or Q2 of FY '27. Post monetization,
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approximately INR800 crores of debt, is expected to move off our balance sheet, significantly strengthening our financial position.

Moving to SNRP project. The project is nearly 80% complete. We expect to achieve Provisional Commercial Operation Date one or PCOD -1 by Q4 FY '26 with full completion targeted for Q2 FY '27. On the Varanasi -Aurangabad road project, progress remains steady with completion targeted for Q4 FY '26. While there have been some front availability issues, we are working closely with the client to resolve these challenges and accelerate execution.

Coming to the Pune -Shirur Road project. The project continues to remain under L1 status. The letter of award was delayed due to elections, and we now expect to receive the LOA shortly, likely within this quarter. This is a marquee project for Welspun Enterprises, involving an estimated capital outlay of approximately INR7,300 crores for a 54 -kilometer 6 -lane highway, including around 36 kilometers of elevated corridor.

Now moving to digital transformation initiatives. Let me now briefly touch upon these initiatives, which continue to drive digitalization across our operations. We are leveraging building information modeling to improve quantity estimation, reduce rework and track both physical and financial progress through our Welspun One portal, our business intelligence platform.

In parallel, we have implemented SAP S/4HANA RISE as our enterprise ERP solution. The digitalization of our project management dashboard has enabled process optimization and real -time analytics across various projects. During this quarter, we are also commencing the digitization of our supply chain management function, aligned with a three -year road map to significantly enhance its maturity and performance.

We have also initiated the development of an e -governance solution with a pilot to be launched within this quarter to further strengthen our governance framework. From a technology backbone perspective, we are in the process of migrating towards a unified application framework, which will enhance data security, strengthen controls and accelerate end -to-end process digitization.

Let me now take a few moments to speak about our sustainability initiatives. At Welspun Enterprises, sustainability is integral to the way we operate. We recently released our second sustainability report titled Sustainability Connection, the Unstoppable Journey, and our efforts have been positively rated by CRISIL and Sustainalytics.

Our decarbonization strategy is anchored on three pillars: circularity, resource efficiency and nature conservation. Our ambition is clear to lead the transition through a low -carbon, circular and inclusive infrastructure ecosystem. With that, I would now like to hand over

to Mr. Lalit

Jain, our CFO, who will take you through the detailed financial performance for the quarter and the nine -month period ending 31st December FY '26. Over to you, Lalit.

Lalit Jain: Good afternoon, everyone, and thank you, Abhishek. Thank you all for joining us today. I will briefly walk you through our Q3 and nine -month FY '26 financial performance. Key developments during the period and our outlook going forward. Let me begin with the
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consolidated financial performance for nine -month period. Consolidated income was INR2,480 crores, down 9% year -on-year.

For Q3 FY '26, income stood at INR806 crores, representing a 12% year -on-year decline. This decline was largely timing related. First, we saw delay in statutory clearances from the Dharavi -Ghatkopar Tunnel. This shifted execution from Q3 into Q4. Second, there was extended monsoon. This has impacted both WEL and Welspun Michigan.

Further, there were delay in project awards, including Pune -Shirur Project, where we have been L1 for the past four months and now expect the award by the end of this quarter. Similarly, the Panjrapur project, which was originally planned for Q3 is now expected to commence in Q4 FY

'26. Despite the lower revenue, our operational performance remained resilient.

For the nine -month period, EBITDA grew 10% year -on-year to INR573 crores with margin expanding to 23.1%, an increase of 3.9%. This is a reflection of strong operational efficiency helping us to maintain margin despite decline in revenue. EBITDA for Q3 FY '26 stood at INR174 crores, marginally lower on a year -on-year basis.

However, EBITDA margin improved meaningfully to 21.6%, an expansion of 2%, driven by operational efficiency and cost discipline. Now moving to profitability. On a nine -month basis, PBT before exceptional items increased by 4% year -on-year basis to INR389 crores. PBT before exceptional item for Q3 FY '26 stood at INR109 crores, reflecting a 6% year -on-year decline. During the quarter, we recorded an exceptional loss of INR49 crores related to the write -off of the GKOSN -2009/1 in the Kutch basin. This represents our 35% share of the total write -off at ONG JV level. As a result, reported PAT for Q3 FY '26 stood at INR31 crores. Excluding this onetime exceptional item, PAT would have been INR80 crores, reflecting 4% year -on-year growth.

For nine months FY '26, reported PAT was INR230 crores, while PAT excluding the write -off stood at INR279 crores, representing 12% year -on-year growth. I will now touch upon the stand -alone performance. Stand -alone revenue for nine -month period stood at INR1,866 crores and INR612 crores for the Q3 FY '26, reflecting approximately 14% year -on-year decline.

For nine months FY '26, EBITDA remained broadly flat at INR331 crores, while margin improved to 17.7%, an expansion of 2.44%. Q3 EBITDA on a stand -alone basis was INR91 crores with margin remaining stable at 14.8%. Stand -alone PBT for nine -month period stood at INR285 crores and for Q3 FY '26 is INR73 crores.

Now turning to the balance sheet. Our financial position remains strong and well capitalized. On a stand -alone basis, net worth stands at INR3,113 crores with a healthy cash balance of INR1,273 crores. On a consolidated basis, net worth is INR3,148 crores with a net debt of INR466 crores. During the quarter, we issued INR1.9 crore s warrants at an issue price of INR525 per share aggregating to INR1,000 crores. We have received INR250 crores upfront during the quarter, which has been invested in mutual fund. The balance will be converted over the next 18 months.

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Let me now briefly cover the segmental performance for the nine -month period. Transport contributed INR1,065 crores, which is 44% of total revenue. Water contributes INR76

4 crores,

which is 32% of total revenue. Tunnel ling and rehabilitation contributed INR587 crores, which is 24% of the total revenue.

The tunnel ling and rehabilitation segment delivered 39% year -on-year growth. The Water declined 15%, mainly due to the UP JJM slow progress. The Transport segment declined 19%, impacted by the project completion and award of delay of Pune -Shirur project.

Finally coming to the outlook. Our current order book stands at around INR 15,000 crores.

With the Pune -Shirur project expected to be added shortly, we expect the FY '26 order book to cross INR20,000 crores. This gives us strong visibility and position us well for revenue recovery and sustained long -term growth. With that, I will now hand over the conference to the host.

Moderator: Thank you very much. We will now begin the question and answer session. We take our first question from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, on the stand -alone front, if you look at the EBITDA margins ex of other income, so we have seen some softness in the third quarter. So what do you attribute this to? And how do you see the margins going forward at standalone level?

Sandeep Garg: So the way to look at this, I would say, is to look at the nine -month average. There is a decline in the Q3 slightly softness because of the revenue recognition has been lesser than what is anticipated. And it is also dependent upon the phase of the project that we are executing. So I think at an overall level, I would recommend we look at a larger period rather than purely at quarter -to-quarter.

And we have also not recognized profits on UP JJM project, which is also as a prudent practice, we have decided that we are not going to recognize on profits on this project till the time we see a traction at the government level. I hope I've answered the question.

Vaibhav Shah: Yes. Sir, so, a connected question. So, what would be our outstanding order book in JJM? It is largely from UP, right?

Sandeep Garg: Yes. We are only associated at UP. Our approximate order book is about INR600 crores at this point in time.

Vaibhav Shah: And the outstanding receivables?

Sandeep Garg: Receivables stand at about INR300 crores.

Vaibhav Shah: So once we see some traction, then we will start recognizing the profit and do the execution as well?

Sandeep Garg: We are continuing with the execution, what is required for overall completion of the schemes. However, we will recognize the profits once we see that there is a clarity in the cash flows from the client.

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Vaibhav Shah: Okay. And sir, secondly, what would be our bid pipeline across the verticals? And which are the key segments that we are targeting in the next couple of years? And any diversification that we are looking for in the medium term?

Sandeep Garg: So, in terms of our water vertical, we are focused on treatment and transmission projects. We are not going in for distribution projects, which is not what we want to do. In terms of the pipeline, just to give you an idea, we do see approximately about within these three spaces in water, something like about INR3 lakh crores worth of order in the medium term. So, we expect substantial orders in the sector in the FY '27. Now the other part of the question that you had was, can you repeat the question?

Vaibhav Shah: Any diversification that we are targeting in the medium term beyond water and highways?

Sandeep Garg: I think we will continue with these three segments that we are currently involved in, that is the Water, the Tunneling and in the Transport vertical. So these are the three segments that we will be continuing with. We don't see in the immediate future, anything added at this point in time.

Moderator: We take our next question from the line of Sanjay Shah from KSA Securities.

Sanjay Shah: Sir,

my question was regarding in FY '26, which specific approvals or milestone caused the maximum execution delay? And how those issues has now been largely resolved more comes from after this BMC election. My second question, should I complete my question? Three questions for you?

Sandeep Garg: I suggest we put short questions, so it will be easier for us to answer. So the first question that you have is what contributed to the maximum impact? The quantification may be a bit difficult for us, but we can definitely say that the ex monsoon has impacted us in a big way, both across Welspun Enterprises as well as across Welspun Michigan, so which is what I would first call out.

In terms of our other thing is obviously that Pune -Shirur getting delayed, wherein we had planned for certain activities during the initial phases is impacting us. To a certain extent, some, I would want to qualify that not only the statutory delays, but local disturbances on certain projects, which we had planned that we will start have contributed to the recognition in Q3 being below what we would have anticipated is my answer to your question. I hope I've answered your question.

Sanjay Shah: Yes. So continuing that, sir, order book is strong, but revenue has been soft due to timing, I understand. But from a normalized execution perspective, what should investors assume as a steady state of annual execution run rate over the next two, three years?

Sandeep Garg: I think the current situation is an aberration because a few of our projects, as Abhishek mentioned, are nearing or completed in transport. So this is an aberration in the overall growth of the company. However, in a steady state, we do believe that we, as we had earlier also guided that we will grow at about 15%. Now that FY '26 is not expected to meet its target and there is a spillover of the revenue, the lower base as well as accumulation of these orders, I think that the FY '27 may grow upward or close to about 20%.

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Sanjay Shah: Sir, my second question was to Mr. Saurin sir. Sir, do you see WMEL becoming a strategic moat that helps WMEL in larger integrated Water plus Tunneling contracts?

Sandeep Garg: If you would, I will take this question from Saurin. Yes, we do see Welspun Michigan becoming a strategic part of tunneling growth. That is for sure. Water also, as he is heading you integrated water, the synergies should pan out as we move forward.

Sanjay Shah: Sir, I'll squeeze one more. I have many, but I'll complete it one more. Sir, at OEM order book is now at INR5,400 crores. Can you help us to understand the annual revenue and EBITDA contribution expected from O&M over the next three, five years?

Sandeep Garg: Okay. So see, the INR5,400 crores is constituting about INR2,300 crores from the Dharavi, which should get on stream, as Saurin said in 2027, O&M is over a period of 15 years. So should contribute something like about INR200-odd crores a year with an EBITDA margins similar as our main business.

Now I would want to clarify very clearly that O&M as a vertical, we have not operated for a long-term at a large scale. So this is an anticipation at this point in time. As we get into the O&M

over a year or two, we would have much more clarity as to how the O&M piece should be positioned for investors to understand.

What it definitely brings out clearly to us is that it gives a revenue and a profitability visibility over a long-term rather than short-term, which is on design and build portion. So that's something which to us creates a lot of visibility of sustained EBITDA margins and sustained profits. I hope I have answered your question.

Sanjay Shah: Yes, sir. I have a few questions I'll come in queue for more.

Moderator: We'll take our next question from the line of Sailesh Raja from B&K Securities.

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Sailesh Raja: Sir, you have reduced the revenue guidance from INR4,000 crores to INR3,600 crores, INR3,700 crores. So the ask rate for this fourth quarter, that comes to roughly around INR1,200 crores, so which is around 50% jump over 3Q. So what gives us confidence that to achieve this sharp revenue growth in 4Q FY '26? And also, you mentioned about some disturbance happened in continuing the project. So can you please address this when this happened? And if the issue is fully resolved. So how do you see this 4Q achieving INR1,200 crores?

Sandeep Garg: So first question, we would have been, when we were revising downwards, we were very careful about what is achievable. So the question is, are we reasonably confident about the INR1,200 crores? We do believe that we are very confident about it. And as Abhishek also referenced in his opening statement, a few of the projects are getting completed. So the complete recognition of revenue should take place. So there is a finality to that level.

Now coming to the disturbance, the disturbance were primarily, we had the approval for starting our DGT project at Dharavi, which we had said that we will start. But because of local disturbances, we could not do it, and there was a sensitivity because there were local elections, etcetera, at that point in time.

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So it became a question of what we could do in the given set of circumstances and hence, the deferment of some of the activities on that DGT took place. Now we do have the clearance on the starting of the work in Ghatkopar on DGT in from the CRZ, there is a formal approval or a process-related approval pending. However, we are reasonably confident that we can start the work on DGT in this quarter on both the ends. So we are reasonably confident that there is nothing residual in starting the DGT work going forward. I hope I've answered all the questions that you have.

Sailesh Raja: Yes, yes. Yes, it is clear, sir. But sir, in this INR1,200 crores, can you give a breakup of Water and Tunneling and Transportation business?

Sandeep Garg: I would request if it were not a problem to connect with my team or our CFO to take that.

Sailesh Raja: Yes, sure, sir. Sir, my second question is specific to WMEL. The press release mentioned that there was a delay in statutory clearances of DGT project. To best of my knowledge, if you see in last 1 year, there was no mention of the pending statutory clearances in DGT projects. So, this announcement was a complete surprise for me?

So, can you please give us clarity? And also now you are saying about the local disturbances and we met in the investor conference in November month. So, there was no discussion. Is it happened after that? So, can you please give more clarity on this? And also, is there any more approvals pending to start this project, DGT?

Sandeep Garg: So, I'll take this question for, on behalf of Saurin. So, we had started our work at, on the DGT at Dharavi end, which is, as you know, it's from our own site location, which is for the Dharavi Sewage Treatment Plant. We anticipated no issues. However, because we have to dig to about 150 meters deep, the locals had certain observations, which due to the elections, the authorities decided not to intervene at that stage, but I think the intervention is now taking place. So that front is now.

Sailesh Raja: So, when the disturbance has happened, sir?

Sandeep Garg: So it was about middle or end of November when we started the work.

Sailesh Raja: Okay.

Sandeep Garg: So that's something which we couldn't have anticipated that because it is our own site, and we are working there for Sewage treatment plant, there was no expected challenge from locals, but there was an unexpected move. And due to the situation in the state, the state chose not to intervene at that point in time.

Sailesh Raja:

Okay. I remember even in last year in FY '25, there is a revenue recognition from DGT project.

So now we are seeing now only we got the statutory approval. So I just wanted to know the breakup of the INR695 crores revenue that we have booked last year. So this is one of the major projects?

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Sandeep Garg: So, there are two things that we do in a project. So, there are preparatory expenses and engineering expenses, there are a lot of machines that we kind of mobilize, et cetera, et cetera. So, there are pre-project execution expenses that get incurred in most of the projects. So, the question is when you start, the majority of the work starts once you are able to actually unlock the major work, and the unlocking of major work is to create a shaft and then go ahead with the tunnel lining and lining of the tunnel lining. And that is the phase that we got hit at.

Sailesh Raja: Okay. Sir, just one last question, sir. You mentioned that next year, we are expecting around 20% growth. So that is around incrementally, we are expecting around INR800 crores revenue, right, sir? And if I go segment-wise, for example, if you take road project, Aunta-Simaria next year, there will not be any revenue contribution?

And SNRP and Varanasi, we are expecting, I think the pending revenue would be around, say, INR350 crores, INR400 crores next year. Then how much we are expecting from this Pune-Shirur project? And when we expect the commissioning of this Pune-Shirur project, that is one? And second is that, so the WMEL, how much revenue that we are expecting next year and also Water. Water also, if you see DGT is roughly around INR400 crores. So, balance INR2,000 crores, INR2,500 crores, I'm not able to connect the dots actually. Could you please help in understanding so?

Sandeep Garg: These are very detailed question. Can I request you, Mr. Raja, to intervene and come and have a discussion with the operating team so that they can do justice to your question.

Sailesh Raja: Yes, sure sir. Okay sir.

Moderator: We'll take our next question from the line of Sarvesh Gupta from Maximal Capital. Sarvesh your line is unmuted please go ahead with your question.

Sarvesh Gupta: Yes. So, good afternoon sir and thank you for giving the opportunity. So sir, first question is on the overall EBITDA margins. I think this year, despite getting lower revenues, we have gotten better EBITDA margins. So here, some of the projects in the road, as you mentioned, were in the later stages also?

But let's say, going forward, in a steady state, how should we look at the overall EBITDA margins? And also considering that the mix of the business has changed a lot in favor of Water and Tunnel lining. So if you can help us with steady-state margins in all the 3 segments and hence, at the company overall, that would be very helpful?

Sandeep Garg: Thank you. I think as we say, I have maintained that earlier also, and I will repeat myself, the way the company operates and its accounting is a conservative accounting. We maintain certain contingencies on the project and depending upon the phase of the project and the de-risking of those issues for which we provide for the contingencies, we release those contingencies at an appropriate time.

And that is because projects are getting closer to the completion of the 2 of the road projects. Those contingencies are getting released or the project if there is something which is a specific

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risk that we see that risk is mitigated, we release those contingencies. So, you will see certain changes as the project evolves from the base profitability that we guide depending upon how the contingencies are consumed or released.

So that is something which is normal. As I have always maintained, we would want to definitely

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ay with the macro level guideline of about 18% or 19% EBITDA on a long-term basis.

Currently, we are chugging at about 23% or there around at a consolidated level. And we foresee that this to continue in the same bracket for at least this year, somewhere close to that.

However, long-term guidance because that's something which is very difficult given the product mix and the project mix that we will have, we would maintain with 18%, 19% EBITDA. Talking about segmental profitability, obviously, tunnel lining based on the phase of the tunnel lining that it goes, it should, it gives us a very good and so does the water and specialized transport projects. It is the run-of-the-mill transfer projects, which may not be able to give better EBITDA over what we have guided.

Sarvesh Gupta: Okay. And sir, on this new Pune-Shirur project, how much of execution can we do in FY '27?

Sandeep Garg: So we would definitely come back to you once this is awarded. But given that we are anticipating this award this year, I would definitely believe that anything between INR500 crores to INR600 crores, we should be able to execute in the next financial year, depending upon if this is awarded in this financial year in an appropriate time. And there are, as we say, no surprises when we hit

the ground.

Moderator: We'll take our next question from the line of Apeksha Bajaj from AV Fincorp.

Apeksha Bajaj: All my questions have been answered.

Moderator: Thank you. The next question is from Riddhesh Gandhi. Please go ahead.

Riddhesh Gandhi: Sir, the economics was talking about INR3.2 lakh crore's opportunity in treating of water over the 20 years or so. How do you guys look at this opportunity? And how are we placed who are we competing with and how do we like sort of value?

Sandeep Garg: So the treatment business will be spread over the large volume as well as the distributed treatment facilities. In the large play, we are associating ourselves with the big players like Xylem and Veolia to address that large-scale market. On the distributed network, as we have talked about, we have a technology, which we have taken rights for the complete India as Smart Ops, which should help us address this distributed treatment space.

In past also, I have addressed that we are looking at not only the contracting or EPC projects, but we are also looking from a technology point of view, and that's something which we believe we are currently very aggressively looking at the Smart Ops and then an associated technologies so that it gives us an edge on the treatment space that we believe will get unlocked in India in a large way.

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Riddhesh Gandhi: And just to understand from a technology angle, who are the other players who you think could ultimately play in this? Are there a lot of international players? And how are we positioning ourselves? And has this tendering for all of this already started? Or it's still early days for this opportunity?

Sandeep Garg: Obviously, the traction on the treatment has started coming in. The big boys, as I said, Veolia, Xylem, local level VA Tech, etc etc. So, there are a number of players in terms of technology that have the capability of depending upon what is the size. And because this is a very detailed question and also involves strategic placement that the company would want to make, I would request that this question be taken separately.

Riddhesh Gandhi: And just last question is with regards to this quarter, we should just be like looking at it as an aberration where some amount of deferred revenue recognition is actually deferred as opposed to anything really actually structural in any way?

Sandeep Garg: Yes. It's just an aberration at this point in time. It's just purely and purely look, three things coming and hitting us simultaneously. So that's something which is not a no

rmal business

scenario. You can cater for one or two things going up or down, but three things simultaneously is an aberration in any case.

Moderator: We'll take our next question from the line of Radha Agarwalla from B&K Securities.

Radha Agarwalla: Sir in the Aunta-Simaria project, I wanted to understand how much annuity was received and what are the payment schedules? And consequently, is this asset getting bigger? If yes, then is it at or above the past valuations of 1.5 price to book?

Lalit Jain: We have received INR72 crores as annuity. With respect to valuation, we are in process, and we'll come back to you on right valuation.

Sandeep Garg: So let me add to what's been stated by Lalit. To answer your question, do we anticipate our equity returns to be 1.5x the equity invested? The answer is we expect better results. However, if the process is on, once the process gets completed, we will definitely share the specific details.

Radha Agarwalla: Secondly, regarding the oil and gas blocks. Earlier, there were two blocks in Palej and other in Assam that have been written off for INR200 crores from the books of SUV as there was no oil and gas finding. So in FY '25, after considering these write-offs, the book value was INR300 crores of oil and gas. How much further write-off are you expecting in this segment?

Sandeep Garg: Interesting one. Let me assure you rather the only three blocks that we have been talking about in the past have been the Mumbai block, the B-9 block and now C37. For at least the last nine months, I have not talked about this GK block. This was never being considered in our business plan, what we were speaking to you, and we continue to speak. This block was not being run by us. We were not the leaders.

ONGC were the operators. So operators have certain responsibilities and authorities. So we have decided not to consider it into our business plan. So whatever business plans that I've shared with you to the extent shared, remain unchanged. Now we are in aggressive, as I said in my Welspun Enterprises Limited

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opening statement, we are in active discussions with ONGC or other agencies at the state, at the

center level to optimize the infrastructure available so that the production can take place at the earliest at the lowest cost.

Those things should get crystallized in a month or so or two months. So where and then we will be in a position to share more details because then the field development plans can be finalized and the economics be worked out. So I think I will request you to wait for a couple of months more before we can start sharing certain details on oil and gas. And I can assure you, there are no further write-offs that we anticipate in any of these three blocks, which are the business blocks for us.

Radha Agarwalla: Sir, this INR48 crores write-off is covered in the INR300 crores that we have recorded in the books?

Sandeep Garg: Sorry. Can you repeat?

Radha Agarwalla: The INR48 crores write-off in this quarter, was this amount considered in the INR300 crores that was there in the assets?

Lalit Jain: No. Basically, we have considered it in this year's financials. So fair value, we will do in the March '26 quarter that will reflect in our March 26 balance sheet.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you.

Sandeep Garg: Thank you. I thank all of you for joining us today. To sum up, I would like to reiterate that we remain committed to creating long-term value for our stakeholders with a continued focus on improving return on equity and return on capital employed. We hope we have addressed all your queries. Should you have any further questions or feedback, please feel free to reach out to our CFO or the Investor Relations team. Thank you,

and good day.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

WEL/SEC/2026 May 21, 2026

To,
BSE Limited
Corporate Relationship Department,
2nd Floor, New Trading Wing, Rotunda
Building, P.J. Towers, Dalal Street,
Mumbai – 400 001.
Scrip Code: 532553 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C -1,
Block -G, Bandra -Kurla Complex,
Bandra (East),
Mumbai – 400 051.
NSE Symbol: WELENT

Dear Madam/Sir,
Subject: Intimation under Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI Listing Regulations): Transcript of the Earnings Call

Pursuant to Regulation 30(6) of the SEBI Listing Regulations, the transcript for the Earnings Call held on Friday, May 15, 2026, on the Audited Financial Results of the Company, for the quarter and year ended on March 31, 2026, has been uploaded on the Company's website and can be accessed through the following link: -

https://www.welspunenterprises.com/admin/uploads/investordata/financialresults/fr_1779349708.pdf

You are requested to take the above information on record.
Thanking you, For Welspun Enterprises Limited

Nidhi Tanna
Company Secretary
ACS -30465

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"Welspun Enterprises Limited
Q4 FY26 Earnings Conference Call "
May 15, 2026

MANAGEMENT : MR. SANDEEP GARG – MANAGING DIRECTOR –
WELSPUN ENTERPRISES LIMITED
MR. SAURIN PATEL – MANAGING DIRECTOR –
WELSPUN MICHIGAN ENGINEERS LIMITED AND HEAD,
INTEGRATED WATER VERTICALS
MR. ABHISHEK CHAUDHARY – CHIEF EXECUTIVE
OFFICER (TRANSPORT) – WELSPUN ENTERPRISES
LIMITED
MR. HARDIK DHEBAR – PRESIDENT , FINANCE –
WELSPUN ENTERPRISES LIMITED AND CHIEF
FINANCIAL OFFICER – WELSPUN MICHIGAN
ENGINEERS LIMITED
MR. LALIT JAIN – CHIEF FINANCIAL OFFICER –
WELSPUN ENTERPRISES LIMITED

MODERATOR MR. SAILESH RAJA – 360 ONE CAPITAL MARKETS
PRIVATE LIMITED

Welspun Enterprises Limited
May 15, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Welspun Enterprises Limited Q4 FY26 Earnings Conference Call hosted by 360 One Capital Markets Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sailesh Raja from 360 One Capital Markets Private Limited. Thank you, and over to you, sir.

Sailesh Raja: Good afternoon, everyone, and thank you for joining Welspun Enterprises Limited Q4 and FY26 Earnings Conference Call. I would now like to invite Mr. Hardik from Welspun to introduce the management team members who have joined us on this call, following which we will begin the Q&A session. Yes. Over to you, Mr. Hardik.

Hardik Dhebar: Good afternoon, everyone. This is Hardik Dhebar here. I'm President, Finance at Welspun Enterprise and CFO, Welspun Michigan Engineers Limited. First of all, thank you, everyone, for taking the time out today and joining us on this quarterly and annual call. It's pleasing to say that we have had a good quarter and overall a good year to begin with.

And to take you through the journey of FY26, I have the entire senior management of Welspun Enterprise headed by Mr. Sandeep Garg, who is the Managing Director; Mr. Saurin Patel, who heads the Integrated Water Vertical and is the Managing Director at Welspun Michigan; Mr. Abhishek Chaudhary, CEO of the Transport business and looks at digitalization and other initiatives for Welspun Enterprise; and my colleague, Mr. Lalit Jain, the Chief Financial Officer at Welspun Enterprise.

With this, I hand over the platform to Mr. Sandeep Garg to make his opening remarks and take you through the journey of Welspun Enterprise in FY26.

Sandeep Garg: Thank you, Hardik. Good afternoon, everyone, and thank you for joining us today. It is a pleasure to connect with you again and share our progress for Q4 and FY26. Before I start my address, I would want to say that during the address, we may be making some forward-looking statements. Please note our Safe Harbor clause in respect of the same.

I'm pleased to share that your company has received a Letter of Award for the Pune Shirur Elevated Road project. With a total project cost of approximately INR7,300 crores while our Transportation CEO, Mr. Abhishek Chaudhary, will discuss the project in greater detail during his address, I would like to highlight that this win represents an important milestone for us. It not only strengthens our presence in the road infrastructure segment, but also reaffirms our ability to secure and execute large, technically complex projects along with building a diversified and high-quality infrastructure portfolio.

With the award of this project, along with the addition of Panjarpur water treatment project, we have added over INR10,000 crores to our order book during the year, which is in line with the Welspun Enterprises Limited

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guidance given at the beginning of FY26. As a result, our consolidated order book now stands at approximately INR20,000 crores, providing a steady revenue visibility ahead.

Coming to our financial performance, we delivered a healthy performance during the quarter. Consolidated revenue grew at 14% year-on-year to INR1,199 crores. Our consolidated EBITDA grew at 31% year-on-year to INR272 crores on account of a disciplined execution and focus on operational efficiency.

For FY26, consolidated revenue stood at INR3,615 crores, in line with our revenue guidance of INR3,600 crores. EBITDA grew 16% year-on-year, while EBITDA ma

rgins for the year stood

at 23%, exceeding our guided range of 18% to 20%. Our balance sheet continues to remain strong with consolidated cash of approximately INR1,700 crores.

This gives us the ability to pursue growth opportunities while staying prudent on capital allocation. Mr. Lalit Jain, our CFO, will shortly present a detailed overview of our financial performance. For FY26, WMEL reported a revenue of INR874 crores, registering a robust 31% growth over the previous year with a stable 21% EBITDA margin.

The performance across both the quarter and the full year was driven by strong execution momentum and sustained progress across key verticals. Mr. Saurin Patel, Managing Director of WMEL and Head of Integrated Water Vertical, will share further insights regarding the subsidiaries performance and broader developments across Water Infrastructure business during his address.

I'm pleased to share that along with our business growth, we have continued to strengthen our

organizational culture and governance framework. During the FY26, we took meaningful steps towards building a stronger performance -driven organization through enhanced accountability and focused performance management practices.

These efforts led to a 4% year -on-year reduction in attrition. We continue to invest in talent development, succession planning and leadership readiness, further improving organizational agility and developing bench strength. Our diversity ratio also improved from 6.3% in FY25 to 7.9% in FY26.

All these efforts have been recognized externally with the company being certified as a Great Place to Work for the second time, reflecting the strength of our culture and our core LITE values, learning, innovation, trust and transparency , and endurance.

I would also like to briefly highlight the recognitions received by the company. Welspun Enterprises Limited and Welspun Michigan Engineers Limited continue to be acknowledged for their consistent performance, strong execution capabilities and adherence to quality standards. Amongst others, some of the notable awards include Best Construction Methodology of the Year Award at the Build India Awards for the Aunta Simaria Road Project, Bridge over Ganga River. Innovative Climate Action Awards at India Climate Samman 2026 by Carbon Markets Association of India. Best Tunneler of Year by Indian Institute of Trenchless Technology for Welspun Enterprises Limited
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Trenchless Excellence Awards. Best Leadership in HSE Excellence for Welspun Michigan as a company.

These recognitions further motivate us to enhance our operational efficiencies, take more challenges and improve upon our own standards.

Coming to the outlook, backed by the consolidated order book of approximately INR20,000 crores, a strong bid pipeline and our disciplined approach towards risk management, capital allocation and returns, we remain well positioned to deliver our medium -term revenue targets. Prolonged disturbances in geopolitical situations and disruptions in global supply chain could create certain near -term cost and execution challenges, we remain confident in the resilience of our business model and execution capabilities.

With this, I would like to conclude my opening remarks and invite Saurin Patel, Head, Integrated Water Vertical and MD of Welspun Michigan to take you through the Water business and Welspun Michigan Engineers Limited updates. Over to you, Saurin.

Saurin Patel: Thank you, Sandeep, and good afternoon, everyone. It's a pleasure to interact once again with you. As always, I will take you through the key developments in our water business, project updates, financial performance of our subsidiary and the outlook for the business.

At the outset, it gives me pleasure to state that in less than a decade, our water business has evolved into a meaningful and value -accretive vertical for

Welspun Enterprise, backed by scale, execution capability and improving visibility of long -term revenues. We are currently executing multiple EPC projects of varying diversity and complexity.

Starting with the Dharavi Wastewater treatment facility, 418 MLD, a first of its kind multilevel plant designed to address urban space constraints. This project is progressing well with physical completion of around 65%. It was recently reviewed by the newly appointed BMC Commissioner in April, which reflects the importance and scale of the project. We are targeting commissioning by July 2027, followed by a 15 -year O&M phase , providing long -term revenue visibility.

On the UP Jal Jeevan Mission projects, we have achieved progress of approximately 80% and expect the completion in FY27. At the Bhandup 2,000 MLD water treatment plant, excavation works are currently in progress. The civil contractor has been fully mobilized and has commenced PCC and rock anchoring works. The overall project progress stands at approximately 20%, and the project remains on schedule for completion by June 2029.

The recently awarded Panjarpur 910 MLD water treatment plant is in the early stages of execution. Mobilization is underway advances have been received. Key preclearances are in progress and initial billing has already commenced this quarter.

On the Dharavi Ghatkopar tunnel project, we are awaiting the final high court clearance, post which the shaft work is likely to commence.

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We are currently executing 3 segmental tunnel boring machine projects in Mumbai targeted for completion in FY27.

In the rehabilitation segment, the use of innovative geopolymer lining technology for 17 kilometers of Mumbai storm water drains is progressing well and remains on track for completion in FY27. In Vadodara, the 2.5 kilometer glass reinforced polymer line mega trunk drain project is being completed nearly a year ahead of schedule aimed at mitigating severe water flooding in the areas affected.

On SmartOps, our wastewater initiative, within just 24 months of launching it, we have successfully delivered several notable projects focused on the cleaning of lakes, rivers and kunds and are currently executing 2 sewage treatment plants, one in Matura and the other in Odisha.

Let me now turn to the financial performance of the subsidiary, Welspun Michigan Engineers Limited. WMEL delivered a well-rounded performance both for the quarter and for the full year. For quarter 4 FY26, revenue grew 33% year-on-year to INR351 crores compared to INR265 crores in the corresponding quarter last year. EBITDA increased 45% year-on-year to INR74 crores from INR51 crores in quarter 4 of FY26.

Consequently, EBITDA margins expanded by about 200 basis points to 21 % in quarter 4 FY26 compared to 19% in quarter 4 FY25. On a full year basis, revenue grew 31% year-on-year to INR874 crores in FY26 compared to INR668 crores in FY25.

EBITDA increased 29% year-on-year to INR185 crores from INR144 crores in FY25, while EBITDA margins remained resilient at 21%. In terms of revenue composition, rehabilitation projects have seen strong traction and now contribute approximately 28% of FY26 revenues. Improving from 17% in FY25. Going forward, WMEL will continue to focus on 3 key segments: tunnels, rehabilitation and pumping projects, each offering a strong pipeline and scalable opportunities. It is targeting a CAGR growth of over 25% over the next 3 years. On the overall water business, our order book, including tunnels and O&Ms, stands at around INR14,000 crores, providing a strong multiyear revenue visibility.

Supported by a robust bid pipeline across water and wastewater treatment, large-scale water supply systems and tunneling, we remain, as Welspun Enterprises, well positioned to capitalize on the sector's expanding opportunities and drive

sustainable long-term value creation.

With that, I will now hand over to Abhishek, who will take you through the Transport segment performance in greater detail.

Abhishek Chaudhary: Thank you, Saurin, and good afternoon, everyone. We appreciate your continued participation and interest in our company. As always, I'll briefly take you through the progress across our transportation portfolio, key project milestones and subsequently provide an update on our digital transformation initiatives. Let me begin with our transportation portfolio. Execution across our projects remains stable, reflecting our continued focus on disciplined delivery and operational efficiency.

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For the Aunta-Simaria project in Bihar, we have received the first annuity payment and in line with our disciplined capital recycling and asset-light strategy, we are in advanced stages of monetizing this asset. This is expected to further strengthen our balance sheet and enhance capital efficiency.

With respect to Varanasi Aurangabad Road Project, progress remains steady with project completion targeted for Q1 FY27.

Execution on the SNRP project in the state of Tamil Nadu and Puducherry is also progressing well and is expected to be completed in Q2 FY27.

As communicated earlier, we have received the letter of award for Pune-Shirur Elevated Road project. The project involves the development of a 6-lane partially elevated highway corridor on National Highway 753F covering the Pune to Shirur stretch in Maharashtra, spanning approximately 53.4 kilometers, including nearly 36 kilometers of elevated corridor. The project reflects both the scale and technical complexity that align well with our core execution capabilities, which was earlier demonstrated through projects like Aunta-Simaria.

The Pune-Shirur project will be executed under design, build, finance, operate and transfer, which is DBFOT model with a total project cost of approximately INR7,300 crores. The concession period is 29 years which comprises of 4 years of construction, followed by 25 years of tolling rights.

Strategically, this project strengthens our transportation portfolio and deepens our presence in one of Maharashtra's fastest-growing infrastructure corridor. The project further strengthens long-term revenue visibility while reinforcing our position in complex transportation infrastructure.

The project is expected to enhance connectivity across key urban and industrial hubs, including Wagholi, Lonikand, Ranjangaon and Shikrapur by easing congestion, reducing travel time between Pune and Shirur and thus improving freight movement efficiencies. Over the long term,

the corridor is expected to support industrial growth, improve logistic efficiency, reduce transportation costs and create enormous employment opportunity, aligning well within our strategy of developing infrastructure assets that deliver sustainable economic and social value. With this addition, our transportation order book stands at approximately INR6,000 crores, including the EPC value of Pune -Shirur, providing healthy execution visibility over the medium term. Going forward, within the transportation vertical, we will continue to focus selectively on technically complex road projects, elevated corridors, tunnels and projects under EPC and BOT models, where our execution and engineering capability provide a clear competitive advantage. Overall, we remain focused on disciplined execution, timely monetization, prudent capital allocation and strengthening the quality and visibility of our transportation infrastructure portfolio.

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Let me now briefly touch upon our digital transformation initiative. Digital transformation is increasingly becoming an integral part of our operations across all business verticals,

namely

transportation, water, tunneling.

These initiatives span the entire project life cycle as well as the key support functions with the objective of building a future-ready and operationally agile organization. Our focus is on leveraging technology to improve execution efficiencies, strengthen governance, enhance productivity and build scalable operational capabilities.

Key initiatives include the implementation of 3D, 4D, 5D building information modeling for our Dharavi sewage treatment plant and Bhandup Water Treatment projects, which will also be replicated for the newly won Panjarpur Water Treatment project and Pune Shirur. We have launched an RFI application at the Bhandup site to enable real-time reporting and monitoring of the project progress.

As communicated earlier, we have also successfully migrated to S/4HANA, creating a strong and more integrated digital backbone for the organization. In addition, we recently rolled out an e-governance platform to promote paperless operations, expedite approvals and create a centralized digital repository of records and documentation.

We are also developing AI-driven tools for quality management, safety monitoring and real-time execution tracking at the project sites. Further, we are working on an AI-enabled platform for the operation, management and maintenance of tunnel boring machines to improve our operational productivity and efficiency.

Over the coming phases, we will migrate towards a unified enterprise architecture where all applications will be hosted on a single integrated platform, enabling improved data visibility and process efficiency across the organization. At the same time, our supply chain ecosystem is being digitized to strengthen processes, accelerate procurement cycle, improve supplier management and enhance overall efficiencies. Overall, these initiatives are helping us build stronger execution capabilities, improving efficiencies and create a scalable platform for long-term sustainable growth.

With that, I would now like to hand it over to Mr. Lalit Jain, our Chief Financial Officer. Over to you, Lalit.

Lalit Jain: Thank you, Abhishek. Good afternoon, everyone, and thank you for joining us today. I will briefly walk you through our financial performance for Q4 and FY26, along with some key business highlights. Starting with Q4 FY26, we reported consolidated revenue of INR1,199 crores, reflecting a healthy year-on-year growth of 14%, driven by strong execution across our projects. Consolidated EBITDA for the quarter grew by 31% year-on-year to INR272 crores compared to INR207 crores in Q4 FY25. The improvement was supported by better operating efficiencies and continued cost optimization initiatives. Consequently, EBITDA margin expanded to 22% during the quarter compared to 19.3% in the corresponding period last year. Profit after tax for Q4 FY26 stood at INR163 crores, registering a strong growth of 54% year-on-year.

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Now moving to full year performance. I am pleased to share that we achieved our revenue guidance for FY26. Against our guidance of INR3,600 crores, we delivered revenue of INR3,615 crores, aided by strong execution during the fourth quarter.

While overall revenue declined marginally by 2% year-on-year, profit improved meaningfully during the year. Consolidated EBITDA increased by 16% year-on-year to INR845 crores, while EBITDA margin expanded by 350 basis points to 23%. This improvement reflects our continued

focus on execution, efficiency, better project mix and disciplined cost management. Profit after tax for financial year '26 increased by 11% on a year-on-year basis to INR393 crores. Now coming to segmental performance. The Tunnelling and Rehabilitation segment revenue delivered strong growth of 37% year-on-year, supported by healthy execution momentum and improved project

mix.

The Water segment revenue witnessed a marginal decline by 3%, primarily due to slower execution in the UPJIM project. Revenue from the Transportation segment declined by 17% year-on-year, mainly on account of project completion and delay in the awarding of Pune Shirur project.

Now turning to the balance sheet. We continue to maintain a strong financial position, supported by robust order book of approximately INR20,000 crores and a healthy balance sheet. As of 31st March 2026, our net worth stood at INR3,261 crores. We also maintained a strong cash balance of INR1,728 crores with net debt remaining low at INR43 crores.

During the year, CRISIL revised our outlook from stable to positive by reaffirming our long-term rating of CRISIL AA - and short-term rating of CRISIL A1+. Additionally ICRA assigned an AA rating for the incremental working capital limit of INR400 crores, further validating the strength of our financial profile. Going ahead with a strong order book, healthy liquidity position and continued focus on disciplined execution, we remain confident of delivering sustainable growth and long-term value creation.

With that, I would now like to hand over the call back to the host. Thank you.

Moderator: Your first question comes from the line of Sanjay Shah from KSA Securities.

Sanjay Shah: Sincerely appreciate the opening remarks from all the division head and very helpful. Sir, very helpful. So my question was regarding Pune Shirur. Can you highlight upon the expected project IRR, equity commitment, monetization time line, tolling economics, etc?

Sandeep Garg: It's a very detailed question. Thank you for the interest in the company and really appreciate that. As Abhishek addressed, the time lines for the project is 4 years of construction and 25 years of tolling thereafter.

Now coming to the equity IRR, we -- as we have always planned for equity IRR upwards of 18% as a basic governance, we are targeting similar returns on this project. For a detailed conversation, I would request you to get in touch with our team, the IR team or the CFO for them to take you through every detail.

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Sanjay Shah: Sure, sir. My next question is regarding, can management share the expected monetization time line for Aunta -Simaria, SNRP and future BOT projects?

Sandeep Garg: So as an asset-light model principle, we are targeting to monetize the Aunta -Simaria project for which we have received the first annuity within H1 FY27, subject to getting the right valuation for it. We will be targeting to similarly monetize the SNRP or Sattanathapuram -Nagapattinam Road project once it is complete and we have received the first annuity. So it may go into the FY28.

As a principle, we stay committed to asset monetization at an appropriate time so that we can create value for the stakeholders at the right value as well as turn the equity quickly for future growth.

Sanjay Shah: Fine. Sir, my last question was on Smart Ops. How do management see revenue potential, margin profile, scalability over the next 3 to 5 years?

Sandeep Garg: We are very positive about the Smart Ops. We are taking strides to establish the technology in all spheres that it can deliver value. We have already established it in the space of Kund and water body cleaning, retrofit of the STPs is currently in progress as well as establishing it on a flowing drain.

So this is where we are currently focusing. The next focus will move into the industrial space as well as stand-alone sewage treated plants of a particular size and scale. We believe that it's a very good technology to support a quick deployment of treating the wastewater and it is practically small footprint and quick deployment technology. So we believe that there are multiple usages of the technology, which should unfold going forward in the next couple of years.

Moderator: The next question comes from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: So, sir, first question is on the revenue outlook for FY27. So, if we look in the last 4 years of our company, we had like 2, 2 years where the revenues broadly remained similar and then we had a step-up jump. So, while you have a medium-term guidance of 15% to 20%, but given that this year, we did not grow our revenue as such, so we can we expect 25% to 30% growth in FY27.

Sandeep Garg: So our guidance will stay to the range of 15%, 20% as we have always maintained and we will continue to maintain. We shall target higher growth for sure. But given the headwinds that we are facing in terms of supply chain disruptions as well as in terms of the labor situation, given the various challenges, I would not want to give any guidance beyond the range that we have already specified.

Sarvesh Gupta: Okay. Secondly, sir, on the fundraising proposal, which was mentioned in the results release, so now we recently raised INR500 crores and for, I think, qualifying for the adjusted net worth etc. So now this INR1,000 crore s fundraise has been announced.

So given that we already have a very cash -rich balance sheet and then there is a lot of monetization we are targeting. So somehow it looks like these constant fundraises are creating
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a very lopsided balance sheet with a lot of cash and very little debt. So how do we look about on this particular point?

Sandeep Garg: Thank you for raising this question. Let me clarify, first of all. This is just an enabling approval. As of now, I can clarify, there is no proposal to raise this fund as we see the normal business unfold. This is more to prepare the business for any opportunity that may come in and which may need liquidity over and above what is currently forecasted.

You are absolutely right, and I would want to correct that we have a preferential warrants of INR1,000 crores, out of which INR250 crores has been received. We are in a position to call up for INR750 crores over a period of 18 months from the start of the warrant period. So we have that liquidity, and we do have assets to liquidate in terms of the A unita-Simaria, we have 51% of Mukarba Chowk -Panipat, and we hopefully will complete the project of Sattanathapuram - Nagapattinam in this financial year, which should be available for the next year.

So right now, in a normal business scenario, we do not anticipate any further fundraise. This is purely an enabling resolution, which is from a point of view of preparing the organization should the opportunities be larger than what we have anticipated on our future forecast.

Sarvesh Gupta: Understood, sir. And on WMEL, sir, so this has -- so we've spent 2, 3 years here and now the company is performing well, and we have a 60% odd stake. So is there any plan to also utilize some of the cash we have to sort of take up the minority interest there?

Sandeep Garg: So we would be very happy to consolidate further on the balance sheet provided the existing shareholders would want to sell. However, I don't think that they are right now very eager to sell. They are very confident that we are going to create larger values on the platform. So they're holding on to it. But should there be an opportunity, we would be definitely looking at it if it is available at the right price.

Sarvesh Gupta: Okay. And on Pune project, so when do we expect to commence the construction? And what kind of revenue booking can be done here or these expenditure that can be done here in this financial year?

Abhishek Chaudhary: Yes. Thank you for this question. I'm Abhishek. Regarding this project, as you are aware, this is a DBFOT project, which means that we are supposed to do the financial closure for which we have a time limit of around 6 months. So, during the 6 months

this period, we will be undertaking

the project development activities, which is with regard to the utility shifting, with regard to setting up of casting yards, etc

We plan to have our financial closure probably in the month of October or November, basis which the appointed date will be declared. So, we'll be left with close to around 4 months of real execution, which can contribute to the top line of FY27. So, we expect somewhere in the range of, say, INR500 crores to INR600 crores, which will be contributed during this year by the finish route.

Moderator: Your next question comes from the line of Radha from Motilal Oswal.

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Radha: Sir, in the last call, you had highlighted that FY26 revenue base is low. Hence, the company is expecting to grow FY27 revenue by 20%. However, if we delve into the individual project schedules, it implies that you need one more large order win within the next few months to be able to start execution in the second half. Are we on track for the same, sir?

Sandeep Garg: So, thank you, Radha, for a very deep analysis of our business. And Yes, you are right that we are going to be looking for order booking. Now as you know, these are large contracts. So saying that we will be able to target it in the next 2 months or 3 months is a matter which I would not want to dwell upon.

But there is a clear focus on adding order book, and we expect the order book to be added somewhere around INR8,000 crores to INR10,000 crores in FY27. And we would want to add as soon as is possible. We are working towards it.

Hopefully, we will be able to do it within this H1, which is sufficient for us to meet our guided target of 15% to 20% growth. And to give you an idea that the uncovered portion of our revenue from the guidance is close to 8% to 10% only, which is uncovered. And we are reasonably confident that we should be able to cover it in H1 so as to meet the guidance.

Radha: Understood. Sir, secondly, in the Pune Shirur project was received in last quarter, and you are expecting the execution to start happening from just, you can say, last 4 months of this year. So that means between receiving the project and the execution, there is a large gap so about 3 quarters back. So even if you receive the project in any project in first half, so is it still fair to assume that execution can start in the second half of the year? Or will it be taken forward to FY28?

Sandeep Garg: So Radha, the point that I think partially was addressed by Abhishek is that during the developmental phase between now and the start of physical road building, we would be -- we will be doing utility shifting. We'll be doing certain establishments. We are entitled to do a lot of clearing, etc etc. So, it is not that we will not be recognizing revenue totally in this period of 6 months. But the ramp -up will take place post the Appointed Date is the point that Abhishek wanted to mention.

Similar situation will unfold for the projects that we get after -- in this year. The assumption that you are making in the question to best of my mind is that if we were to get only a BOT project, BOT projects generally start chugging in the revenue about 6 months to 9 months after the award. However, if those are EPC or other model forms of agreement, the revenue recognition starts earlier. So we -- the projects that we are targeting are also in the EPC space. So we are reasonably confident that we will be able to meet the guidance of 15% to 20% growth of the revenue. I hope I've answered your question.

Radha: Yes, yes, that's very clear. The second question, sir, regarding in your opening remarks, you mentioned that near term, there is cost and execution challenges due to geopolitical issues. So since the company is having entirely domestic business and also complete pass-through -- cost pass-through clauses with the c

ustomers, I request you to please elaborate a little bit more on this aspect.

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Sandeep Garg: So, Radha, it is true that most of our contracts, which have the WPI CPI -linked escalation provisions. However, and it is also true that the government is trying to respond to the challenges which are happening because of the geopolitical situation in the world by coming up with the -- as you may be aware, the Ministry of Road Transport has come up with the clear official guidelines that the cost of bitumen will be on actuals rather than based on WPI CPI. They have also come up with a clear statement that they will be paying for even the hybrid annuity model on a monthly basis rather than on a milestone -linked basis.

The Finance Ministry has come up with Force Majeure provisions, which are helpful. Hopefully, those will be adopted by the other ministries. So I think on an overall basis, the government is working towards easing of the pain. However, it will be prudent on our part as a conservative company to caution that there could be a small medium -term or near -term impact, which we are more than confident that we will be able to overcome and our balance sheet is resilient.

And that is why, despite our EBITDA margins being in the ranges of 22.5% for FY26, we are giving a guidance of only 18% plus. So, we are acutely aware of all this, and we have factored all this into our guidance so that there is no shock that can come in, near -term issues notwithstanding.

Moderator: Your next question comes from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, what would be the EPC value of Pune -Shirur project?

Sandeep Garg: Thank you, Vaibhav, it is approximately INR5,400 crores for as an EPC cost of the project.

Vaibhav Shah: Okay. And sir, you mentioned that this year we will do closer to INR500 crores to INR600 crores of revenue from the project. So next year, can we see closer to around INR1,800 crores kind of revenue, INR1800 crores to INR2,000 crores of revenue from the project?

Sandeep Garg: We are giving a guidance of FY27. However, if the discussion is about Pune -Shirur's long term, how it will unfold, I would request Vaibhav you have interaction with our CFO, who will take you through from us all the details on the Pune -Shirur. I hope that works for you.

Vaibhav Shah: Yes, sure. And sir, lastly, land status for the project. So we are confident of starting the works. So, this will be ready by November or December?

Sandeep Garg: So, the good part of this project is that it is, as Abhishek mentioned, which is primarily 35 kilometers of elevated structure, which is on the median -- which is supposed to be built on the

median of existing road project, which caters to almost like 70% of the cost of the project or more than that. So that front is available right now right there.

So, the only land acquisition, which is very required is mostly for tolling and the access to the elevated sections and very little land acquisition otherwise is required. So there is a very little land acquisition requirement as an overall on the project. So, we are reasonably confident that we will be able to not only start the project in time, but we will be able to complete the project on time.

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Vaibhav Shah: Okay. Sir, what will be your investment in the oil and gas business so far?

Sandeep Garg: It's about INR500 crores at this point in time.

Vaibhav Shah: These are our share?

Sandeep Garg: Yes.

Moderator: Your next question comes from the line of Bhavik Shah from Invexa Capital.

Bhavik Shah: So, sir, first question is how much -- like what is the guidance for, say, Welspun Michigan for this year? Like how much do we expect the growth to be and the margins there? And what is the gross order book, say, for

from Welspun Enterprises to Welspun Michigan?

Saurin Patel: So, this is Saurin. We expect our revenue base to be growing at a rate of 20%. We have said CAGR of 25% over the next couple of years, but 20% is what we are predicting for the FY27 season.

Bhavik Shah: Okay. So -- and our gross order book is how much from Welspun Enterprises?

Sandeep Garg: So, if the question is -- if I get you correctly, Bhavik, the question is what is the portion of the contracts intersect between WEL and WMEL. So there is about INR1,100 crores -- INR1,000 crores -- between INR1,000 crores and INR1,100 crores is the interstate party transaction on revenue contract. Is that the question?

Bhavik Shah: That was it, right, right. And if I heard the guidance correctly, the EBITDA margin guidance has been lowered to 18%?

Sandeep Garg: We guided 18% plus, and that's the guidance that we would give. We are acutely aware of the supply chain disruptions. We do not want to over guide. The plus can be anything. So I would only want to say that.

Bhavik Shah: How much of the investment pending in SNRP project in this year, FY27?

Sandeep Garg: We are fully invested in this SNRP project.

Bhavik Shah: Okay. So, no investment?

Management: Not for the equity required.

Moderator: Next question comes from the line of Anand Darshan.

Anand Darshan : Congrats on the great set of results. So my first question is regarding the transportation division. By the end of financial year '25, we had an outstanding order backlog of near INR2,950 crores from 3 projects of Aunta -Simaria, SNRP and Varanasi. After our execution in financial year '26, the balance stands at around INR500 crores. Can you give me the breakup of this INR500 crores between SNRP and Varanasi?

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And also, we just added Pune Shirur project and usually it takes around 6 months' time to start executing this. So do you expect there to be a drop in revenue from the transport division in current year '27?

Sandeep Garg: So, you're right, there could be a marginal drop in the overall segmental revenue for this year. However, this presupposes that there are no additional projects that are kicking in into the revenue. So as was covered in the address by CFO, on a segmental basis, there is a transportation vertical, which has seen a degrowth this year as well. However, we don't see any substantive change now in the segmental revenue recognition.

Anand Darshan: Okay. Can you give me the breakup of this INR500 crores unexecuted order backlog, sir, from between SNRP and Varanasi?

Sandeep Garg: So Varanasi is about INR50 crores, INR60 crores and about INR500 crores to INR550 crores is between the Varanasi -- SNRP.

Anand Darshan: Sir, and my second question is regarding the water project. Our expected executable EPC order is around INR850 crores from 3 projects of Dewas, Bhandup and Dharavi. So what will drive the top line growth in FY27 compared to FY26 revenue of INR1,240 crores. And how much orders execution are we expecting from Panjrapur water projects?

Sandeep Garg: I think I'm not able to correlate your numbers in the question. Our order book as of integrated

water stands at about INR14,000 crores, which includes the INR5,000 crores of O&M. So effectively about INR9,000 crores of outstanding orders. So we are reasonably confident of meeting our guidance on the transport -- on the water vertical to be able to achieve the desired revenue.

Anand Darshan: So how much are we expecting from Panjarpur water projects?

Sandeep Garg: I would request that if we need to go project by project, so you please get in touch with the IR or CFO. They will be very happy to take you through.

Moderator: The next question comes from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: So, my question is more on the contract wins we already have in place. I

wanted to understand

how does the raw material escalation impact us? And I want to understand more on the lines if we -- how much percentage of the escalation can we pass it on, if you could share your views on that?

Sandeep Garg: So, to give you -- this is illustrative and not definitive that I am going to respond to. Most of our contracts are covered by an increase which is based on WPI CPI formula, and which by and large, covers our all inflations, which are under normal circumstances. Now these are not normal circumstances. The government is coming up with certain specific reliefs, as I said earlier, like in case of the MoRTH, they have come up for a relief on bitumen.

So, we expect that most of the cost increase on these projects where we have these escalation provisions, we should be able to transfer the cost to the authority. The only difference is on the

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BOT projects, the BOT projects do not have an escalation provision. However, we maintain enough contingencies on the cost escalation, and we are confident that our provisions at this point in time are more than sufficient to tide over any such near-term challenge.

Vignesh Iyer: So, if I have to look at this guidance of 18% EBITDA for the full year, would it be fair to say that subject to this problem of the West Asia was resolving, we would be ending this year with a very strong number, and that might take the blended number to 18%. Would it be the correct way to read it?

Sandeep Garg: My guidance is 18% plus. If everything were to happen, this plus can be as close to the current number that is possible. And if the chips are down, it could be whatever number. So, the guidance is 18% plus. However, the projects in a normal circumstances are capable of delivering better EBITDA.

Moderator: The next question comes from the line of Prateek Bhandari from Art Ventures.

Prateek Bhandari: Can you specify the margin trajectory that you're targeting for Welspun Michigan?

Sandeep Garg: So, I mean, in the interest of time, I will take this question. It has been consistently EBITDA of 21% to 22%, and we expect it to remain in that range or better. in

Prateek Bhandari: And you also mentioned that you are currently having a strong bid pipeline. Can throw some more light as to what is the size of the current bid pipeline? And which segments this pipeline is from? This will give a better sense?

Sandeep Garg: So are you talking about WEL level? Or?

Prateek Bhandari: At the company level at WEL standalone?

Sandeep Garg: At WEL, we see a lot of opportunities coming in the water transmission space. We are also looking at certain opportunities of large-scale treatment in water. We see a lot of opportunities in transport on BOT as well as complex projects in the space of structures and tunneling, which will be the target for the company to look after.

Now if you were to give us -- ask me the top of the canvas, all put together, the top of the canvas will be most likely in the range of about INR2 lakh crores for the FY27. However, we, as you know, we are aim and shoot bidders.

We are not going to be bidding for all of them. We are going to target the projects which meet our revenue as well as our return expectations, which is a matter of confidentiality, and I may not be able to share with you.

Prateek Bhandari: All right. And just one last question. You have given order inflow guidance to the tune of INR8,000 crores to INR10,000 crores for FY27. Is that correct?

Sandeep Garg: That is correct, Prateek.

Moderator: Your next question comes from Apeksha Maheshwari from AV Fincorp.

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Apeksha Maheshwari: All my questions have been answered. Thank you.

Moderator: The next question comes from Bhavya Bhogar from Astralit Investments.

Bhavy Bhogar : So, I just h

ad one broad question. The highway pickup, like the NHAI disbursement in FY26 was quite soft, right? So how do you see them picking up in FY27?

Sandeep Garg: So NHAI order book has in the FY26 been not as high as was in the earlier years. So, there is a lot of pent-up situations wherein the orders need to go out from NHAI/MoRTH. We believe that those will come forth in the year ahead. We also are looking at a lot of desire and need in the states to enhance the infrastructure. And since we are willing to play the BOT project scenario with our strong balance sheet and our execution capabilities.

So, we see a lot of opportunities unfolding going forward in the transportation segment as well.

And as I said, we are going to focus on complex projects, which allow us to create a differentiated offering at a company level. I hope I've answered your question.

Moderator: As there are no further questions from the participants. I now hand the conference over to the management for closing comments.

Sandeep Garg : Thank you. I thank you all for joining us today. To sum up, I would like to reiterate that we remain committed to creating long-term value for our stakeholders with a continued focus on improving return on equity and return on capital employed.

We hope we have addressed all your queries. Should you have any further questions or feedback, please feel free to reach out to our CFO or the Investor Relations team. Thank you, and good day.

Moderator: Thank you. On behalf of 360 ONE Capital Markets Private Limited, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines.